User Manual

cash flow

This manual describes the Financial Planning functionalities at both company and group level in CCH Tagetik, managed through the Cash Flow Planning process.

Version: 5.3.SP36

Wolters Kluwer

CCH® Tagetik

wolterskluwer.com

Table of contents

Introduction 1

Cash Flow Planning 2

Assets 6

FX hedging 15

L/T Financing 17

Accounting entries 23

Objects 28

Actual P&L 29

The projected P&L 30

Projected Variations 37

Data entry 38

Initial Actual Balance Sheet 39

Company 45

General configuration 46

Account 47

Data Model Configuration 49

Fiscal policy, Tax Rates and sensitive accounts 50

Tax rules 53

Scenario 55

Interest rate type and rates 57

FX rates 58

Category 60

Cash Flow Planning 61

Requirements ... 61

Overrides ... 62

Run data processing 64

Running Cash Flow Planning data processing from forms 67

Running Cash Flow Planning data processing from jobs 69

Running Cash Flow Planning data processing from workflows 70

Data processing details 71

CFP Data processing - Preliminary checks ... 71

CFP data processing - Create object events ... 73

CFP data processing - Create derived events ... 81

CFP data processing - Create entries ... 81

CFP Data processing - Indirect taxes and cash pooling ... 84

CFP data processing - Indirect taxes calculation ... 85

CFP data processing - Dividends calculation ... 86

CFP Data processing - Tax balance payment ... 88

CFP Data processing - Tax down payment ... 89

CFP Data processing - Financial simulation ... 90

CFP Data processing - Revaluation and devaluation ... 93

CFP Data processing - Direct taxes calculation ... 93

Group policy 96

Cash Pooling 97

Group VAT 100

Financial Planning Rules 103

Generic rules 104

Credit terms 105

Assets classes: Accounting and Depreciation rules 108

Accounting rules 111

Create Calculated events 114

Accounting models 116

Dimensions/financial rules relationships 120

Indirect taxes policies 123

Cash management rules 126

Rules 126

Entity/cash management rules relationships 131

Advanced rules - Overview 132

Event types 133

Weight Types and Weights 136

Payment Calendar 137

Holidays table for Tax payments 138

Input origins configuration 139

Execution plan 140

Report 144

Entries details report 145

User Tools 147

The company manager's activities 147

Data operation 148

Purge data tables 149

Setup 150

Introduction

Aim of the manual

This manual describes the Financial Planning specific features of Tagetik.

In this manual

Below is a list of the topics covered in this manual.

Section	Content
Introduction	Introduction to the built-in utilities of the Cash Flow Planning engine
Data model configuration	It provides a detailed description of the data model setting for the financial planning
Financial planning rules	It provides a detailed description of the financial planning rules structure and of their settings
Process parametrization	It provides a detailed description of the process parametrization and rules for the financial planning
Group policy	It provides a detailed description of the Tagetik group policy. Such policy attributes to the Holding or to an holding (in case of sub-consolidated entities) the financial position of an owned entity (cash pooling) or the position towards the VAT account (Group VAT) by creating on the Holding itself the intragroup credit / debit position.
Data entry	It describes how to insert data necessary for the planning process and for the activities/operations which can be carried out on them in order to get estimate financial and BS variations
Objects management	It describes the other accounting entries related to the management necessary for the financial planning. Such entries, named **Objects**, represent all management types which are not typically included in a operational P&L Budget / Forecast. For example, the investments plan, the L/T financing plan or particular entries such as the use of a fund.
Run data processing	It describes in detail all cash flow planning data processing run methods (manually, from form, from the process cockpit...) and how the data processing generates the various entries.
Processed data check	It describes in detail the tools supplied to the user to find the specific information which allows the analysis of data after the data processing

Cash Flow Planning

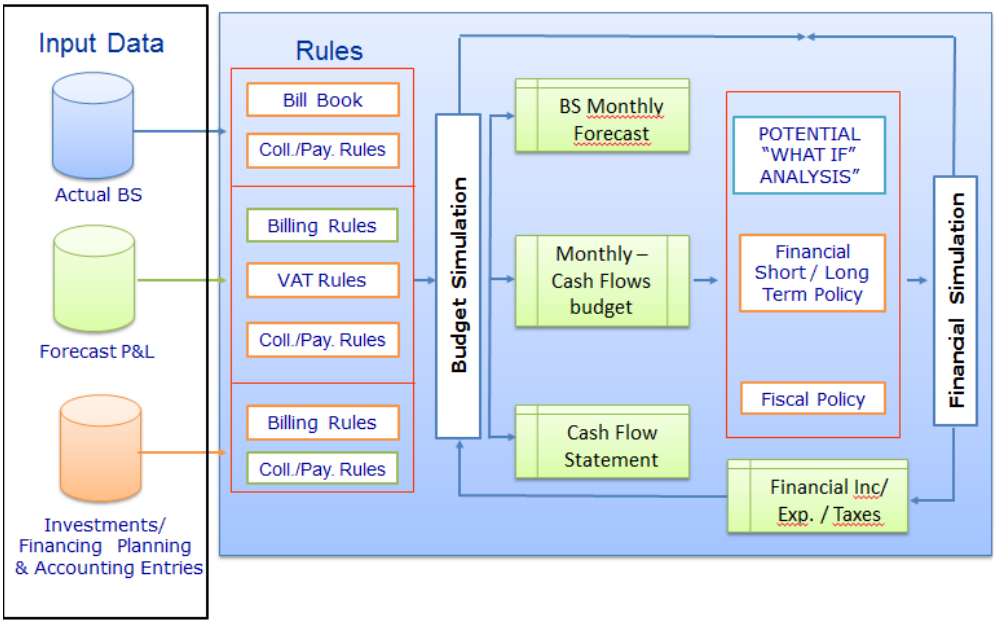
In Tagetik, Financial Planning is managed through the "Cash Flow Planning" process which, at both the company and group levels, is able to manage the following:

- balance sheet forecasts (both short-term and medium/long-term);
- direct and indirect cash flow forecasts (through the processing of cash flows);
- depreciation, financial and fiscal expenses and income which form part of the P&L account forecasts;
- management and simulation of the forecast financial policy, also taking account of any group policies (forecast cash pooling);
- "multicurrency" simulation with calculation of the forecast currency balance, and also the possibility of performing hedging transactions;
- "what if" analyses of various simulation scenarios.

Based on the most recent available balance sheet, P&L forecast and investments and financing forecast, Tagetik allows the user to associate financial rules (DSO/DPO, non-accrual based billing, etc.) with each input item and, by creating forecast double-entries, to achieve initial processing of balance sheet and cash flow forecasts.

Having viewed the variations generated by the system, it is possible to manage various "financial policy" scenarios to cover any needs or invest the liquidity generated.

The system also allows users to define the tax policy to pursue to generate tax forecasts for the period. At this point, the Cash Flow Engine is able to complete the budget P&L (input from the system) with an estimate of depreciation, financial and tax expenses and income and guarantee perfect balancing, with the generation of double-entries, between balance sheets, cash flows and P&Ls.



Loading input data

The necessary initial data are as follows:

- the **initial balance sheet**. This is identified by the actual balance sheet values related to the closing date of the last available financial statements;
- the **projected P&L** . The forecast P&L values are necessary up to at least the EBITDA, since everything that is below that margin (depreciation, short- and long-term financial expenses/income, taxes etc.) can be calculated directly by the system.

Normally, depreciation related to existing assets is also loaded as input data.

- the **investments/L/T financing forecast** and **other management accounting entries** (such as dividend distribution, capital increases, etc.).

Definition of financial rules

It is necessary to define:

- the **financial rules** to be associated with the initial balance sheet accounts for which collections/payments are to be recorded, such as initial receivables and payables, for example. The system envisages two possible criteria:
  - the **cash schedule**, in which the dates on which the collections and payments are forecast to be made are shown directly. If the schedule entered is considered to be theoretical, it is also possible to apply the percentages outstanding or unpaid, delaying the payments themselves or not collecting part of the payments;
  - the **credit terms rule**, in which a percentage payment is indicated together with the due date, making reference not to an actual date, but a number of days/months from the start of the simulation;
- the **financial/VAT rules** to be associated with the P&L forecasts.
  - the **credit terms** (DSO/DPO) which generate the cash movements that impact the calculation of the financial position (e.g. 30% at 60 days, and 70% at 90 days);
  - if the accruals basis gives different results from what is stated in the accounts, it is also necessary to define the **accounting rules** that generate the movement of receivables/payables in the balance sheet forecast (e.g. six-monthly advance billing, quarterly billing in arrears, etc.). Then the DSOs/DPOs defined in the previous point will be applied to that curve;

     If the account does not need to be directly linked to a cash movement (e.g. depreciation), the system reverses the amount on the balance sheet account defined as the contra-entry on the list.

  - moreover, if the account is subject to indirect tax, it is necessary to define the **VAT rate** to be applied, so that it is possible to determine the company's position in relation to the tax authority.
- **the financial rules to be associated with investments/L/T financing** and **other management accounting entries**.

   The same rules (credit terms, accounting and VAT) as defined for managing the P&L forecasts are used.

Launch budget simulation

Considering the initial balance sheet, the P&L forecast and the forecast of L/T financing and investments as the basis, and applying the financial rules defined above, the budget simulation (create entries) feeds:

- the balance sheet forecast
- the cash flow forecast with the variations generated by the financial rules set
- the P&L forecast with an estimation of the depreciation of the hypothesised investment forecasts and medium/long-term expenses related to the L/T financing

Financial policy management

The **rules for calculating interest** must be defined in order to be able to determine, on the basis of the liquidity generated, the net financial position inclusive of short-term expenses and financial income, at both company and group levels.

Tax policy definition to be applied

For each tax levied under the fiscal policy for an entity, the rates to be applied and the **tax rules** (e.g. the due dates for the various payments on account and balance payments) must be defined, as information needed by the system to calculate the direct taxes due for the year.

Launch financial simulation and tax calculation

The financial simulation and direct taxes calculation feed the P&L with short-term interest (result of the financial policy set), depreciation and direct taxes for the year.

Financial planning in Tagetik also allows the user to perform "**what if**" simulations aimed at assessing:

- the P&L, balance sheet and financial impact of different business strategies
- the sustainability of various financial hedging policies
- the sustainability of various tax policies

The forecast data entered in the system (via the internet or using data entry forms) or generated automatically from the processing of financial planning data can be viewed using output forms.

Certain information can be retrieved by using specific system reports, some of which can be downloaded in .pdf format (e.g. the financial policy report) and others in .xls format (e.g. those which illustrate the changes in the VAT position, tax burden and group entries).

Overview of the Cash Flow Planning Module

Financial planning operates from a group perspective. It is possible to set the financial rules and credit terms that are valid for all group companies and customise them for each individual entity.

Group administrator activities

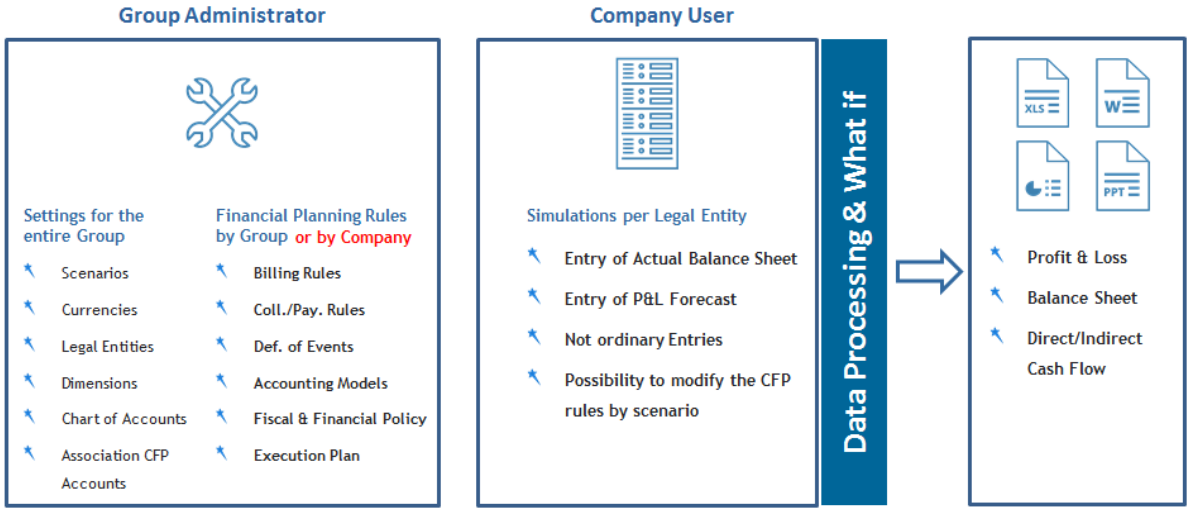
The group administrator is responsible for the following areas:

- **Administration**. This includes the setup of the basic information needed for the planning process, i.e.:
  - **Data Model**: necessary for the definition of the standard lists, important for all the processes used in Tagetik and also, therefore, the planning process (chart of accounts, currencies, dimensions, etc.).
  - **Processes**: necessary for the definition of the planning process and the entities to be processed
  - **Generic data and events**: necessary for the management of "global assumptions", or that data which is linked to the process but independent of the individual entity, such as exchange rates and tax rates
- **Rules**. This includes the setup of the rules needed to generate the values forecast, i.e.:
  - **Cash Flow Planning Rules**: defines all the financial planning rules which can be valid for all entities belonging to a given group (DSO, DPO, etc.) or specific to the individual entities
  - **Tax Rules**: defines the rules related to the treatment of direct taxes

Activities of an individual company's financial manager

The financial manager of an individual company can:

- enter or change the specific credit terms for his company
- customise the financial rules associated with the input data
- enter the input data (initial balance sheet, projected P&L, forecast of investments/L/T financing and other accounting entries related to management)
- perform the budget simulation (Create Double entries), which defines the balance sheet and relative cash flows
- perform the financial simulation and calculation of direct taxes which enters amounts for financial charges, depreciation and tax expense to the P&L.


Group Administrator
Settings for the entire Group
Scenarios
Currencies
Legal Entities
Dimensions
Chart of Accounts
Association CFP Accounts
Financial Planning Rules by Group or by Company
Billing Rules
Coll./Pay. Rules
Def. of Events
Accounting Models
Fiscal & Financial Policy
Execution Plan
Company User
Simulations per Legal Entity
Entry of Actual Balance Sheet
Entry of P&L Forecast
Not ordinary Entries
Possibility to modify the CFP rules by scenario
Data Processing & What if
XLS
W
PPT
Profit & Loss
Balance Sheet
Direct/Indirect Cash Flow

Assets

The assets represent all entries related to the management of the assets, such as the initial purchase, the transfer from “asset in progress” to asset, the depreciation, the sale with the relative calculation of the capital loss or capital gain generated, etc.

The assets can be managed in several ways:

- by using the functionalities of the **ETL** module to load the data from any ERP system and in general from any IT system in which they are managed;
- from the end user’s web interface through the processes cockpit by selecting, from the *Cash Flow Planning* button, the menu item*Assets* within the *Activity* panel;
- from a **workflow model task**. The task to be used in this case is *Data entry & Reporting > Cash Flow Planning*, subsequently indicating the OBJECTS_ASSETS - Assets data process in the parameters;
- from a **transactional data entry form with custom ETL**

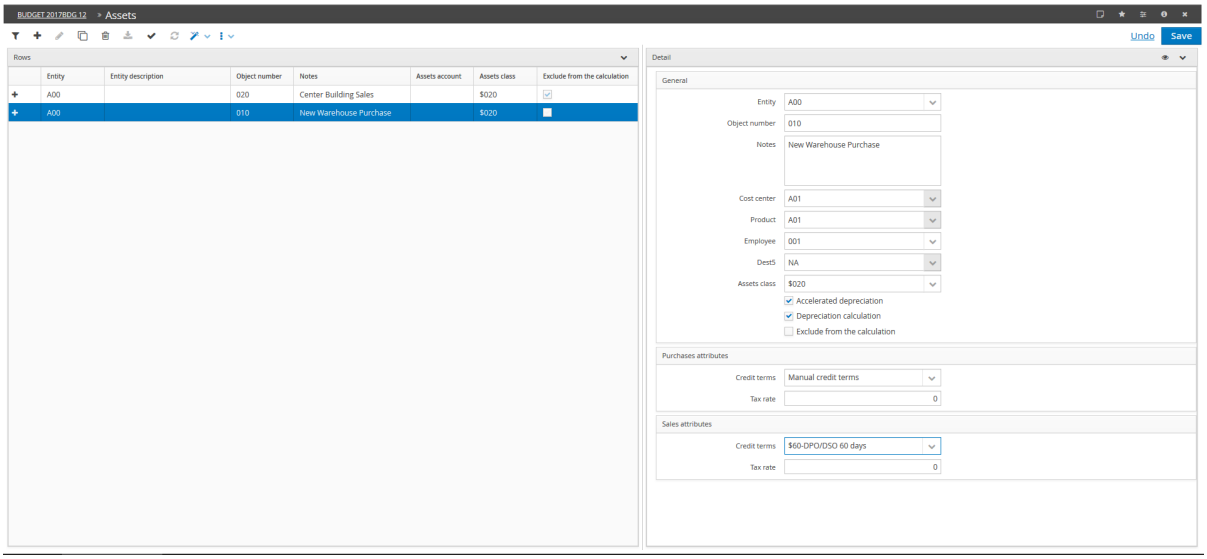
Each asset is managed by process/entity.

The management of assets can be subdivided into the following steps:

- definition of the various categories of assets (**asset classes**) which are intended to be managed at the forecast level
- definition of the **general information related to the asset**, such as the account / custom dimension onto which the asset must be loaded, the asset class to which it belongs, etc.
- **associating the asset with specific cash flow planning rules** that the system needs to generate the variation forecasts linked to its management (purchase/sale)
- definition of the **values** of the asset to be purchased/sold
- **deployment and visualisation of the events** deriving from the asset defined
- **visualisation of the events** deriving from the asset defined

Definition of the general information on the asset

Once the various asset classes have been created, move on to the “real” management of the asset. In fact, it is necessary to define the general characteristics of the asset to be managed, namely the asset class to which it belongs, its identification number, the account onto which it must be loaded, any other dimension (CDC, Product, etc.) to which it is to be attributed, etc.



Each asset is managed by process/entity and is identified by:

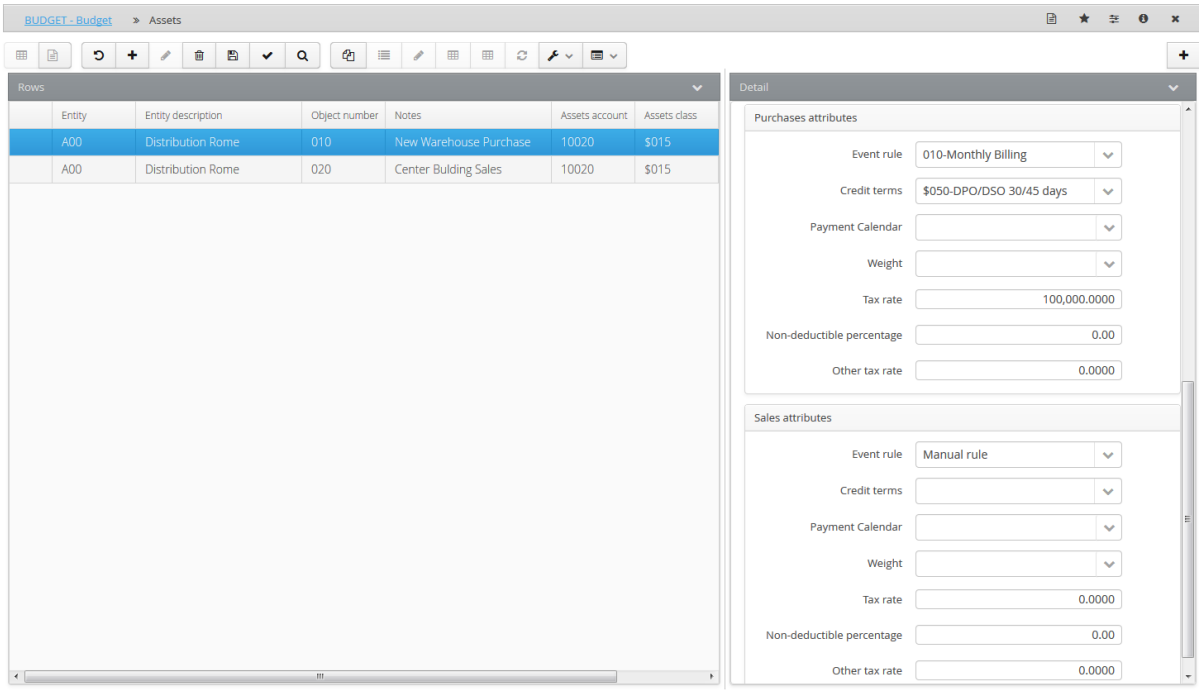
- a **number** which constitutes the asset’s unique identifier
- a description contained in the **Notes** field

- an **asset account** of a “balance sheet” nature used by the system to generate the entries linked to the asset. It is automatically defined by the system with the “Asset account” specified in the asset class to which the asset belongs
- one or several **custom dimensions** (such as Products, Clients, Cost Centres, etc.), if their management is enabled
- by the **asset class** to which the asset being defined belongs. Based on this information, the system is told the type of depreciation to be followed and the relative rate, as well as the various accounts that must involve the entire asset cycle;
- a series of information necessary for calculating the depreciation of the asset. In detail, this information is:
  - whether or not the asset is subject to **accelerated depreciation**. It is important to note that if the asset class associated with the asset being defined does not have values entered for the "Accelerated reduced rate” and “Accelerated depreciation years” fields, it is not possible to calculate the accelerated depreciation for that asset
  - whether **depreciation must be calculated** for the asset. The depreciation calculation is performed according to the rate and type of depreciation defined in the asset class to which the asset being defined belongs

- The customised rates field can be viewed by clicking on  on the detail title bar. The asset’s depreciation rates are specified in the asset class associated with it. By enabling the management of customised rates, it is possible to perform customisation directly on the asset. This customisation can be managed by double clicking on the asset and then selecting the “Customise depreciation rates” in the “Details” window

Associating the asset with specific cash flow planning rules

Having defined the general information on the asset, the next step is to associate the same asset with specific cash flow planning rules, so that the system can generate the variation forecasts linked to the purchase or sale of that asset.



The user must specify:

- an **event rule** to be used for creating the “Asset purchase/sale billing” event. To manage the accounting manually, select the “Manual rule” option.
- whether the financial entry related to the purchases / sales is managed manually or with credit terms. By choosing manual credit terms, the “Asset purchase payment” / “Asset sale collection” event is entered manually from the management of the purchase/sale events, otherwise those events are created automatically by the asset events generation.

- a series of information related to the indirect taxes generated by the purchase / sale of the asset, such as the **tax rate** and any **non-deductible percentage**, the **rate** for any **other indirect tax**, apart from VAT
- a **credit terms** rule to be applied to the asset purchase/sale. If a credit terms rule has been defined for the asset, it is also possible to define:
  - the **payment calendar** if the financial event related to the purchase/sale of the asset is subject to the payment calendar
  - the **splitting basis** if the financial event related to the purchase/sale of the asset is subject to the monthly splitting recalculation by weight

The non-deductible percentage, other tax rate, payment calendar and weight fields, for both sales and purchases, can be viewed by clicking on  on the detail title bar.

Definition of the values of the asset to be purchased/sold

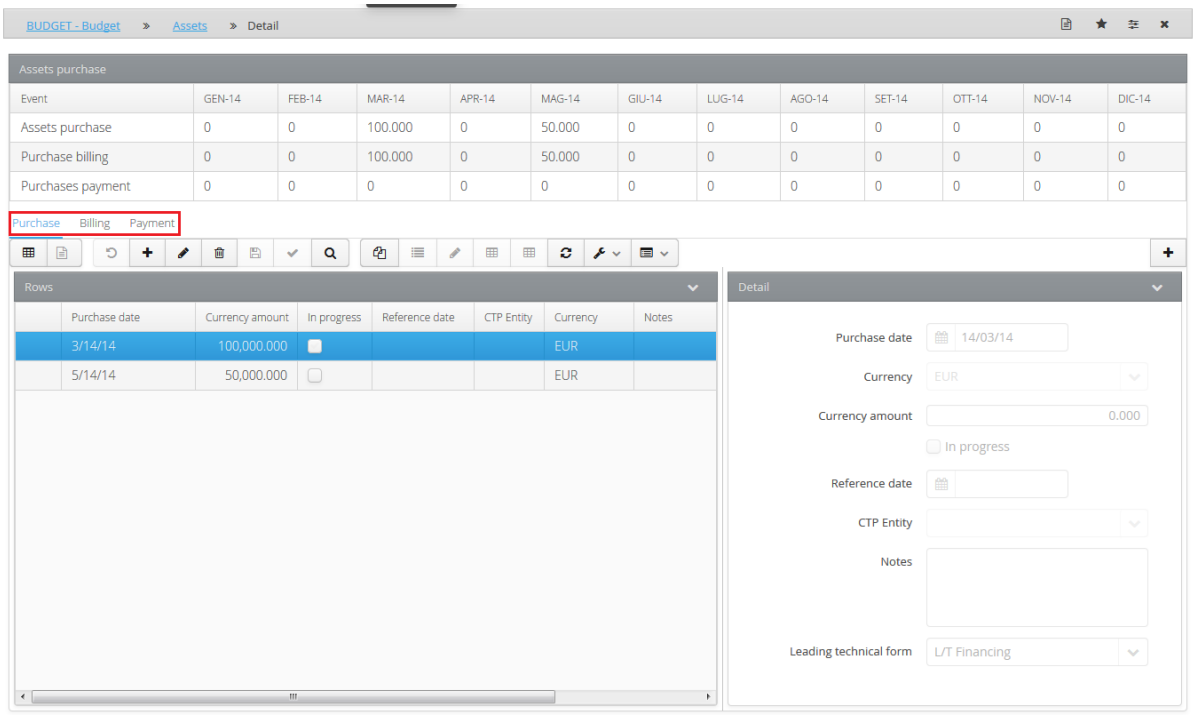
Once the specific cash flow planning rules have been associated with the asset, the next step is the definition of the values of the asset intended to be purchased/sold, specifying all the entries to be performed on it, depending on whether it is a:

- purchase
- transfer from assets "in progress" to "Effective"
- sale

The management of this information is accessible directly from the window menu *Actions (*  *) > Details* in the asset management window

> Asset purchase

The management of the purchase of an asset, where it is in progress rather than an effective asset, and any improvements made to it, can be accessed by double clicking on the asset and then selecting the "**Purchase assets**" accordion.



The detail window is divided into two main areas:

- one display area (a grid table which displays the total amounts over the month across all scenarios included between the simulation start and end dates of the events created). The system updates the table via the **refresh** key (above the table).

(1) - **Assets purchase**

In this section, it is necessary to define:

- the asset's **purchase date**
- the **currency amount** or the amount for the asset to be purchased
- the **currency**
- whether the purchase being carried out relates to an asset **in progress**. In this case, it is necessary to define the date on which the transfer from an asset in progress to an effective asset will take place, in the "Transfer from in progress assets to assets" section
- the **counterparty entity**, for intercompany purchases. In such cases, all of the variations deriving from the management of the purchase will show the counterparty
- the **custom counterparty dimension 2** for intercompany purchases and the relationship type for the process in question whether "For entity / custom dimension 2" or "For entity / Synthetic custom dimension 2"
- a **reference date** (only visible if the "Customise rates" option is not active for the asset) to be entered for all cases of "improvements" on assets already purchased, i.e. those cases in which an investment is made which increases the value of an asset already purchased and partially depreciated, the new depreciation of which must in any case end on the same depreciation end date as the parent asset. By specifying the reference date, the system is told the purchase date of the principal asset; based on this date; the system calculates the depreciation variation according to the specified rate, and a depreciation end date which it will respect regardless of the asset purchase/improvement date

   If the reference date is specified, the rates calculation works, for depreciation, as if the purchase had taken place on that date. That is, it calculates how many years the property would have had to depreciate if it had been purchased on the reference date, calculates the depreciation end-year and calculates an average rate from the effective purchase date to the end-year so that the asset is 100% depreciated.

   Moreover, the reference date is applied by the system to generate the entries related to depreciation only if it precedes the purchase date
- the description of the purchase contained in the **Notes** section
- the **Leading technical form** i.e. or the payment method used for the purchase (credit terms, L/T financing or leasing). The details of the funding type selected are managed directly from the *Actions (*

   *) > Details* window menu.

Moreover:

- depending on the accounting model associated with the asset account, the system could also require the **tax rate**, the **non-deductible percentage** and the **other tax rate** to be specified;
- if the asset has "Manual credit terms", and if the accounting model associated with the asset account allows, the user must indicate a **credit terms rule** to be applied to the purchase of the asset and any payment calendar and weight (if the financial event related to the purchase of the asset is subject to the monthly splitting calculation by weight)

The following buttons are worthy of particular attention:

• **Open End of period**. Opens all periods of the first simulation year with date being the end of the month;

• **Split per month**. Allows the user to split a total amount by month for a certain scenario. The system requires the original scenario and the total to be set, and in cases of:

  - *budgets* for all the period-ends of the specified scenario, it enters the "currency amounts" with an amount equal to the total to be set / 12
  - *forecasts* for all the period-ends included between the budget start date and the end date of the specified scenario, it defines the "currency amounts" with an amount equal to the total to be set / number of periods to be defined

(2) - **Purchase billing**

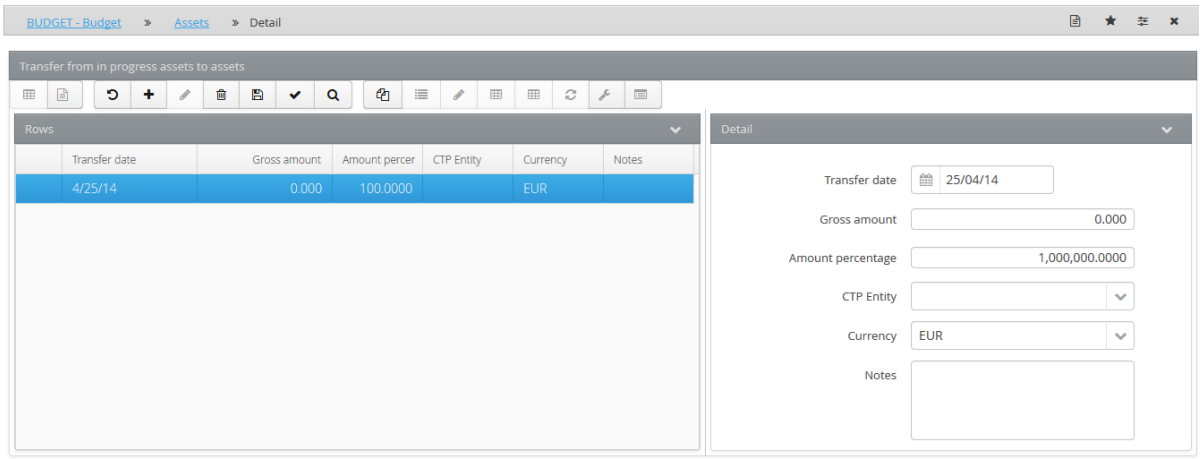
The “Purchase billing” section can only be viewed if the asset class associated with the asset object provides for the billing of purchases and represents the accounting curve generated by the Billing event (using the “Create calculated events” button) based on the event rule associated with the asset. If an Event rule has not been specified, the fields in this section can be edited in order to manually define the accounting

(3) - **Assets purchase payment**

The “Assets purchase payment” section represents the financial curve generated (using the “Create calculated events” button) based on the credit terms rule associated with the asset.

> Transfer from asset “under construction” to “effective”

The management of the asset value transfer from an asset in progress to an effective asset can be accessed by double clicking on the asset and then selecting the “Transfer from in progress assets to assets” accordion.



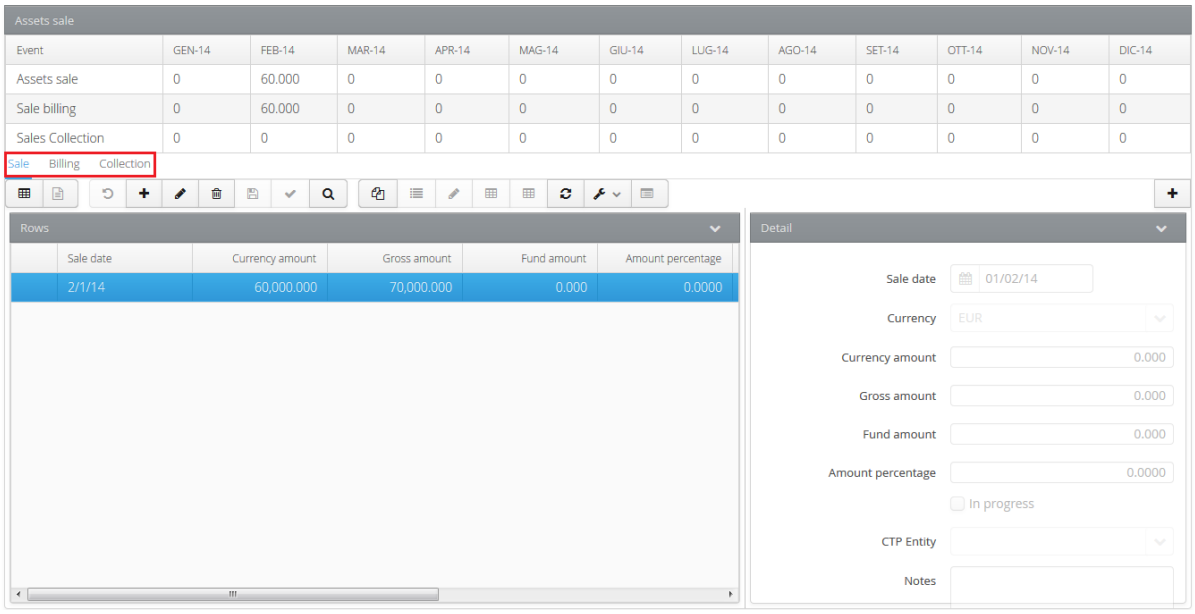
The following are entered in this window:

- the **transfer date** on which the asset is transferred from in progress to effective;
- **gross amount** of assets in progress subject to transfer to assets. As an alternative to the gross amount, the user can specify the “**percentage amount**”, or the percentage to be applied to the value of the assets at the transfer date in order to determine the gross amount
- the description of the event contained in the **Notes** field
- the **counterparty entity**
- the **custom counterparty dimension 2** if the relationship type for the process in question is either “For entity / custom dimension 2” or “For entity / Synthetic custom dimension 2”
- the **currency**

The asset starts its depreciation process, as defined in the associated asset class, from the date on which the asset in progress is transferred to an effective asset.

> Asset Sale

The management of the sale of an asset, where it is either in progress or an effective asset can be accessed by double clicking on the asset and then selecting the “**Sales**” accordion.



The detail window is divided into two main areas:

- one display area (a grid table which displays the total amounts over the month across all scenarios included between the simulation start and end dates of the events created). The system updates the table via the **refresh** key (above the table).
- one data management area, subdivided into three tabs

(1) - Asset sale

In this section, it is necessary to define:

- the asset **sale date**
- the **currency amount** i.e. the net amount of the sale
- **Gross amount / Provision**. As an alternative to the net sale amount, it is possible to specify the gross amount of the asset and the related depreciation fund. As al alternative to the gross amount, the user can specify the **Amount percentage**, or the percentage to be applied to the value of the asset and the related depreciation fund at the sale date, in order to determine the gross amount and fund of the asset subject to sale
- the **currency**
- whether the sale being carried out relates to an asset **in progress**. In this case, it is necessary to define the date on which the transfer from an asset in progress to an effective asset will take place, in the “Transfer from in progress assets to assets” section
- the **counterparty entity**, for intercompany sales. In such cases, all of the variations deriving from the management of the sale will show the counterparty
- the **custom counterparty dimension 2** for intercompany sales and the relationship type for the process in question whether “For entity / custom dimension 2” or “For entity / Synthetic custom dimension 2”
- the description of the sale contained in the **Notes** field

Moreover:

- depending on the accounting model associated with the asset account, the system could also require the **tax rate**, the **non-deductible percentage** and the **other tax rate** to be specified;
- if the asset has “Manual credit terms”, and if the accounting model associated with the asset account allows, the user must indicate a **credit terms rule** to be applied to the sale of the asset and any payment calendar and weight (if the financial event related to the purchase of the asset is subject to the monthly splitting calculation by weight)

The following buttons are worthy of particular attention:

• **Open End of period**. Opens all periods of the first simulation year with date being the end of the month;

• **Split per Month**. Allows the user to split a total amount by month for a given scenario. The system requires the original scenario and the total to be set, and in cases of:

- *budgets* for all the period-ends of the specified scenario, it enters the “currency amounts” with an amount equal to the total to be set / 12
- *forecasts* for all the period-ends included between the budget start date and the end date of the specified scenario, it defines the “currency amounts” with an amount equal to the total to be set / number of periods to be defined

(2) - Sale billing

The “Sale billing” section can only be viewed if the asset class associated with the asset object provides for the billing of sales and represents the accounting curve generated by the Billing event (using the “Create calculated events” button) based on the event rule associated with the asset. If an Event rule has not been specified, the fields in this section can be edited in order to manually define the accounting

(3) - Asset sale collection

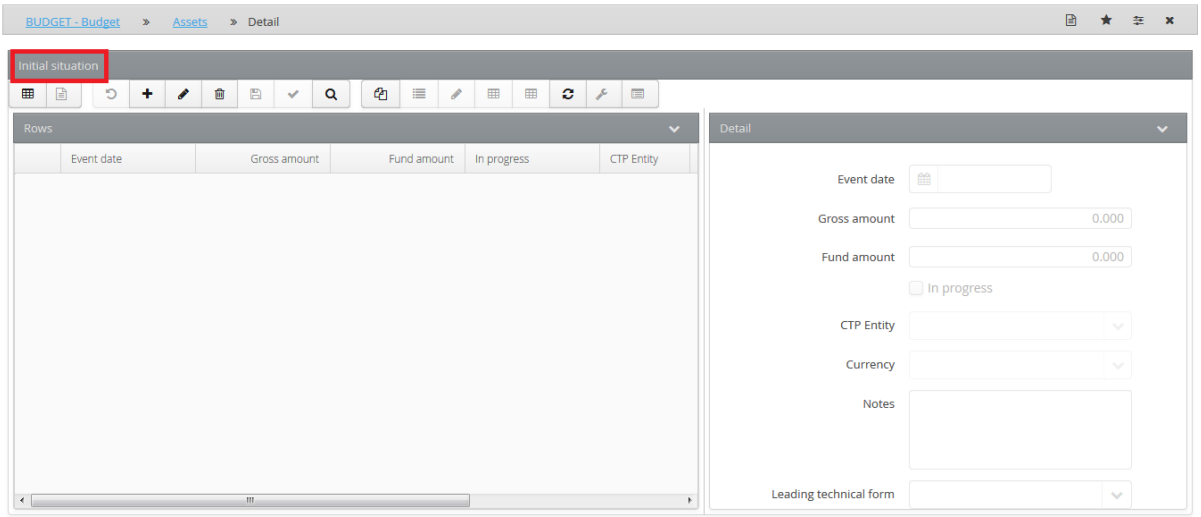
The “Asset sale collection” section represents the financial curve generated (using the “Create calculated events” button) based on the credit terms rule associated with the asset.

The system allows the user to manage down payments received for the sale of the asset directly within the financial curve. The user must simply specify:

- that the entered event is a down payment (by enabling the **Down payment** field)
- the **Reference date** indicating the sale date to which the down payment is attributed

Entries related to the disposal of the asset, such as the write off of the depreciation fund, the interruption of the depreciation process, the calculation of the capital gain or loss and the write off of the asset itself, are generated internally by the system.

If the user wants to dispose of an actual asset, whether effective or in progress (with a transfer to effective scheduled in the planning period), it is necessary to reconstruct its “accounting status”. The management of the accounting status of an actual asset can be accessed by double clicking on the asset and then selecting the “**Initial situation**” accordion.



The initial situation of an actual asset is identified by:

- an **event date**, or the asset purchase date. In order to be able to depreciate the asset correctly, it is necessary to enter any day of the year in which the assets were purchased
- the **Leading technical form** i.e. or the payment method used for the purchase (credit terms, L/T financing or leasing). The details of the selected funding type are managed directly from the *Actions (*

) > *Details* window menu.

- the **currency** of the asset's initial situation
- a **gross amount / fund** which indicate the gross amount of the asset, expressed in the currency in which the entity operates, and the value of the relative depreciation fund, respectively. For assets in progress, no value must be entered for the amount of the fund
- the description of the initial situation contained in the **Notes** field
- the **counterparty entity**. Indicates the counterparty entity in the asset's initial situation
- the **custom counterparty dimension 2** for intercompany sales and the relationship type for the process in question whether "For entity / custom dimension 2" or "For entity / Synthetic custom dimension 2"
- whether the sale being carried out relates to an asset **in progress**. In this case, it is necessary to define the date on which the transfer from an asset in progress to an effective asset will take place, in the "Transfer from in progress assets to assets" section

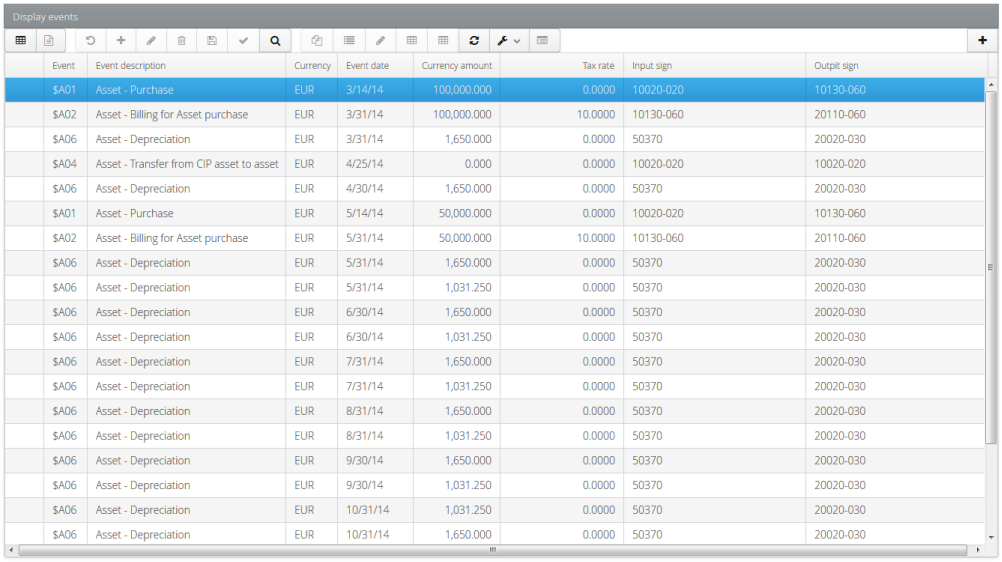
It is possible to reconstruct the initial situation of an asset based on the entries of another process using the **Re-calculation initial situation** utility, which can be accessed from the *Utility* menu in the asset management window.



The user must indicate:

- the **process** from which to recalculate the initial situation
- the **object number** which identifies the objects the initial situation of which is to be recalculated
- if the recalculation only needs to be performed on the objects which have their previous initial situation defined (**Active initial situation** option).

Having finished the setup, it is possible to view all of the events deriving from the management of the asset via *Actions* ( ) > *Detail*, by selecting the View Entries accordion at the bottom right, which launches the **Data processing** utility.



Event	Event description	Currency	Event date	Currency amount	Tax rate	Input sign	Outpit sign
$A01	Asset - Purchase	EUR	3/14/14	100,000.000	0.0000	10020-020	10130-060
$A02	Asset - Billing for Asset purchase	EUR	3/31/14	100,000.000	10.0000	10130-060	20110-060
$A06	Asset - Depreciation	EUR	3/31/14	1,650.000	0.0000	50370	20020-030
$A04	Asset - Transfer from CIP asset to asset	EUR	4/25/14	0.000	0.0000	10020-020	10020-020
$A06	Asset - Depreciation	EUR	4/30/14	1,650.000	0.0000	50370	20020-030
$A01	Asset - Purchase	EUR	5/14/14	50,000.000	0.0000	10020-020	10130-060
$A02	Asset - Billing for Asset purchase	EUR	5/31/14	50,000.000	10.0000	10130-060	20110-060
$A06	Asset - Depreciation	EUR	5/31/14	1,650.000	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	5/31/14	1,031.250	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	6/30/14	1,650.000	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	6/30/14	1,031.250	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	7/31/14	1,650.000	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	7/31/14	1,031.250	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	8/31/14	1,650.000	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	8/31/14	1,031.250	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	9/30/14	1,650.000	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	9/30/14	1,031.250	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	10/31/14	1,031.250	0.0000	50370	20020-030
$A06	Asset - Depreciation	EUR	10/31/14	1,650.000	0.0000	50370	20020-030

The system displays (based on the event date) all the events related to the defined investment plan, and reports a series of information for each of them, such as:

- the currency
- the currency amount
- the reference account (Input sign) for that particular type of accounting (asset sale, sale of asset under construction, depreciation fund write off, etc.)
- the account used as the contra-entry (Opposite sign)
- the credit terms
- the tax rate

FX hedging

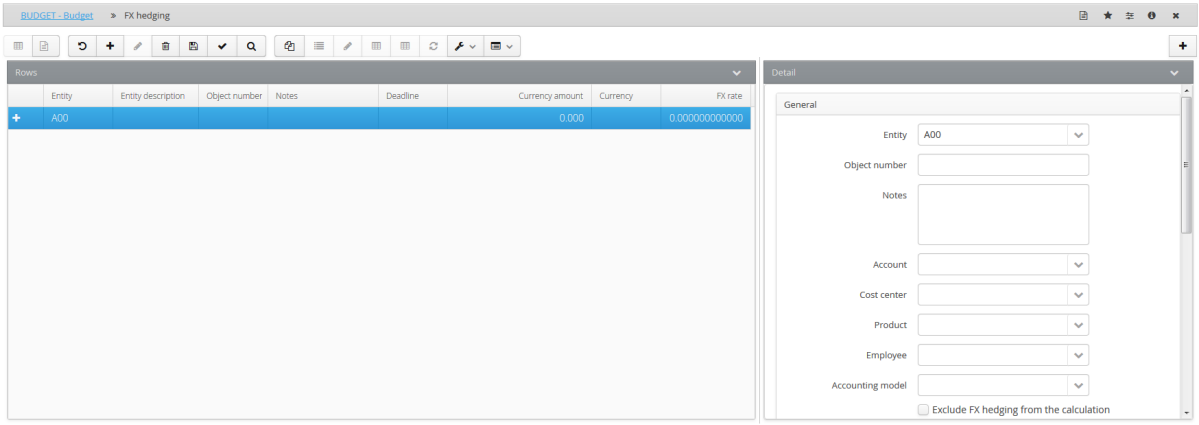
Exchange rate (FX rate) hedges represent all entries related to the management of instruments to hedge the FX risk designed to stabilise variations in foreign currency and minimise the risk of losses on exchange rates in the annual financial statements.

FX hedging can be managed in several ways:

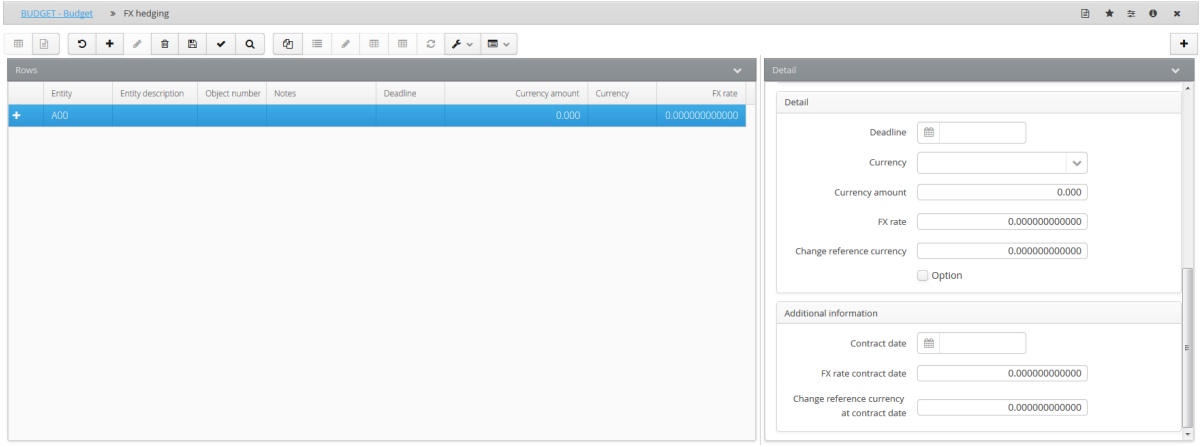
- by using the functionalities of the **ETL** module to load the data from any ERP system and in general from any IT system in which they are managed;
- from the end user's web interface through the processes cockpit by selecting, from the *Cash Flow Planning* button, the menu item*FX hedging* within the *Activity* panel;
- from a **workflow model task**. The task to be used in this case is *Data entry & Reporting > Cash Flow Planning*, subsequently indicating the OBJECTS_EXCHANGE_RATE_COVERAGES - FX hedging in the parameters;
- from a **transactional data entry form with custom ETL**

Each FX rate hedge is managed by process/entity, and is identified by:

- a series of general information, such as



  - an **object number** which constitutes the FX rate hedge's unique identifier
  - a description contained in the **Notes** field
  - an **account** of a "balance sheet" nature used by the system to generate the entries linked to the FX rate hedge.
  - one or several **custom dimensions** (such as Products, Clients, Cost Centres, etc.), if their management is enabled
  - an **accounting model** of an "FX rate hedging" nature used by the system to generate the entries linked to the FX rate hedge.
- some detailed information such as



- the **deadline** of the hedging transaction
- the **currency** of the contract
- the **reference currency** which is set automatically by the system with the currency in which the entity operates (this is the reference currency in which the purchase or sale is performed)
- the **amount** in the currency of the contract
- the currency **exchange rate** in the contract
- the **reference currency exchange rate** in the contract
- any additional information related to the contract of sale/purchase, such as the **contract date**, the **exchange rate** of the contract currency as at the **contract date** (this is additional information not used in the calculation) and the **exchange rate of the reference currency as at the contract date** (this is additional information not used in the calculation)

The system processes the hedges with expiry dates between the process start date and estimate end date and allows the user to choose whether the FX rate hedge should always be generated, or only if the budget exchange rate is more advantageous than the contractual exchange rate. In the latter case, it is necessary to enable the "**Option**" option that appears in "Details".


The **Exclude FX hedging from the calculation** field allows the user to decide whether or not to include the object in the calculation of the hedge. This setting can be useful in the simulation phase whether or not the user wants to include the object without having to cancel it.

Having finished the setup, it is possible to view all of the events deriving from the management of the hedge via the *Detail*action , launching the *Data processing* utility.

The system displays (based on the event date) all the events related to the defined hedging plan, and reports a series of information for each of them, such as:

- the currency
- the amount and the currency amount
- the reference account (Input sign) for that particular type of accounting (coupon maturity, capital loss/gain on sale or discounting, purchase tax withholding, interest instalment, etc.)
- the account used as the contra-entry (Opposite sign)

L/T Financing

Medium- /long- term financing represents all entries for the initial granting of the L/T financing, capitalisation and interest payments, repayment of the capital amount according to fixed or variable instalments, as well as more particular cases such as preamortisation, the financing project or the early repayment of the L/T financing.

L/T financing can be managed in several ways:

- by using the functionalities of the **ETL** module to load the data from any ERP system and in general from any IT system in which they are managed;
- from the end user's web interface through the processes cockpit by selecting, from the *Cash Flow Planning* button, the menu item *L/T financing* within the *Activity* panel;
- from a **workflow model task**. The task to be used in this case is Data entry & Reporting > Cash Flow Planning, subsequently indicating the OBJECTS_L_T_FINANCING - L/T Financing in the parameters;
- from a **transactional data entry form with custom ETL**

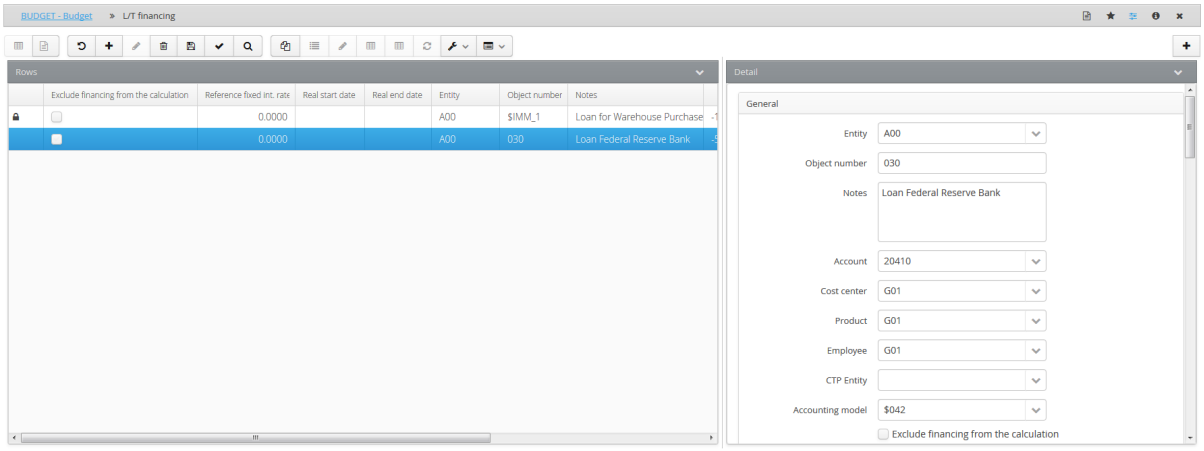
All L/T financing is managed by process/entity.

The management of L/T financing can be subdivided into the following steps:

- definition of the general information related to the L/T financing, such as the account / custom dimension onto which the loan must be loaded, the counterparty entity in the case of intercompany financing, etc.
- management of the L/T financing conditions, such as the amount to be financed and the relative payment schedule for interest and the capital amount
- any management of:
  - preamortisation
  - early repayment
  - interest rate hedging
  - project Financing
- deployment and visualisation of the events deriving from the L/T financing defined

Definition of the general information on the L/T financing

Firstly, it is necessary to define the general characteristics of the L/T financing, namely its identification number, the account onto which it must be loaded, any other dimension (CDC, Product, etc.) to which it is to be attributed, etc.



All L/T financing is identified by:

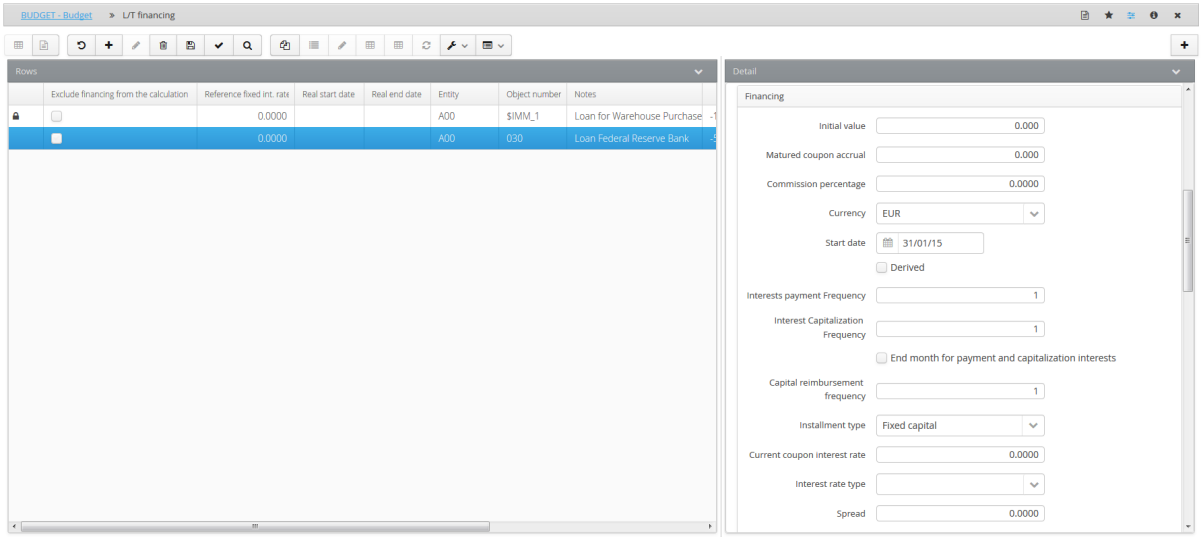
- a **number** which constitutes the L/T financing's unique identifier
- a description contained in the **description** field
- an **accounting model** of an "L/T Financing" nature used by the system to generate the entries linked to the financing. It is possible to choose between a L/T financing payable or a L/T financing

receivable. Based on the type of L/T financing, the system performs various calculations, especially in relation to the signs and the amounts incoming/outgoing to/from the bank, which characterise L/T financing as either receivable or payable.
- a **derivative**
- an **account** of a "balance sheet" nature used by the system to generate the entries linked to the L/T financing
- one or several **custom dimensions** (such as Products, Clients, Cost Centres, etc.), if their management is enabled
- a **counterparty entity**, for intercompany L/T financing. In such cases, all of the variations deriving from the management of the L/T financing will show the counterparty
- a **custom counterparty dimension 2** for intercompany L/T financing and the relationship type for the process in question whether "For entity / custom dimension 2" or "For entity / Synthetic custom dimension 2"

The Exclude L/T financing from the calculation field allows the user to decide whether or not to include the object in the calculation of the financing. This setting can be useful in the simulation phase whether or not the user wants to include the object without having to cancel it.

Management of the L/T financing conditions

Once the "ingredients" of the medium-/long-term financing to be managed have been defined, it is necessary to tell the system a series of information related to the amount to be financed and the related interest and capital payment schedule. In essence, it is necessary to tell the system the contractual conditions that the institution granting the loan has given the entity.



All L/T financing is identified:

- by the **initial value**, which indicates the overall value of the L/T financing granted

  The sign of the initial value is that stated in the accounts; therefore, L/T financing payable has a "-" sign, while a loan receivable has a "+" sign
- by the **currency** in which the L/T financing is opened
- by the **start date**, which indicates the date on which the loan is granted

  In cases of preamortisation, the preamortisation end date must be entered as the "start date"
- by the **commission percentage** to be applied to the initial value of the L/T financing
- by a **matured coupon accrual**. In the event that the object is a security with a coupon, indicate the

amount of the interest instalment accrued from the date of the last coupon to the acquisition date
- by a **current coupon interest rate**
- by an **end date**. This date is always calculated automatically by the system and indicates the date on which the loan/L/T financing is paid in full. In cases of early repayment, the system does not calculate this date
- by the **type of instalment**, or whether the repayment of the L/T financing is done according to a "Fixed total managed by a rate" or by "Fixed capital" instalments. In the latter case it is also necessary to indicate the **type of rate**
- by any **fixed rate**, for fixed rate L/T financing
- for monthly variable rate financing, by a possible **spread**, i.e. a quota (positive or negative) to be applied to the monthly amount of the variable rate



By enabling the "**Variable rate by period**" option, it is possible to tell the system that the interest is calculated by applying, every month, the specific rates defined in the list (accessible from the administrator-user's web interface, following the path: *Generic Data and Events > Data > Interest Rates*) for the rate type specified for the L/T financing. Then, rather than applying a fixed rate, the system applies a variable rate per month. Otherwise, the rate for the first monthly repayment instalment is applied for the whole period.

- by the **frequency of interest payments** which indicates how frequently, in months, the accrued interest on the L/T financing must be paid. Based on this information, the system automatically generates the payment entry
- by the **frequency of interest capitalisation**, which indicates how frequently, in months, the accrued interest on the L/T financing must be capitalised. Based on this information, the system automatically calculates the interest capitalisation
- by the **frequency with which the capital instalments are repaid**, which indicates how frequently, in months, the capital amount of the L/T financing must be repaid
- by the **amount of the capital instalment**, or the amount of the capital reimbursed every due date
- by the **number of instalments** that make up the loan repayment plan
- by the **amount of the total instalment**, i.e. the amount repaid periodically, for fixed-instalment L/T financing
- by the **type of month used to calculate the interest**, which indicates whether the month duration used for calculating the interest is "Commercial (30 days)" or "Calendar"
- by the **type of month used to calculate the interest**, which indicates whether the length of the year, in days, to be used as the denominator in the interest calculation is "Commercial (Commercial days / 360)", "Mixed (Commercial days / 365" or "Calendar (Calendar days / 365)"
- by **withholding tax percentage**
- **contract start date**
- **contract end date**

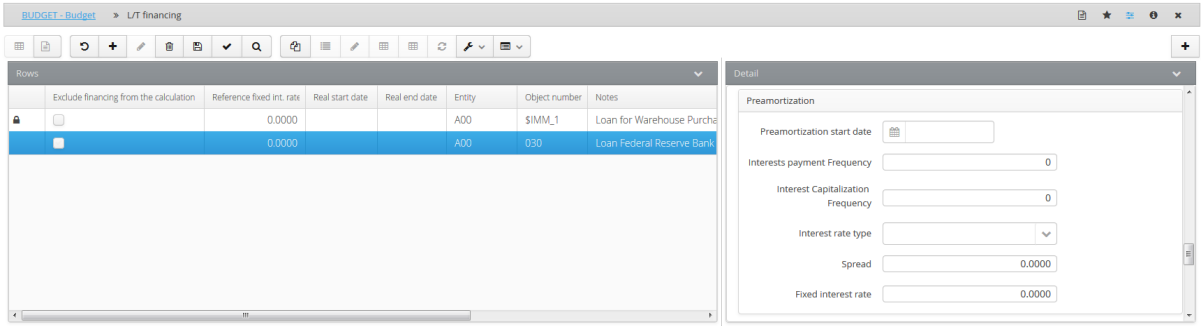


- If the instalment type is "Fixed capital":
  - entry of the total instalment is disabled
  - either the capital instalment or the number of instalments must be entered
  - the initial value must be multiplied by the capital instalment
- If the instalment type is "Fixed total managed by rate":
  - the entry of the capital instalment, the rate type and the spread is disabled
  - the total instalment or number of instalments must be entered
  - the fixed rate must be entered
- It is not possible to enter the rate type or the fixed rate

In addition to the standard management of L/T financing, it is also possible to manage some particular cases. Let us look at what these are in detail.

Preamortization

Preamortisation makes it possible to pay the interest on the contracted L/T financing before it has been disbursed



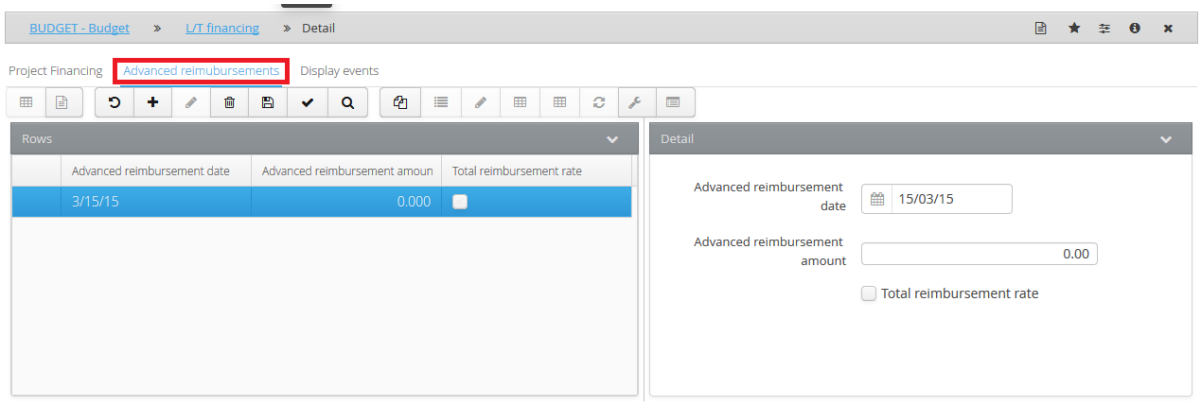
In cases of preamortisation, for all L/T financing it is necessary to specify:

- a **preamortisation start date** which is typically prior to the L/T financing start date
- a **fixed rate / rate type / spread**. As for standard L/T financing, in cases of preamortisation interest can also be calculated on the basis of a fixed or variable rate plus a spread which may or may not coincide with that granted when the L/T financing is disbursed.
- an **interest payment frequency** to tell the system how frequently, in days, the pre-amortisation interest payment entry must be generated
- an **interest capitalisation frequency** which indicates how frequently, in months, the preamortisation interest must be capitalised, so that the system can automatically perform that calculation

Early repayment

Early repayment makes it possible to repay part or all of the capital amount of the loan before the final due date, calculated on the basis of the regular repayment plan.

Early repayment management can be accessed directly from the **Detail** action, selecting the **Early repayment** folder.

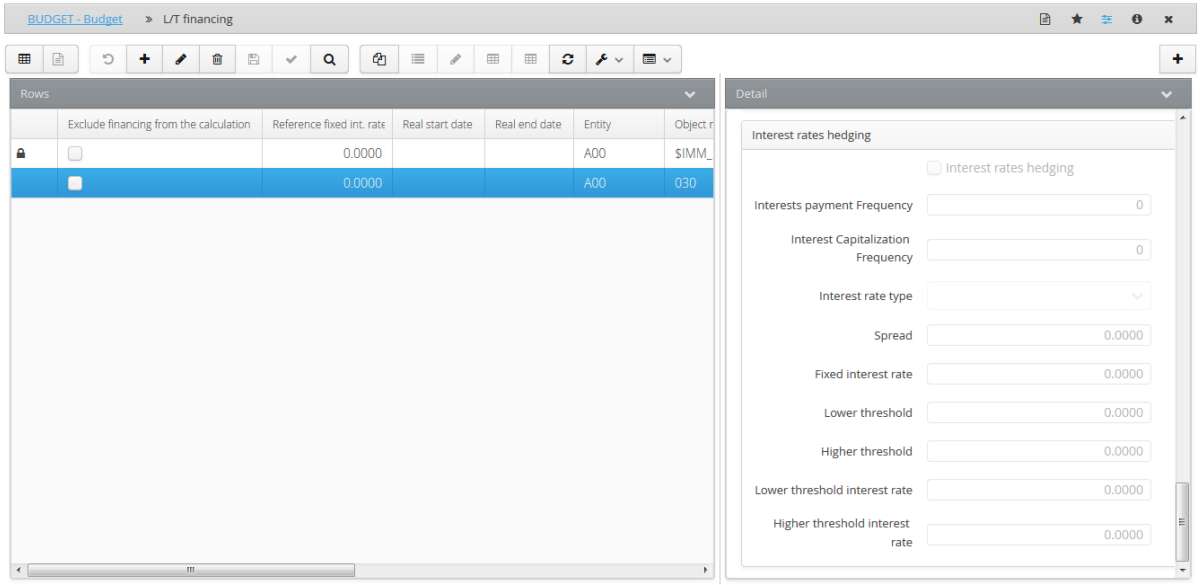


The information to be managed for L/T financing that entails early repayment concerns the choice of whether to perform a **total repayment** at a certain date or the **repayment of a different amount**, specifying the date on which to repay it. It should be taken into account that, in the latter case, the sign of the amount must be the same as the sign of the initial value of the L/T financing.

The repayment date must always be between the L/T financing start date and end date.

Interest rates hedging

Interest rate hedging is used in cases in which the entity has put in place a hedging instrument against the risk of increases in the market rates.



In cases of interest rate hedging, for all L/T financing it is necessary to specify:

- a **fixed rate / rate type / spread**. As for standard L/T financing, in cases of interest rate hedging, interest can also be calculated on the basis of a fixed or variable rate plus a spread which may or may not coincide with that granted when the L/T financing is disbursed.
- an **interest payment frequency**. Indicate how frequently, in days, interest must be paid for the interest rate hedge, so that the system can automatically generate the entry. This must be greater than zero where interest rates receivable are being hedged.
- an **interest capitalisation frequency**. Indicate how frequently, in days, interest must be capitalised for the interest rate hedge, so that the system can automatically perform that calculation. This must be greater than zero where interest rates receivable are being hedged.
- a **Lower threshold**, i.e. the lower interest rate limit
- a **Lower threshold interest rate** to be used for the calculation of the interest rate hedge where the rate is lower than the “lower threshold”
- a **Higher threshold**, or the upper rate limit
- a **Higher threshold interest rate** to be used for the calculation of the interest rate hedge where the rate is higher than the “higher threshold”.

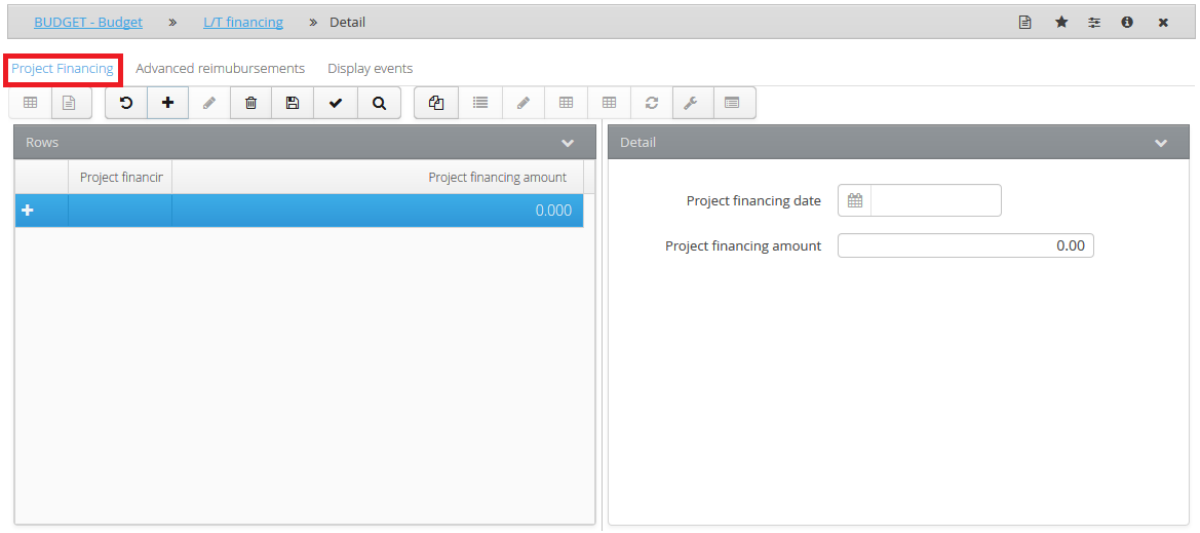
To tell the system that the L/T financing performs the calculation of the interest rate hedging, it is necessary to enable the **Interest rate hedging** option.

Project Financing

Project financing allows the user to defer the final due date for L/T financing that is currently underway. The typical case concerns the need to renew the L/T financing in question beyond its natural final due date, without giving rise to new L/T financing, while keeping the conditions of the loan taken out previously unchanged.

By indicating the date and the amount to be renewed, the system increases the value of the loan in accordance with the specified amount and readjusts the basis of calculation for the L/T financing thus renewed.

Project financing management can be accessed directly from the *Detail* action, selecting the **Project Financing** folder.

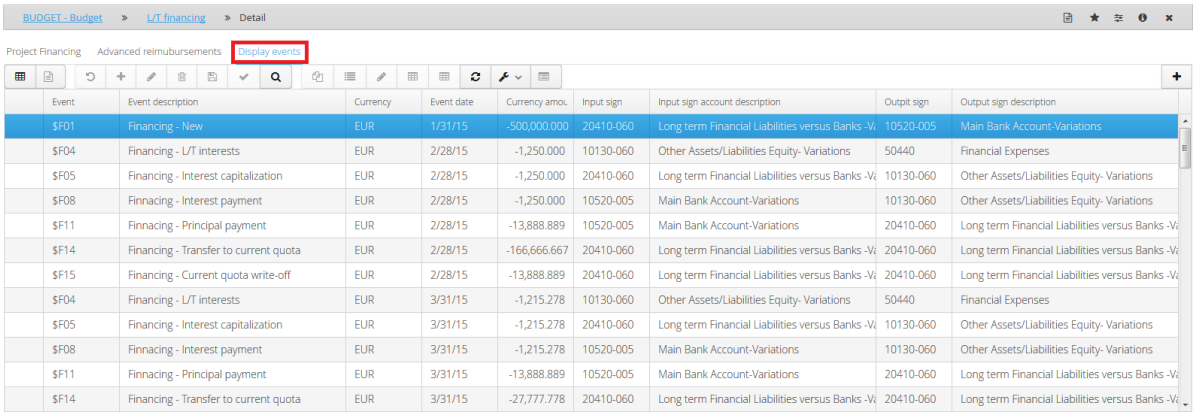


The information to be managed is the following:

- the **Project financing date**. This date must be between the "preamortisation start date" and the L/T financing "start date".
- the **project financing amount**

Having finished the setup, it is possible to view all of the events deriving from the management of the L/T financing via *Actions* (⛓) > *Detail* in the View Entries folder

It is possible to update the details to make them adopt any changes made via *Utility* (🪄) > **Data processing**



The system displays all the events deriving from the setup of the L/T financing that has been chosen, but not the double entries, which will instead be created upon the general launch of the simulation.

The system displays (based on the event date) all the events related to the defined L/T financing plan, and reports a series of information for each of them, such as:

- the currency
- the currency amount
- the reference account (Input sign) for that particular type of accounting (opening the L/T financing, capital amount repayment, interest payment, etc.)
- the account used as the contra-entry (Opposite sign)

Accounting entries

The accounting entries constitute valid support for the management of all of the specific cases which the system does not manage automatically or which serve to replicate some particular situations internal to the entity. Essentially, the accounting entries are characterised as simple double-entry records at the user's full discretion.

They are typically used for entries related to the distribution of dividends, capital increases, eventualities not managed ad hoc by the procedure, and for reasons pertaining to the "phasing" of the results of the data processing itself.

The accounting entries can be managed in several ways:

- by using the functionalities of the **ETL** module to load the data from any ERP system and in general from any IT system in which they are managed;
- from the end user's web interface through the processes cockpit by selecting, from the *Cash Flow Planning* button, the menu item *Accounting entries* within the *Activity* panel;
- from a **workflow model task**. The task to be used in this case is Data entry & Reporting > Cash Flow Planning, subsequently indicating the OBJECTS_ DOUBLE_ ENTRIES - Accounting entries in the parameters;
- from a **transactional data entry form with custom ETL**

Each accounting entry is managed by process/entity.

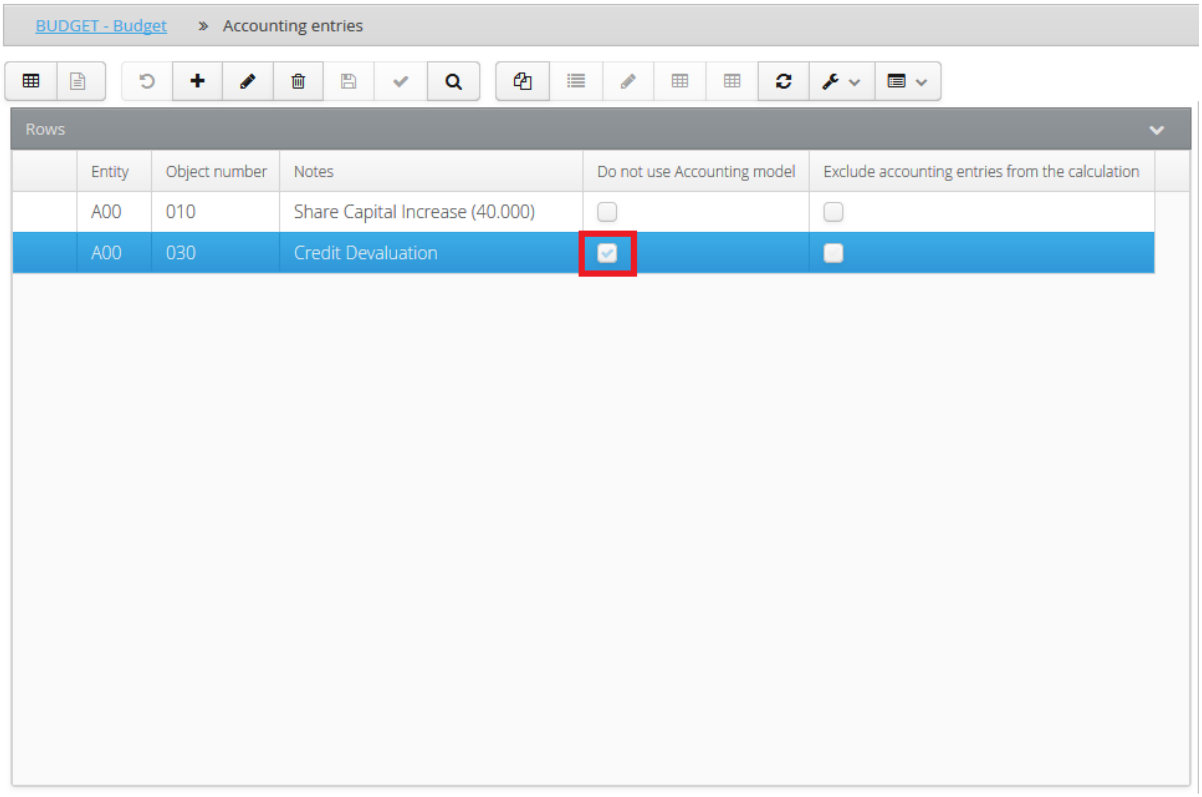
There are two types of accounting entry:

- Entries which DO NOT USE the accounting model, such as the write-down of a receivable
- Entries which DO USE the accounting model, such as the increasing of the Financial Investment Write-down Provision

Entries which DO NOT USE the accounting model

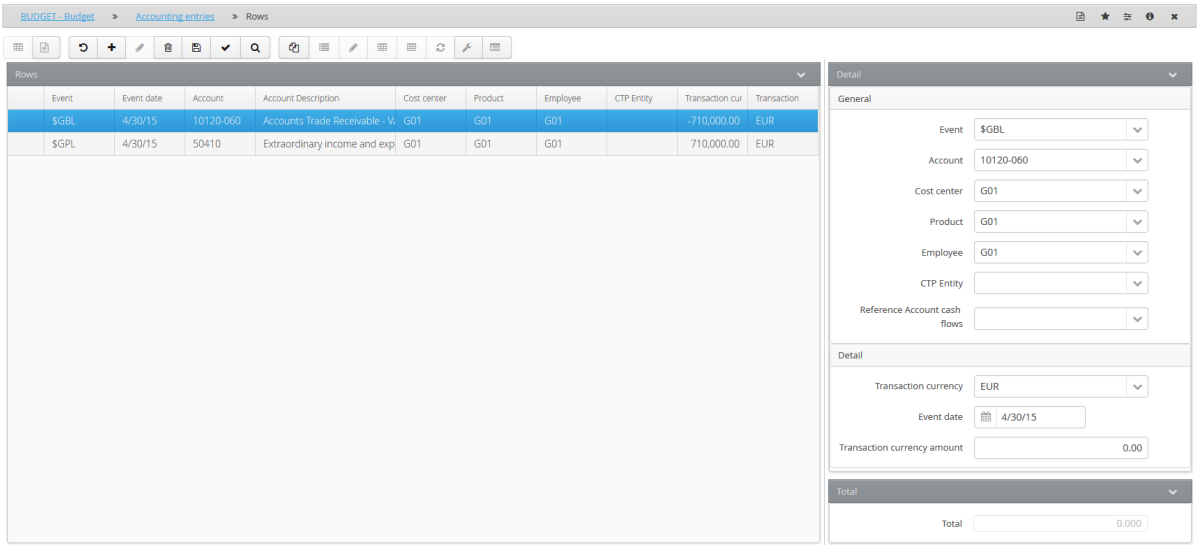
Every accounting entry is identified:

- by an **object number** which constitutes the accounting entry's unique identifier
- by a description contained in the **Notes** field
- by the active **Do not use accounting model** option
- by the Exclude accounting entries from the calculation option



This type of accounting entry is characterised by the presence of at least two records: one which represents the debit transaction and another for the credit transaction, like a very standard Double Entry.

For every accounting entry, it is necessary to indicate:



- some general information, such as
  - the **event** on which the entry must be made. Balance sheet entries are typically loaded onto the accounting event, while P&L entries are typically loaded onto the accrual event
  - the **account** onto which the entry must be generated. If the account is of a “balance sheet” nature, then it is necessary to use a variation-type account; if the account is of a “P&L” nature, then obviously a standard account is used
  - any **custom dimension** (such as Products, Clients, Cost Centres, etc.) if their management is enabled
  - the **counterparty entity**. This is only defined in cases of intercompany entries, such as assignments of receivables, rebilling, etc.

- some detailed information such as
  - the **currency** of the entry
  - the **event date**
  - the **currency amount** or the amount expressed in the original currency

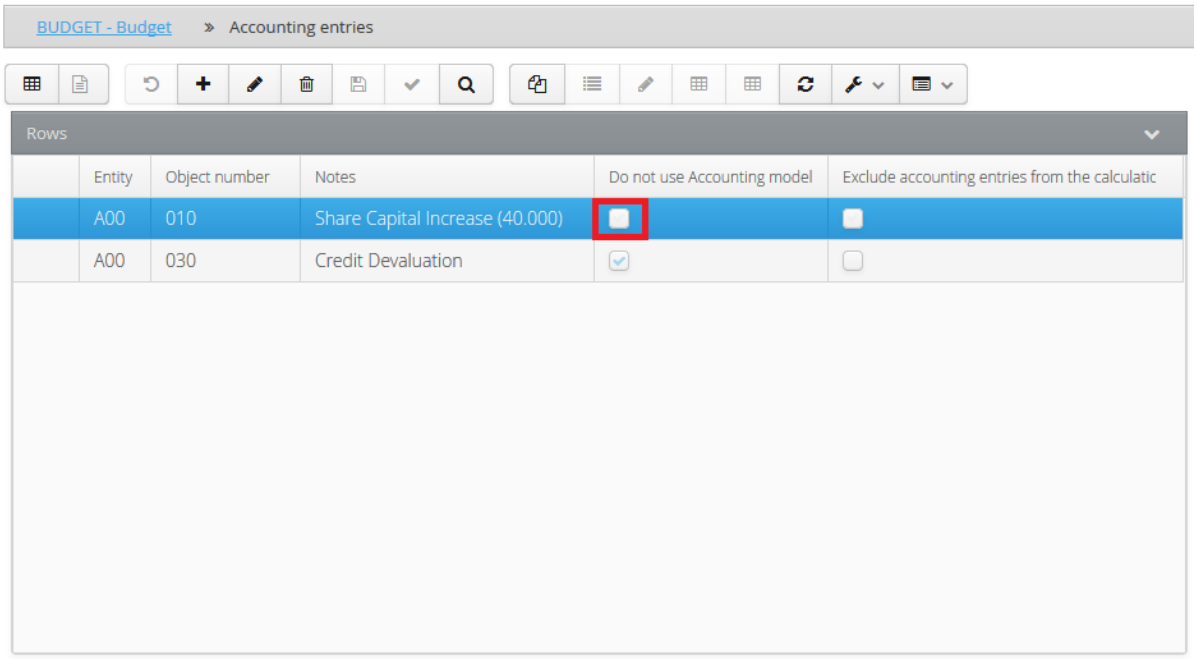
The records which simulate the debit entry and credit entry will typically have the same date and amount, but opposite signs

In the “Total” field, the system reports the total of the currency amounts of the accounting entry and signals unbalanced accounting entries with a warning (Total <> 0)

Entries which DO USE the accounting model

Every accounting entry is identified:

- by an **object number** which constitutes the accounting entry’s unique identifier
- by a description contained in the **Notes** field
- by the NON-active **Do not use accounting model** option
- by the **Exclude accounting entries from the calculation** option



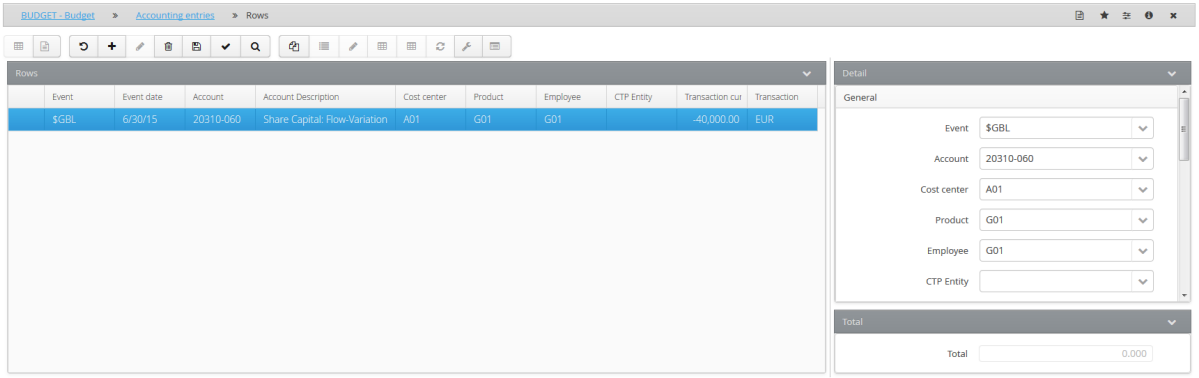
This type of accounting entry presupposes the use of the accounting model associated with the account to generate the forecast entries. Therefore, the fundamental prerequisite for being able to insert an accounting entry of this kind is that the account onto which the entry is to be loaded must have been associated, by the administrator or company user during the setup phase, with an accounting model.

associated, by the administrator during the setup phase, with an accounting model.

Entries which use accounting models can be represented by a single record, since the system, based on the loaded account, is able to autonomously construct the double entry according to the associated model.

For every accounting entry, it is necessary to indicate:

- some general information, such as

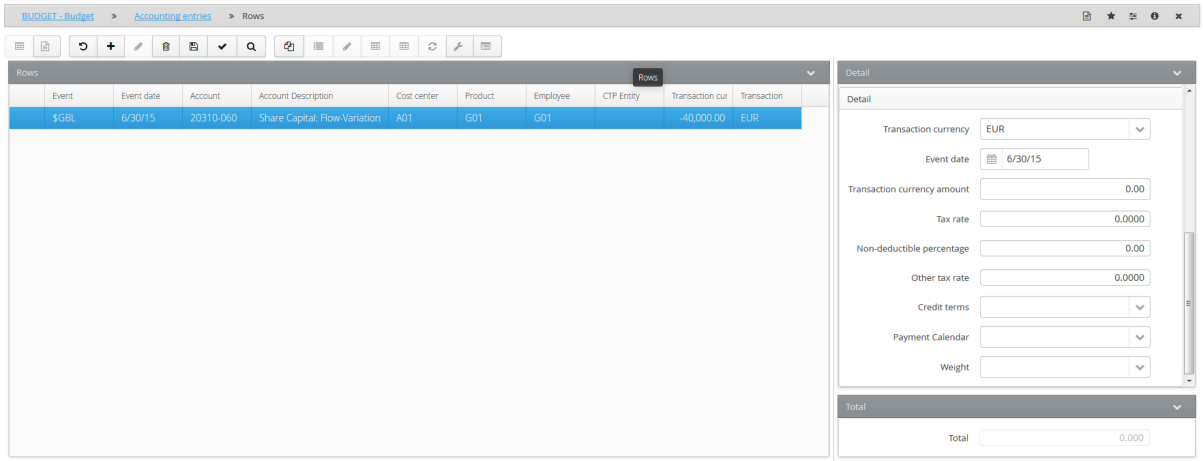


- the **event** on which the entry must be made. Balance sheet entries are typically loaded onto the accounting event, while P&L entries are typically loaded onto the accrual event
- the **account** onto which the entry must be generated. If the account is of a "balance sheet" nature, then it is necessary to use a variation-type account; if the account is of a "P&L" nature, then obviously a standard account is used

  In order for the system to create the Bank contra-entry:

  - the accounting model associated with the account must provide for such an entry
  - the liquidity account to be used must be specified in the account list in question
- any **custom dimension** (such as Products, Clients, Cost Centres, etc.) if their management is enabled
- the **counterparty entity**. This is only defined in cases of intercompany entries, such as assignments of receivables, rebilling, etc.

- some <u>detailed information</u> such as



- the **currency** of the entry
- the **event date**
- the **currency amount** or the amount expressed in the original currency
- an indirect **tax rate** with the respective **non-deductible percentage**
- a potential **other tax rate** in cases of an additional indirect tax, other than VAT
- **credit terms** to apply to the accounting entry row. By specifying credit terms, it is also possible to indicate
  - a **payment calendar**, if the financial event for the accounting entry row is subject to the payment calendar
  - a **weight**, if the financial event for the accounting entry row is subject to the monthly splitting recalculation by weight.

 Where the credit terms event is managed without this being provided for by the model, during the data processing phase the system returns a blocking message indicating that an event not provided for by the accounting model has been used for the account in question.

Objects

Once:

- the initial balance sheet has been loaded and the disinvestment transactions have been performed on those securities
- the P&L has been loaded and the billing and financial rules associated with each security and curves generated by the application thereof have been verified

it is necessary to load the third input data item necessary for financial planning, or the item representing the other accounting entries related to management. Those entries, called **Objects**, represent all those operations not typically contained in an operational-type P&L Budget / Forecast; for example, the investment plan, the L/T financing plan or specific entries such as the use of a fund.

Each type of object is managed by a dedicated calculation engine. In particular, distinction is made between:

- **accounting entries** (double-entry records necessary for any particular entries)
- **L/T financing** (manages long-/medium term financing with capital repayment, instalments, interest, etc.)
- **assets**
- **FX hedging**

Entries related to management are used by the system to:

- feed the balance sheet forecast
- calculate the financial phenomenon
- calculate the entity's position in relation to the tax authority

Actual P&L

Amounts must be entered to the Actual P&L if the user wants to apply the financial rules of the actual P&L in order to enter payments and collections in the initial balance sheet. In fact, in this case it will not be necessary to enter payments and collections in the initial balance sheet. For example, to enter payments against receivables from customers in the balance sheet at 31/12/2015, which relate to the last three months of revenues, instead of giving an average credit term, the user can load the actual P&L data for the last three months which generated the receivable and apply the credit terms to these amounts.

In order for the data to be calculated prior to the estimate start date, it is necessary to set up the **Process** correctly, indicating a "**Calculation start date**" for the cash flow planning data process prior to the "Estimate start date".

If the "Calculation start date" falls in one or more years prior to the simulation start date, the scenario to be used for the management of the Actual P&L must be set as a previous scenario (or belonging to a chain of previous scenarios, where there is more than one) prior to the first planning scenario (which starts from the simulation start date).

Each actual P&L value is managed by process, scenario, or company and its management is exactly the same as that of the **P&L forecast**.

The projected P&L

Once the Initial Balance Sheet has been loaded and the payment and collection transactions on those items have been performed, it is necessary to load the second input data item necessary for the Financial Planning, namely the Projected P&L"Loading P&L Data" below.

The Financial Planning process in Tagetik needs a projected P&L compiled up to at least the EBITDA, because everything below that margin (depreciation, short- and long-term financial expenses/income, taxes etc.) can be calculated directly by the system.

Once the Projected P&L is available, each financial manager reviews, for his own company, the financial rules to be applied to the P&L data"Verify Financial Rules and Attribute Overrides (CFP Rules Window)" on page 32 or:

- verifies and applies all those billing and financial rules associated with each P&L, which will determine specific forecast balance sheet and financial variations;
- verifies and potentially changes the data related to the events (accrual, accounting and financial) created by the data item entered.

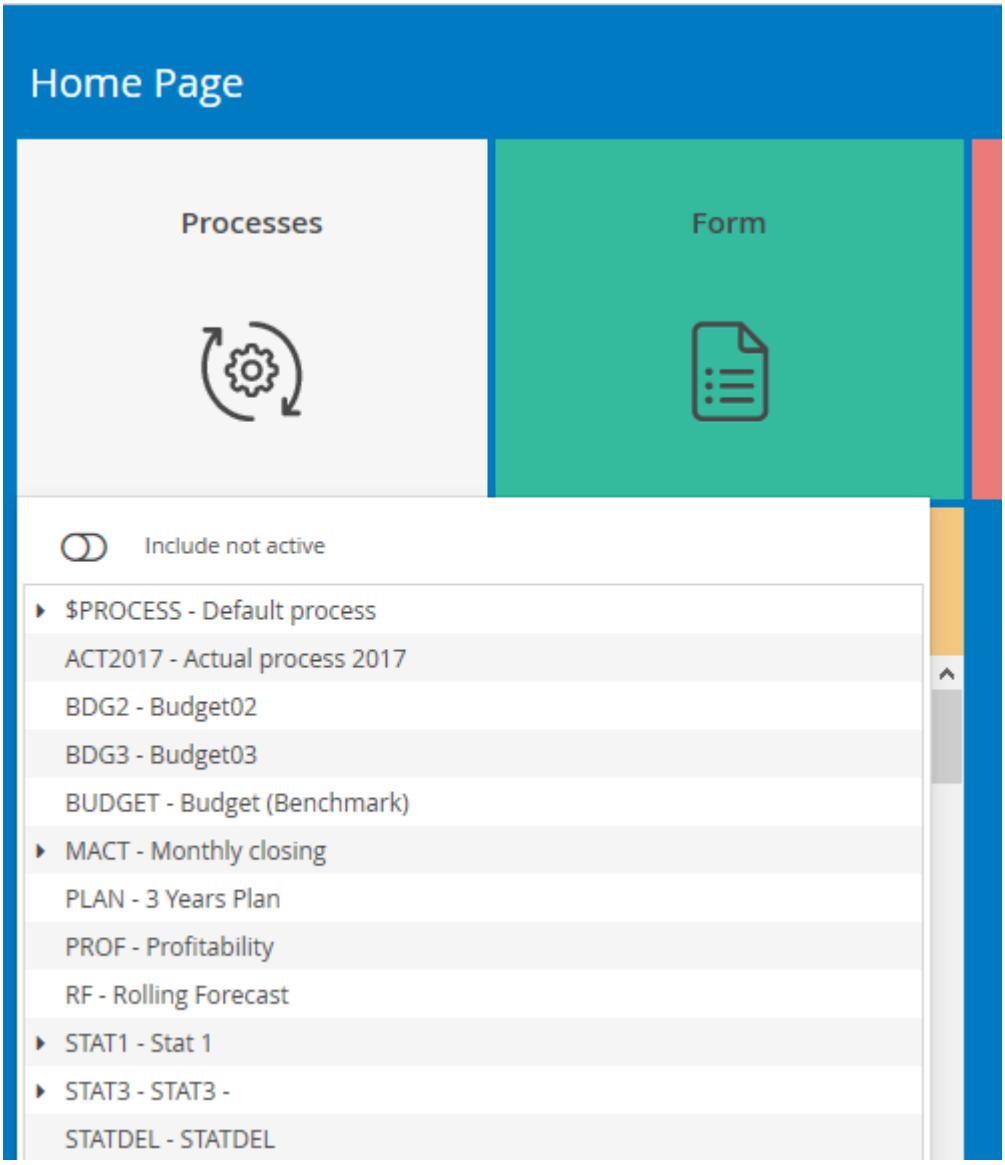
Loading P&L Data

The P&L can be managed in several ways:

- by using the functionalities of the **ETL** module to load the data from any ERP system and in general from any IT system in which they are managed;
- **data entry** forms;
- by using the **data copy utility**;
- by using the special web window accessed from the **end user's web interface through the processes cockpit** by using a workflow model button or task.

P&L Web Window

To access the initial Actual Balance Sheet web window it is necessary to click on the "Processes" button (available on the end user's home page) and select the desired process



Once the selected cockpit is open, it is necessary to:

- select one of the phases of the process at the top of the screen
- select one of the entities over which the user has editability rights

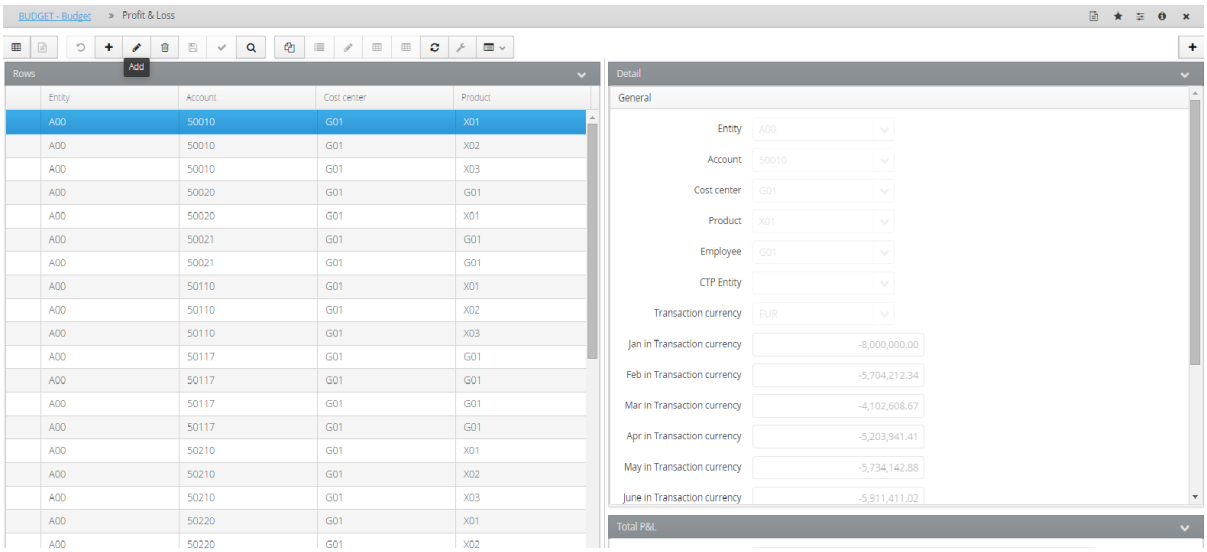
It is possible to view/enter and change P&L data by accessing the web window (which is a view in the P&L) using the following methods:

- from the Cash Flow Planning **Cash Flow Planning** button, by selecting the **P&L** option

By clicking on the *Cash Flow Planning* > *Profit and Loss* button from the end user's web interface through the processes cockpit, the system pre-sets the information related to process, entity and scenario and shows the (gross and intercompany) balances of the P&L accounts.

Each P&L value is managed by process/scenario/entity and is identified:

- by a standard **account** of a "P&L" nature
- by any **custom dimensions** being managed;
- in cases of intercompany data, by the **counterparty entity** and any **custom counterparty dimension 2** if the relationship type for the process is "By entity / custom dimension 2" or "By entity / Synthetic custom dimension 2"
- by the **currency**;
- a monthly **amount** expressed **in the original currency** (amounts in the entity currency can be displayed in the grid)



In the window opening phase, the system displays the gross balances and intercompany balances originating from one of the origins configured as inputs. For more details, see [Input origins configuration](#).

Verify Financial Rules and Attribute Overrides (CFP Rules Window)

Once the P&L forecast has been loaded, the next step may be to verify/change the billing rules, the impact on financial variations, balance sheet contra-entries, VAT rate, etc. associated with each account based on what has been defined in the matching of the dimensions to the financial rules.

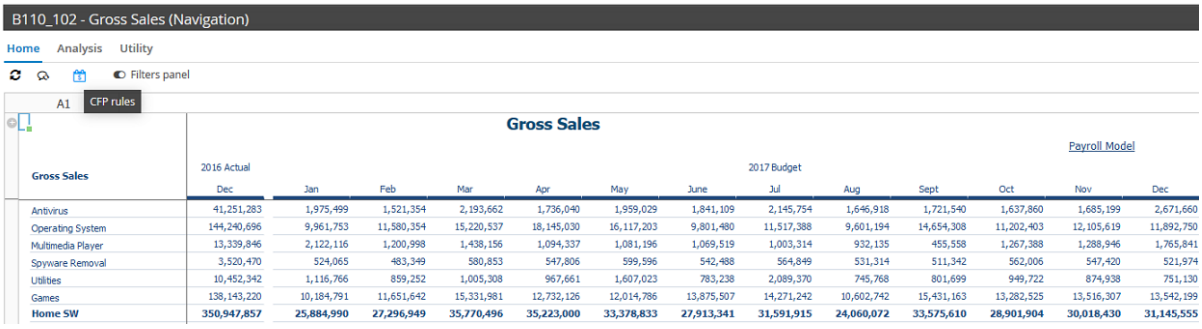
In this phase, the company user can accept what has been defined on behalf of the administrator or make changes.

Access to the financial rules window takes place through the P&L window, or from the web form.

Access from P&L Window

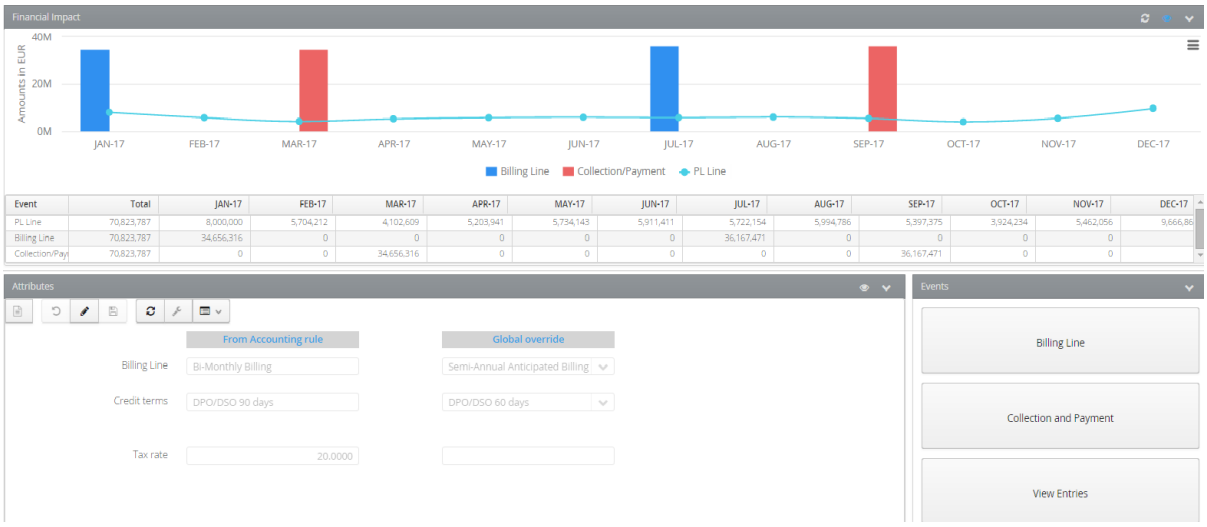
The user can access the financial rules (CFP rules) override window in two ways:

- from the P&L Web Window, by clicking on the **details** button after having selected the row (or rows) to be overridden;
- from a web form, open in data entry or in browse mode, containing P&L data, through the **CFP Rules** button on the ribbon bar, after having selected one or more cells (elements, totals or nodes). For example, consider a web form containing data for revenues by product family (as shown in the figure); after having opened the form in data entry or browse mode, by selecting one or more cells and clicking on the CFP Rules button, the entity manager has access to the web window showing details of the financial rules for the selected rows.



The detailed financial rules (CFP Rules) window is divided into two main areas:

- a display area: **Financial Impact**
- a rule and data management area through the two sections: **Attributes** and **Events**



The **Financial Impact** section displays the total amounts over the month, **graphically and in table format (by clicking on the icon)**, for the events created for that specific account (without taking account of the VAT impact) and this is for all scenarios included between the simulation start and end dates. For example, if we consider the revenue account with the accounting model that provides for accrual, billing and credit terms (as in the figure above), we have the following events:

- accrual (e.g. accrual relative to revenues) where the monthly amounts for the year are displayed.
- billing (e.g. impact on receivables from clients) containing the amounts based on the create event rule defined for the account (From accounting rule) either overridden or inserted manually
- collection and payment: (e.g. impact on the c/a bank account) which represents the financial curve generated on the basis of the credit terms rule defined for the account

For Forecasts, in addition to the “Annual Total” present in the table-format view, there is also a further “Estimated total” field

In the event that a single P&L tuple has been selected, it is possible to change the accrual, billing and cash movement directly in the grid. Changes are always saved at the end of the month. If the billing event is edited when saving, the rule override transfers to “Manual rule”. If the collection and payment event is edited when saving, the credit terms override transfers to “Manual credit terms”. For budgets, it is possible to edit the “Total” column and the value to be set is divided equally for all budget periods. For forecasts, it is possible to edit the “Estimated total” column (in this case the value to be set is also divided equally for all forecast periods).

Note that the amounts relate to the selection made in the previous window, and so if a multi-selection has been made, the data display will relate to the selected records (visible in the details section at the bottom of the window and by clicking the button)

In the **Attributes** section:

The left-hand side of the window displays the “Attributes from the Accounting model rule” set at the group level or customised for the individual entity during the setup check phase.

On the right-hand side it is possible to override all of the accounting model rules. These overrides are applied to all scenarios contemplated in the simulation unless specified otherwise in the Overrides for scenario tab" Example 2 Override credit terms for a scenario" on page 35. The attributes that can be managed when opening the window are those established and for which values have been entered in the accounting rule and are, in the most common example, as follows (as per the above image)

- Create Billing Line rule
- Credit terms
- Tax Rate

If the user wants to transfer from credit terms with a rule to manual credit terms, this can be done in two ways:

- “Manual” override of the “Override all” field and then add the rows from the “collections / payments” button in the Events section
- change the rows already present using the “collections / payments” button in the Events section (the system automatically performs a “Manual” override of the credit terms)

It is also possible to manage overrides for individual rows, from the menu *Actions (*) *> Credit terms and taxes detail* and from the menu *Actions (*) *> Event rule detail.*

In “Credit terms and taxes detail”, the user can give different credit terms and tax rates for each individual P&L row (belonging to the node/selection made)/scenario.

In “Event rule detail”, the user can override the various create event rules for each P&L row.

See Example 3 Override credit terms and taxes detail

In “Credit terms and taxes detail”, it is also possible to view the associated financial information (accounting model, credit terms, rates) for each individual P&L row; this information is very useful if the details window is opened after having selected more than one P&L row with different attributes.

The following “advanced” fields are visible by clicking on the attributes title bar

- Payment Calendar
- Splitting basis

these are used if the user wants to perform more complex operations, such as a daily split or a distribution of the amount to be collected/paid according to a certain weight/calendar

- Non-deductible percentage related to indirect tax policy 1
- Other tax rate, to be managed if a second tax policy has been specified for the selected account

- By accessing the menu *Actions (*) *> Override accounts* , it is also possible to customise the Receivable/Payable Credit/Debit variation accounts, where the balance sheet contra-entry account, which must be adjusted and could be different from that prepared by default by the administrator and shown on the left, is overridden. The typical case is where all generic default costs adjust a generic trade payable, while for a specific entity the same account could adjust a specific payable, to professionals, for example.

The **Events** section displays the buttons for the events that are triggered by the accounting rule applied to the account and the **“View Entries”** button provides a preview of the double-entries by date, which will then be generated when the cash flow planning data process is launched.

The most common events that are associated with an account are billing and Collections and payment, in this case:

- by using the “**Billing Line**” button the entity manager can view and/or change the amounts related to the billing of the corresponding amounts for the period generated by the data process with information specifying the date on which the entries are created. If performed, this manual change entails a change to the overriding of the rule which becomes a “Manual rule”;
- by using the “**Collections and Payments**” button, the entity manager is able to view and/or change the collections and payments that were generated by the data process with information specifying the date on which the entries are generated. If performed, this manual change entails a change in the overriding of the credit terms which become “Manual credit terms”;

Once a rule or credit terms have been overridden, or events or collections and payments have been entered manually, it is possible to obtain a preview of the impact of these changes on the cash flows:

- by using the **refresh** key (above the chart) where the data from the chart and table below, summed up by month, are updated according to the rule that has been set
- by using the **View Entries** button, which displays the double entries to date (showing the relative event), which will then be generated when the cash flow planning data process is launched.

Example 1 Override all of a billing and credit terms rule

Suppose that there are two simulation years in the planning process (or there are two forecast scenarios associated with the process). The chart and the table display the data related to both years of the simulation. The Trade Revenue account has an accounting model that provides for the following events: accrual, accounting. For billing, the administrator has defined a bimonthly advance rule, VAT at 20% and 90 days credit terms.

Let us assume that the manager of Entity A00 wants to apply the following rules to the Software product family, to be valid for all simulation scenarios:

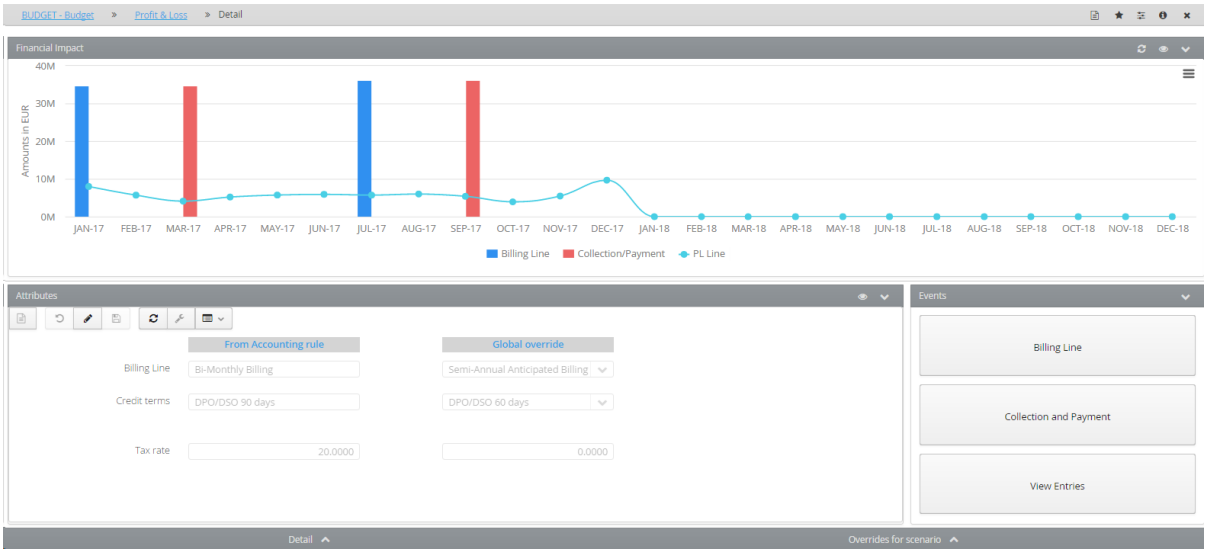
- six-monthly advance billing

- 60 days credit terms

- VAT always 20%

The entity manager can change the cash flow planning rules by accessing the CFP rules window by multi-selection in the P&L web window, or by selecting a cell from a web form containing the Software Family total.

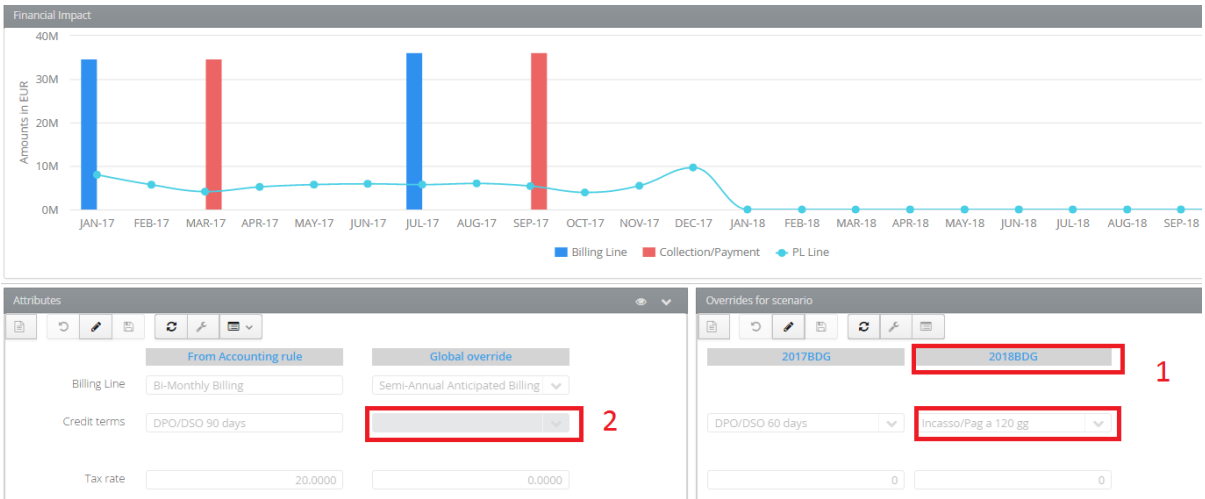
In the attributes section, the user inserts only what he wants to override (with regard to the administrator's settings) or the new rules in the "**override all"** field for the billing line and credit terms.



Example 2 Override credit terms for a scenario

After having managed the initial override at the global level in example 1 (valid for all scenarios), the entity manager wants to consider credit terms of 120 days for the second year only.

To override credit terms for a certain scenario only, the user can access the "Overrides for scenario" tab, where he inserts credit terms of 120 days for the second year only (1)



Note that the global override of the credit terms is no longer displayed (2) (the field is grey because there are different credit terms for the two scenarios).

The events rules cannot be overridden for the scenario; for example, in the above case the “six-monthly advance” billing rule is applied to all simulation scenarios (included between the calculation start date and the data process end date)

Example 3 Override credit terms and taxes detail

Let us suppose the user accesses the financial rules detail window, having selected the “Total revenues” account (which has several defined products). Let us also suppose that, in the accounting rules defined by the administrator, product 1 has credit terms of 60 days, product 2 has credit terms of 30 days and product 3 has credit terms of 45 days.

Let us assume that for entity A00, in the first year of the simulation, the user wants to set the following credit terms:

“total revenues” account - “all products” have credit terms of 60 days except for product 1 with credit terms of 30 days.

Once the total revenues account has been selected (from web form or by multi-selecting from the P&L window), in the attributes section the user can see that the credit terms cannot be viewed (grey field) because there are multiple credit terms within it (60, 30, 45)

To set the rule defined above, in the attributes section it is possible to enter “override all for scenario” at 60 days (which will have an impact on all rows of the “total revenues” account, and enter the individual exception of 30 days for product 1, by accessing the “Credit terms and taxes detail” window.

Projected Variations

Projected variations are used to manage payments/collections in the initial balance sheet which follow the payment/collection rationale that takes account of particular situations (VAT, for example) and cannot be managed through the traditional payment/collection treatment in the balance sheet; the most common usage case is payments and collections for invoices to be received and issued

Projected variations allow the user to associate an accounting rule with a balance sheet account (standard or variation), while in most cases an accounting rule is associated with a P&L. By managing projected variations it is possible to make balance sheet accounts, that cannot be managed from the Initial Balance Sheet window, follow specific curves.

By using the “Does not use accounting Model” flag, it is also possible to decide not to associate any accounting rule with the account entered, but to allow the user to enter double-entry data for forecasting.

Projected variations can be managed in various ways:

- by using the functionalities of the **ETL** module to load the data from any ERP system and in general from any IT system in which they are managed;
- by using the specific web window accessed from the end user’s web interface via the processes cockpit using a workflow model button or task
- from a **workflow model task**. The task to be used in this case is Data entry & Reporting > Cash Flow Planning, subsequently indicating the BUDGET_VARIATIONS - Projected variations data process in the parameters
- from a **data entry form**
- using the copy data utility.

Every projected variation is managed by process / scenario / entity, in exactly the same way as for the P&L forecast.

Data entry

After having completed the rules setup, it is necessary to load the data needed for the planning process and the various activities/operations that can be performed on them in order to obtain the balance sheet and P&L variation forecasts. In particular, it is necessary to input data for

- an **Initial Balance Sheet**. The Initial Balance Sheet represents the most recent actual balanced account on which basis the user wants to run the financial simulation; all of the balance sheet entries arising from P&L entries, the collection/payment of receivables and payables, any balance sheet accounting entries, L/T financing, fixed assets etc. are applied to it.
- a **Projected P&L**. The Projected P&L represents a P&L budget compiled up to the EBITDA and is the starting basis for making the system calculate the accounting, payment and generation of VAT. The calculation of direct taxes and financial interest is also based on these calculations.

  The P&L can be:

  - **projected**: this reports the forecast P&L values (both gross and intercompany) at least up to the EBITDA, since everything below that margin (depreciation, short- and long-term financial expenses/income, taxes etc.) can be calculated directly by the system.
  - **actual**: this reports all those P&L values for the previous year the effects of which must be applied to the initial balance sheet.
- the third input data item necessary for financial planning, i.e. the item representing the other accounting entries related to management. Those entries, called **Objects**, represent all those operations not typically contained in an operational-type P&L Budget / Forecast; for example, the investment plan, the L/T financing plan or specific entries such as the use of a fund.
- and potentially **Projected variations**. Projected variations allow the user to associate an accounting rule with a balance sheet account (standard or variation), while in most cases an accounting rule is associated with a P&L. By managing projected variations it is possible to make balance sheet accounts, that cannot be managed from the Initial Balance Sheet window, follow specific curves.



Tagetik allows the user to configure the origin of a data item, which must be considered as input origins for the projected P&L, the projected variations and the initial balance sheet. In the data entry phase, the system only displays data that is labelled with an origin included in that list. The management of those origins is accessible from the administrator-user's web interface by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Advanced >* ***Input origins configuration***.

Navigation panel> Data Processing > Cash Flow Planning > Advanced > ***Input origins configuration***.

Initial Actual Balance Sheet

The initial balance sheet is the most recent balanced actual balance sheet available, which is used as the starting basis for the planning process.

For quarterly forecasts, for example, the initial balance sheet can be that which relates to a quarterly closing (e.g. March, June, September).

Based on the initial balance sheet, the financial planning data process generates the balance sheet entries arising from the P&L entries, the collection/payment of receivables and payables, any accounting entries, L/T financing, fixed assets, etc.

The company manager's activities on the Initial Balance Sheet consist of:

- loading data"Loading data" below
- changing the financial rules provided by the administrator (any overriding of the credit terms/insertion of a cash schedule) related to the actual data loaded"Change Financial Rules: override Attributes and insert Schedule (CFP Rules Window)" on the next page

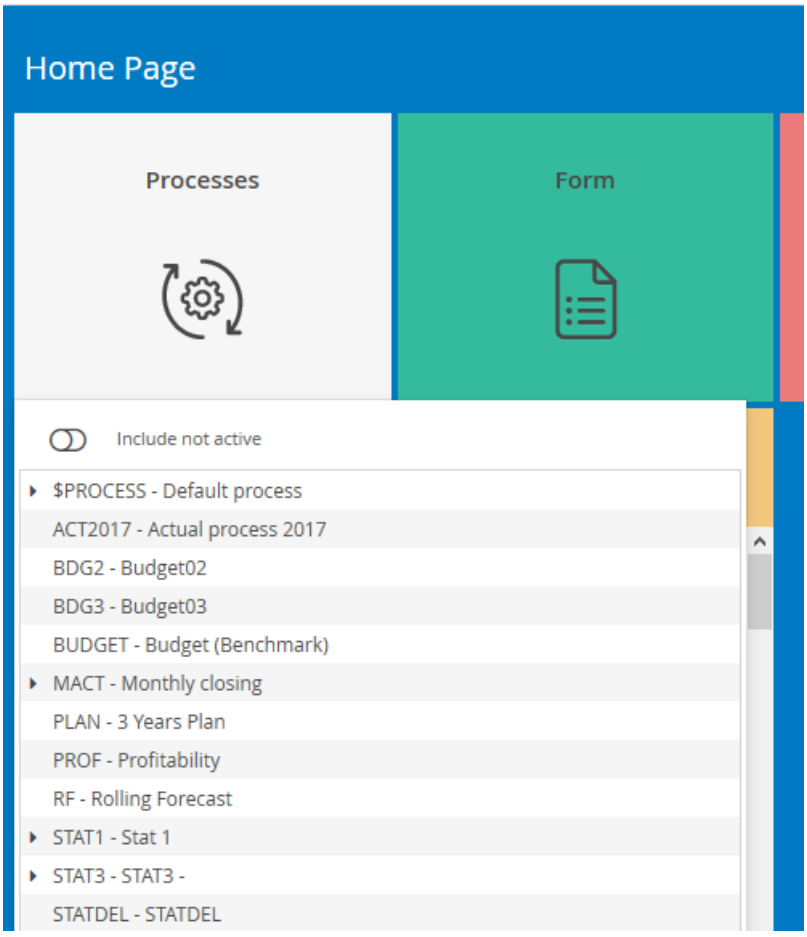
Loading data

Data can be loaded from the initial balance sheet in several ways:

- by using the functionalities of the **ETL** module to load the data from any ERP system and in general from any IT system in which they are managed;
- by using a **web form/data entry Excel spreadsheet**
- through the **copy data utility**
- by using the special web window "Initial Balance Sheet Web Window" belowaccessed from the **end user's web interface through the processes cockpit**.

Initial Balance Sheet Web Window

To access the initial Actual Balance Sheet web window it is necessary to click on the "Processes" button (available on the end user's home page) and select the desired process



When opening the cockpit it is necessary to select one of the phases of the process at the top of the screen and one of the entities for which the user has editability rights

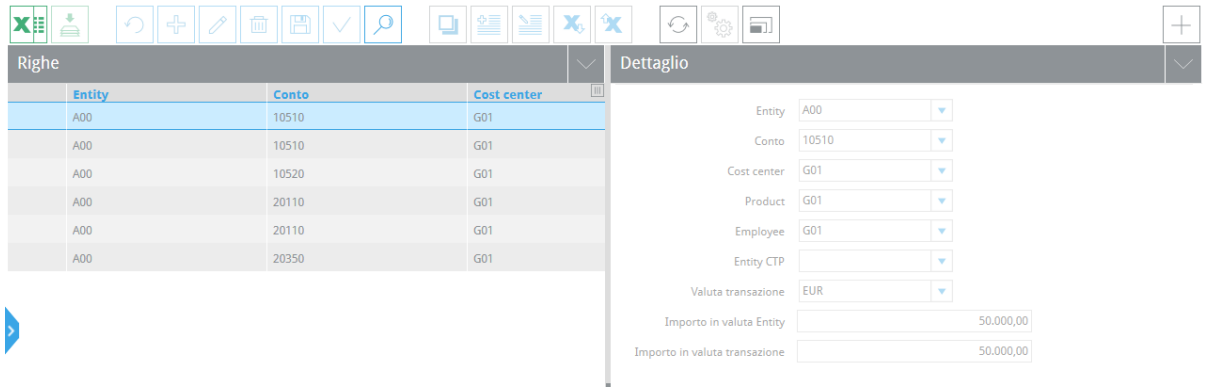
It is possible to view/enter and change Initial Balance Sheet data by accessing the web window (which is a view in the Balance Sheet) using the following methods:

- from the Cash Flow Planning **Cash Flow Planning** button, selecting the **Actual Balance Sheet** option

By clicking on the *Cash Flow Planning* > *Actual Balance Sheet* button from the end user's web interface through the processes cockpit, the system pre-sets the information related to the process and entity and shows the (gross and intercompany) balances of the initial balance sheet accounts as the starting data for financial planning.

Each initial balance sheet amount, whether gross or intercompany, is identified:

- by a standard **account** of a "balance sheet" or "other stocks" nature
- by any **custom dimensions** being managed;
- by the **currency**;
- in cases of intercompany data, by the **counterparty entity** and any **custom counterparty dimension 2** if the relationship type for the process is "By entity / custom dimension 2" or "By entity / Synthetic custom dimension 2"
- an **amount** expressed **in the original currency** and an **amount** expressed **in the currency in which the entity operates**.



In the window opening phase, the system displays the gross balances and intercompany balances originating from one of the origins configured as inputs. For more details, see Input origins configuration

Change Financial Rules: override Attributes and insert Schedule (CFP Rules Window)

Once the initial Balance Sheet data has been inserted/displayed, the user can:

- decide whether to accept the financial rules established for recording collections/payments in the balance sheet by the administrator or override the "Balance Sheet attributes" if those present in the accounting model do not meet his needs;
- insert the cash schedule, if the model linked to the account allows this

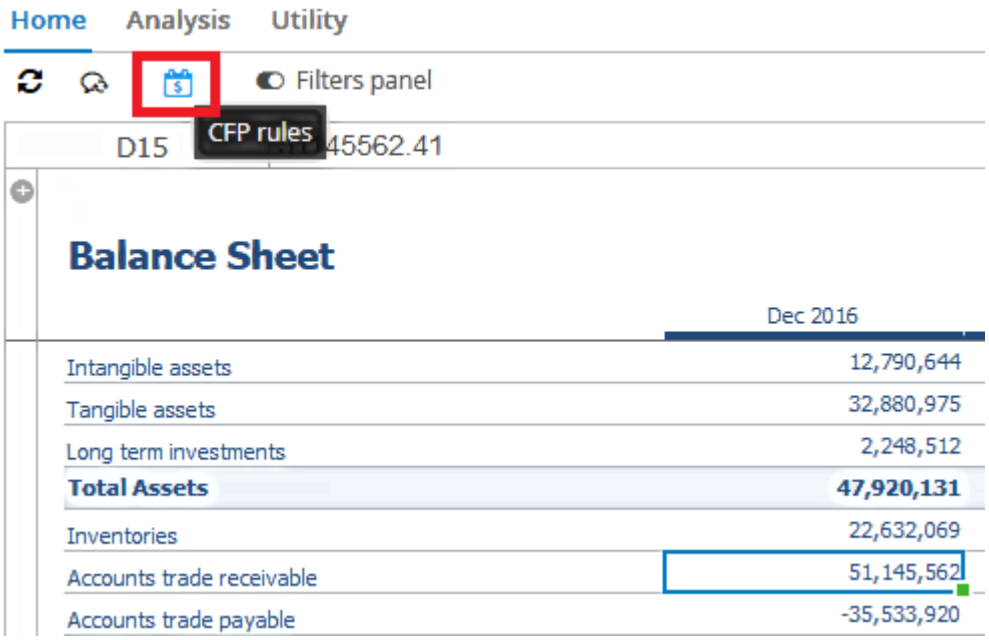
In fact, recording collections/payments can take place either through a credit terms rule or a cash schedule. The use of one method over another will depend on the accounting model associated with the account. If the account has an accounting model that permits the event:

- "$DCP" (Collection/ Payment) - then recording collections/payments takes place through a credit terms rule.
- "$GSCP" (Collection/Payment Schedule) - then recording collections/payments takes place through a cash schedule.

The user can access the financial rules (CFP rules) override window in two ways:

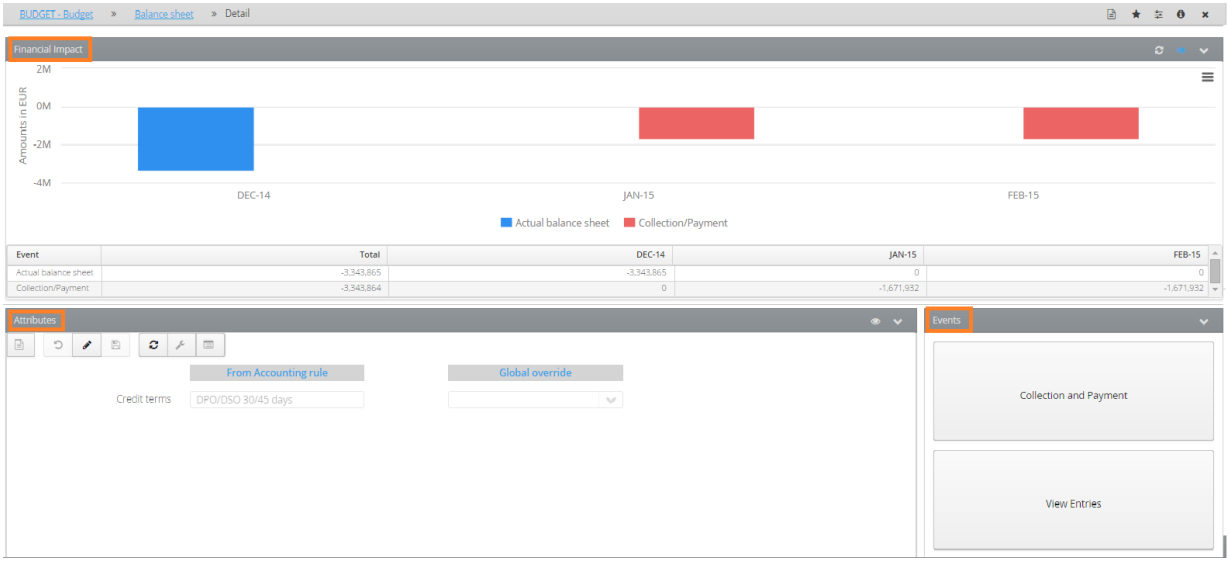
- from the Initial Balance Sheet window, by clicking on the **details** button after having selected the row (or rows) to be overridden;

- from a web form, through the **CFP Rules** button on the ribbon bar, after having selected one or more cells (elements, totals, nodes) of a balance sheet web form (prepared by the administrator) in data entry or browse mode



The financial rules (CFP Rules) detail window is divided into two areas:

- a display area: **Financial Impact**
- a rule and data management area through the two sections: **Attributes** and **Events**



The **Financial Impact** section displays the total amounts over the month, **graphically and in table format (by clicking on the**  **icon)**, of the initial balance sheet (e.g. initial payables) and cash flows adjusted by the financial rule set (credit terms or cash schedule). In the above image, the entries relate to the "payment at 30/45 days" rule.

Note that the amounts relate to the selection made in the previous window, and so if a multi-selection has been made, the data display would relate to the selected records (visible in the **details** section at the bottom of the window and by clicking the  button)

In the **Attributes** section

The left-hand side of the window displays the "Attributes **from the Accounting model rule**" set at the group level or customised for the individual entity during the setup check phase (e.g. payment at 30/45 days);

On the right-hand side it is possible to **override all** of the accounting model rules. Only the attributes provided for in the accounting rule linked to the selection made can be modified/managed.

It is also possible to manage overrides for individual rows, from the menu *Actions > Credit terms and taxes detail*.

In "Credit terms and taxes detail", the user can give different credit terms and tax rates for each individual balance sheet row (belonging to the node/selection made).

In "Credit terms and taxes detail", it is also possible to view the associated financial information (accounting model, credit terms, rates) for each individual balance sheet row; this information is very useful if the details window is opened after having selected more than one balance sheet row with different attributes.

In the third section, **Events**, using the "Collections and Payments" button, the entity manager is able to view the collections and payments that were generated by the data process with information specifying the date on which the entries are generated, and enter them in case the system provides a cash schedule.

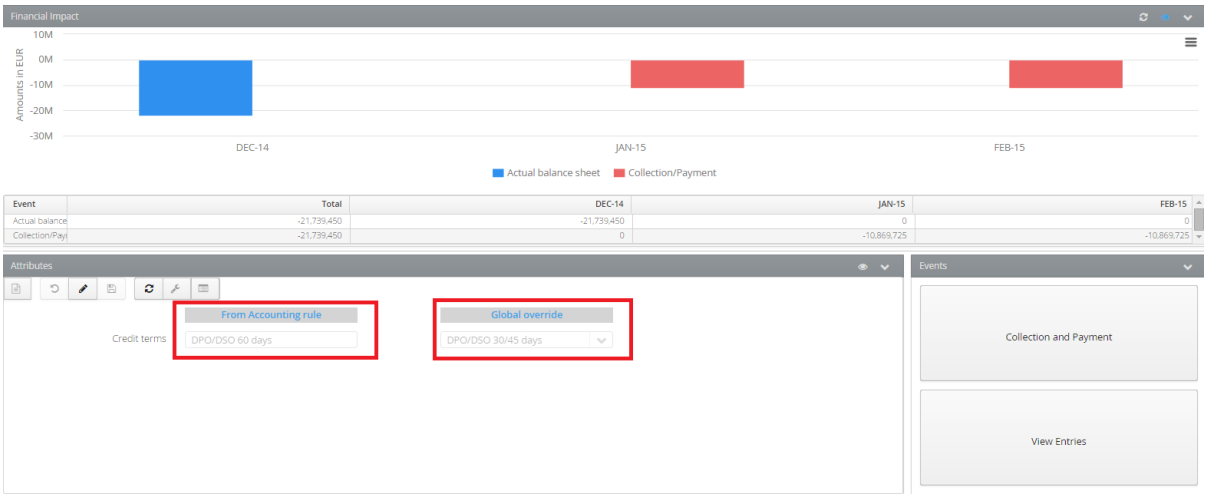
Once a rule has been overridden or a schedule row has been entered manually, it is possible to obtain a preview of the impact of these changes on the cash flows:

- using the **refresh** key (above the chart), the data from the chart and table below, summed by month, are updated according to the overridden rule;
- the **View Entries** button displays the double entries to date, which will then be generated when the cash flow planning data process is launched.

A schedule is generally used when the amount of the payment/collection and the date on which to record it are known. Credit term rules, on the other hand, are typically used when neither the date nor the amount to be collected/paid are known; hence the use of a generic rule – the credit terms – which can record the amount collected/paid according to a certain percentage and with a certain due date

Example 1. Collection/payment recorded by means of a credit terms rule

A. Let us suppose there is a Trade payables account with amounts entered on the generic product/cdc/employee with which an accounting model $032 - Payables is associated: payment with credit terms which has, among its events, $DCP - Collection/Payment. The image below shows how the group administrator has specified credit terms of 60 days (credit terms from accounting rule field) which, however, the company manager can override (in the override all field). In this case, the user overrides the credit terms of 30/45 days where, in the rule, he has specified that he wants to pay 50% of the balance sheet payables at 1 month and the remaining 50% at 1 month and 15 days. Clicking on the refresh key will display the impact that the change made to the rule has on the cash flows.



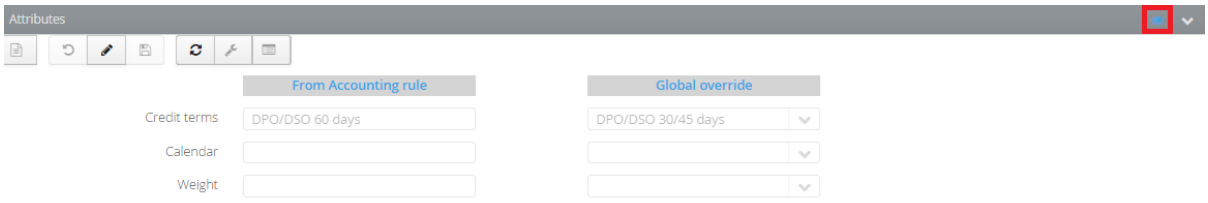
B. Now let us assume that the user wants to select all trade payables (through multi-selection on the account) and wants to override only the 90 day credit terms all at once. When opening the window, the data displayed relates to the total trade payables account.

In the “attributes” section of the accounting rules field, the rule is only displayed if all the rows below have the same rule. The overriding of the rule has an effect on all the rows below which have the same accounting model.

The fields:

- Payment Calendar
- Splitting basis

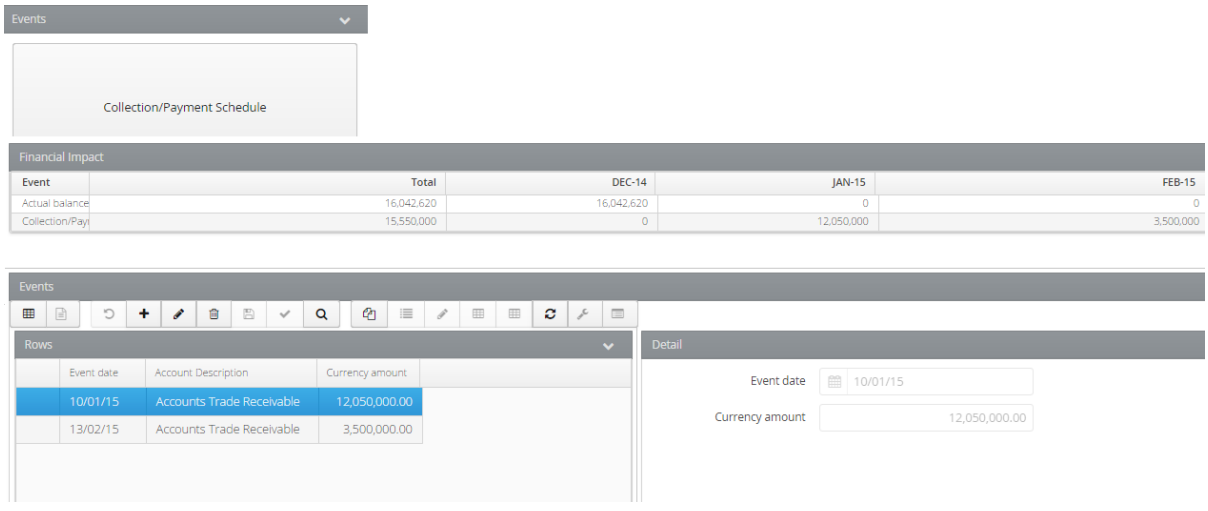
are used if the user wants to perform more complex operations, such as a split by day or a distribution of the amount according to a certain weight and can be viewed by clicking on on the attributes title bar (see image below)



It should be noted that the accounting model typically associated with collection/payment entries through credit terms is a model which has the events “GIB - Initial BS” and “$DCP - Collection/Payment”. Tagetik loads the initial actual balance onto the $GIB event and records collections/payments on the bank account according to the specified credit terms.

Example 2. Collections/payments using a cash schedule

Let us suppose that we have the Trade receivables account associated with an accounting model $023 - Receivables: Collection/payment with a cash schedule which has, among its events, the event $GSCP-Collection/Payment Schedule. By opening the CFP rules detail window, clicking on the “Cash schedule” button on the “Events” panel, the system opens a new window in which the amounts entered by month are displayed in the upper part and the amounts that will be collected at a certain date can be entered in the lower part.



In our example, we have an actual receivable which is collected in two tranches: the first in January for an amount of 12,050,000 and the second in February for an amount of 3,500,000.

It should be noted that the accounting model typically associated with a recording collections/payments through a cash schedule is a model which has the events “GIB - Initial BS” and “$GSCP - Collection/Payment Schedule”. Tagetik loads the initial actual balance onto the $GIB event and records collections/payments on the $GSCP event.

Company

In Tagetik, the entity is the dimension used to identify the entities that guide the data collection process and the approval/certification process.

The list of entities can be accessed from the administrator-user's web interface by following the path *Set-up and Admin > Dimensions tile > Entity > List*.

Navigation panel> Dimensions > Entity > List

The information for setting up the specifics of the financial planning process is:

- **the fiscal policy** used by the entity. The fiscal policycontaining all relevant information for the purposes of calculating the relative taxes and payments**;**
- **run as entity.** This allows the user to identify the items on the list which represent the actual legal entities;
- **run as sub-entity.** This allows the user to identify the items on the entity list which represent sub-entities.

For more details on the attributes to set during the definition of an entity, see the **Basic Administration / Data Model / Entity / Create an entity** chapter of the user manual.

Entity limitations / custom dimensions

In Tagetik, by default it is possible to collect data on all the possible intersections between entity and custom dimensions. If the user wants to disable the collection of data on particular intersections between entity / custom dimensions for all users, it is necessary to specify the entities for which there exist limitations on the custom dimensions elements that can be used during the data entry phase. To do this, it is necessary to set the content of the **Restrictions** tab.

In particular, for the purposes of financial planning it is possible to associate a **default element** with every entity, for every custom dimension managed. That default element is used by the system in generic Financial Planning data processing, such as the calculation of interest, the calculation of applicable taxes, and in the data entry phase every time the data item to be inserted is not detailed on that dimension.

For example, supposing the user has the "product" custom dimension, we can have costs detailed by product and others which are not detailed by product, such as salaries or insurance. For more details, see Users rights: Restrictions on dimensions

General configuration

Before starting to work on the data model, it is necessary to tell Tagetik that we want to set up a financial planning process so that the system can display:

- all of the menu keys used for that process, regardless of the roles associated with the users;
- all of the attributes present in the various management windows used for that process.

This indication is given by enabling the **Cash Flow Planning** option in the initial set-up wizard, which can be accessed from the administrator-user's web interface, following the path *Setup & Admin > Settings*.

Navigation panel> Settings

It is then necessary to set the following information in the application database configuration:

- assign a name to the entity dimension (**Entity name**) and account dimension (**Account name**). The name entered is what the system will use every time the dimension is selected/displayed;
- enable the management of the five custom dimensions, if necessary;
- set the section's sign to "debit".

 When changing the settings in the configuration, it is necessary to reload the application in order for the changes to take effect.

Account

The account is one of the obligatory dimensions that identifies the data in Tagetik. Any measurement or metric subject to analysis, whether financial or statistical, can be opened on the account dimension. Statistical accounts are typically used in management reporting, such as drivers in allocation processes or in the creation of indices (earnings per passenger on a boat, for example)

The list of accounts can be accessed from the administrator-user's web interface by following the path *Set-up and Admin > Dimensions tile > Account > List*.

Navigation panel>Dimensions > Account > List

The attributes of the specific account for a financial planning process are:

- an indication of whether or not the account is enabled for intercompany management;
- all of the attributes present in the Financial Planning **tab.**

IC management

Every time an amount (cost, revenue, asset) relates to a transaction between entities belonging to the same group, it is called an intercompany amount. In Tagetik, the administrator-user can decide whether or not an account can accept intercompany values by using the **IC Management** option present in the list of accounts.

By disabling this option, the system does not permit intercompany values to be entered, thus preventing the attribution of intercompany entries on the wrong accounts. For example, the Assets - Machinery account, which contains the value of the machinery possessed by an entity, does not have intercompany amount management enabled because, in general, possession is not shared.

 In the presence of a single intercompany account, it is possible to tell the system to calculate the gross figure for that account automatically, by adding together all of the intercompany amounts already entered without using MD (Multidimensional) scripts. This takes place by enabling the **Gross amount equal to the IC sum** option in the accounts list "Rules" tab and, on saving, the system generates an "IC on Gross amount" basic calculation logic for the automatic calculation of the gross amount.

 Typically, the **IC Management** option must be active for accounts that fall within the cash pooling perimeter in order to permit balances to be transferred from one entity to another. If this option is not enabled, it will not be possible to transfer intercompany amounts without any warning from the system, since the only way for it to activate the transfer is precisely by activating this option.

Attributes of the "Cash Flow Planning" tab

In this tab, for each account of a standard nature, all of the necessary contra-entries on which the system performs the planning entries are defined in terms of variation. All Cash Flow Planning data processing takes place on the variation accounts and subsequently, via the control groups, the system provides the data on the standard-type account, as well as on the variation account.

The fields to be managed are:

- **Debit/Credit Variation Account** . Variation account on which the system registers variations (increases or decreases) in standard-type balance sheet accounts. This account can be used when defining accounting models and is usually used on balance sheet accounts to specify the variation account with which to perform the initial collection/payment, or, for accounts linked to asset-type objects, to specify the variation accounts linked to events;
- **Receivable/Payable Variation Account: Credit/Debit** . Receivable/Payable variation account generated by a cost/revenue. This account can be used when defining accounting models and is usually used on P&L accounts to indicate the variation account of the receivables or payables entered;
- **Liquidity variation account: Credit/Debit**. Bank account variation account on which the financial events (payment or collection) related to the account in question are registered. This account can be used when defining accounting models and is usually used to indicate the cash flow account to be increased or decreased when a collection or payment occurs.

- **Credit/Debit Accrual Variation Account**. Variation account on which the system registers the accrual of a cost/revenue in cases of deferred billing.
- **Other Credit/Debit Account.** Additional accounts to those already available can be indicated in this field. For example, for the accounting model related to assets, the Depreciation account is typically indicated in this field, or it is used to manage a capital gain or loss related to an asset inserted previously;
- **Other Accrual Account: Credit/Debit**. Account used for:
    - generating the balance sheet contra-entry for accounts which do not have a financial entry (depreciation, for example)
    - generating the reference entry of a cost/revenue in the case of deferred billing
- **Enable Revaluation/Devaluation**. This allows the user to label accounts for which, at the end of every month, the end-of-period FX rate valuation is performed;
- **Revaluation/Devaluation Account: Credit/Debit**. By default, the system books the credit/debit FX rate difference related to the end-of-period evaluation on the "**FX rate difference account: credit/debit for revaluations**" indicated in the generic cash flow planning rule (accessible from the administrator-user's web interface by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Generic rules*). *Navbar > Data Processing > Cash Flow Planning > Generic rules*)This default can be overridden for each individual account by defining this attribute;

When generating forecast double entries on variation accounts, the financial planning model needs the balance sheet to be subject to variation i.e. the following variation accounts to have been opened for all standard balance sheet accounts:

- an initial balance variation account – on which entries are made on the basis of the final balance for the previous year with carry forward data processing
- One or more variation accounts – which will contain all entries generated by the application of the accounting rules that have been set

During the cash flow planning data processing, the standard account is then calculated through the control groups logic.

Data Model Configuration

Every Tagetik application is based on a multidimensional model. That data model is shared among the various processes that have been set up, but in some cases it is necessary, for some dimensions, to set specific information depending on the process implemented. For example, in the presence of a financial planning process on the list of accounts it is necessary to set, for each standard account, the contra-entries necessary to perform the planning entries, information which is, conversely, not used in a consolidation process.

On the other hand, some dimensions are only involved in certain processes; for example, the fiscal policy or tax rates relate only and exclusively to a financial planning process.

The data model setup for the purposes of financial planning is summarised in the following flowchart:

- enable the “Processes used – Cash flow planning” option in the **general configuration** to tell Tagetik that you want to set up a financial planning process;
- complete the **Entity** table;
- complete the currencies list and configure the preferred currency;
- complete the **accounts** table for the standard part of the accounts;
- complete the variation accounts list;
- create the variation accounts for each standard balance sheet;
- create the control groups and deploy them;
- define the result accounts;
- set the carry forward rules;
- compile the **categories** list;
- open the **planning scenarios** and their periods;
- open the event scenario;
- create the **process** with an indication of the phase of the workflow model with which to associate the Cash Flow Planning data processing;
- associate the scenarios / periods and the event scenario with the relative process;
- associate the various entities, accounts and categories with the created process;
- perform process deployment;
- set the **interest rate types** and the interest rate value necessary for the financial policy;
- compile the list of **Fiscal Policies and Taxes** and the relative taxes;
- link the relative fiscal policy to the various entities;
- define the **tax rates**;
- define the **sensitive accounts** that contribute to the definition of the tax base for the calculation of the taxes on an accrual basis at the end of the year;
- define the **FX rates**.

Let us look at the attributes, pertaining to every dimension, that are necessary for a financial planning process. An explanation of the attributes that are assigned to more than one process is included in the “*Basic Administration*” chapter of the user manual.

Fiscal policy, Tax Rates and sensitive accounts

Tagetik's financial planning module allows the user to calculate direct taxes for the year. The item with which income taxes and the relative rates are defined is the **fiscal policy**. It is possible to associate the rates that are used with an entity via the fiscal policy:

- to calculate direct taxes in Cash Flow Planning;
- to calculate deferred taxes in consolidation data processing.

Create a fiscal policy

The list of fiscal policies can be accessed from the administrator-user's web interface by following the path *Set-up and Admin > Data processing > Taxes > Fiscal Policies and Taxes*

Navbar > Data Processing > Taxes > Fiscal Policies and Taxes

It is possible to define several fiscal policies, such as Italian fiscal policy, Foreign fiscal policy, etc.

A fiscal policy is identified by:

- a **code**;
- a **description**

Once a fiscal policy has been defined, it is necessary to specify what the taxes for that fiscal policy are. For example, in the case of an Italian fiscal policy, IRES (corporate income tax) and IRAP (regional tax on productive activities) must be calculated.

 In order for the tax calculation to function correctly, it is necessary to relate the relative fiscal policy to each entity.

Tax Rates

It is necessary to define the rate for every tax under a fiscal policy.

The list of tax rates can be accessed from the administrator-user's web interface following the path *User > Rates > Tax rates*

The user must specify:

- the **scenario** to which to apply the rate. Account should be taken of the fact that the tax rate could change from one year to the next;
- the **fiscal policy** to which the rate being entered relates;
- the **tax** to which the rate being entered relates;
- the percentage value of the **rate** for the tax.

Utilities

Copy

Tax rates can be defined manually for every scenario or it is possible to copy the definition from one scenario to another and then make the necessary changes. This copy utility is accessible from the **Copy to Original scenarios** wizard in the tax rate management window.

After performing the copy, it is possible to make the necessary changes.

The user must select:

- the **origin original scenario** (from which to copy the tax rates);
- the **target original scenario** (to which the tax rates are to be copied);

The system updates the existing data and then inserts the tax rates missing from those existing in the original scenario from which to perform the copy.

Definition of sensitive accounts

Once the settings of a certain fiscal policy and the relative rates have been defined, it is necessary to set up the accounts that are sensitive to the tax. This is how to define all of the accounts that contribute to the definition of the tax base for the calculation of the taxes on an accrual basis at the end of the year. The cumulative sum, in December, of all accounts declared to be sensitive to the tax therefore defines the tax base itself.

For example, if two taxes have been defined for the Italian fiscal policy, such as IRES and IRAP, it is necessary to tell the system which planning accounts are sensitive to IRES rather than IRAP, and the relative percentages. It is possible to distribute the subjection of a deductible account up until the seventh forecasting year.

The setup for P&L accounts sensitive to a tax can be accessed from the administrator-user's web interface by following the path *Setup & Admin > Data Processing > Taxes > Direct taxes - Input accounts*.

Navbar > Data Processing > Taxes > Direct taxes - Input accounts

The user must specify:

- the **fiscal policy**;
- the **tax**, or the tax for which it contributes to determining the tax base;
- the **P&L account** which contributes to the definition of the tax base.

  In order to correctly calculate the taxes, it is necessary to enter all planning P&L accounts; therefore, if an account is not sensitive to the tax, it is necessary to define the "% not subject to" information and leave the "% subject to" as zero.

- the **% not subject to**, i.e. the percentage of the account that is not subject to the tax. ;
- the **% subject to current year**, i.e. the percentage of the account that is subject to the tax for the current year.

  This percentage can also have a value greater than 100 so that, for the calculation of IRES on staff costs, for example, the excluded IRAP portion will be considered as taxable.

  If the user wants to distribute the subjection of a deductible account over several years (up until a maximum of seven), it is necessary to specify the **% subject to year n+1**, up to the **% subject to year n+6**

During the saving phase, the system checks that the sum of the following percentages is equal to 100

- % not subject to
- % subject to current year
- % subject to year n+1
- % subject to year n+2
- ...
- % subject to year n+6

If the sum of the percentages entered in the "% not subject to" and "% subject to current year" fields is greater than 100 but the value of the "% not subject to" information is less than or equal to 100, then that check is not performed.

It is also possible to limit the deductibility of an account based on an account defined as a "**threshold account**". In this case, the maximum value subject to tax corresponds to the value obtained by applying the specific percentage (**threshold %**) to the **threshold account**.

One typical use of the threshold % are the maintenance costs related to assets that are only deductible up to a certain percentage of the value of the asset.

Tax rules

To calculate the direct taxes under a given fiscal policy, in addition to setting:

- the list of fiscal policies and the relative taxes;
- the tax rates for every tax;
- and the accounts that contribute to the definition of the tax base

it is necessary to set:

- the necessary accounts in order to calculate the value of the taxes for the year, the value of tax credits, down payments and tax loss spreading;
- the due dates for the payment of the various down payments and the balance.

This information can be set via access from the administrator-user's web interface, following the path *Set-up and Admin > Data processing > Taxes > Taxes setup - Output accounts*.

Navigation panel> Data processing > Taxes > Taxes setup - Output accounts.

Tax is defined for **fiscal policy / tax** to be set up in the **Attributes** tab.

Once the fiscal policy and tax to be set up have been specified in the**Direct Taxes** tab, it is possible to define the accounts necessary for the system to generate the entries related to the direct taxes for the year, as well as the value of tax credits and tax loss spreading.

In detail, the accounts to be set up are:

- **Taxes**. P&L account on which the taxes are booked
- **Accrual - credit variation**. Variation balance sheet account on which the accruals for the tax that has already accrued but has not yet been recognised are booked.
- **Tax loss**. Normal P&L account on which to register the year's negative result (it can be the usual P&L account used to book the year's net result);
- **Tax loss spreading: No. of years**. Specifies the number of years for which the tax loss for a specific tax period can be deducted from the taxable income in subsequent years
- **Direct taxes monthly splitting rule**. Monthly splitting rule to be applied to the taxes for the year. A tax can be split monthly:
  - *based on statutory result*. Monthly splitting takes place on the basis of the statutory result for every period of the year
  - *based on a weight*. Monthly splitting takes place on the basis of the "Weight for direct taxes monthly splitting".
- **Weight for direct taxes monthly splitting**. Weight by means of which the monthly splitting of annual taxes is obtained. It is possible to choose from among all the types of weights present in the weights list (accessible from the administrator-user's web interface by following the path *Setup & Admin > Data Processing tile > Cash Flow Planning > Advanced rules > Weight*)
  Navigation panel> Data processing >Cash Flow Planning > Advanced rules > Weight).

  
  The weight may be in twelfths, in which case the taxes are flat for the entire Budget period (a hypothesis which is not completely correct since that flat-rate tax might not coincide with the monthly tax base), or with a single period, typically December, which calculates the cumulative taxes at the year end
- **Accrual - debit variation**. Variation balance sheet account on which the accruals for the tax that has already accrued but has not yet been recognised are booked.
- **Tax fund**. Normal balance sheet account on which to register the amount payable/receivable for taxes
- **Tax fund: variation account**. Variation account for the standard "Tax fund" account used for the registration of the amount payable/receivable for taxes. This account is entered when booking taxes for the period
- **Tax credit (P&L account)**. P&L account on which the P&L tax credit is booked
- **Tax credit (BS variation)**. Balance sheet variation account on which the balance sheet tax credit is booked

At this point, it is possible to set up the accounts necessary for the system to generate the entries for the down payments to be made for taxes, as well as the actual payment and balance thereof, in the **Direct taxes and payments** tab.

In detail, the accounts to be set up are:

- **Holidays**. If the user wants to prevent the payment of taxes from being made on a public holiday, it is necessary to specify the holiday to be used.
- **Bank: credit variation**. Variation account of the standard “Bank” account entered when the down payments are made and tax balance is paid
- **Credits due to down payments**. Normal balance sheet account on which the amount receivable from the tax authority is saved when down payments for direct taxes are made
- **Statistical account: prev. year tax**. Statistical account on which the tax for the previous year is saved and on which basis the system calculates the value of the down payments for the first planning year. In subsequent years, the system uses the P&L account on which the tax for the period is registered
- **Credits due to down payments: payment variation**. Variation account of the standard “Credit due to down payments” account on which the amount receivable from the tax authority is booked when the down payment is made
- **Bank - debit variation**. Variation account of the standard “Bank” account entered when the tax credit is collected
- **Tax fund: down payment write off**. Credit variation of the “Tax fund” account for the down payment write off if the balance of the Tax fund is in credit.
- For every down payment (the system provides for the possibility of managing four of them) it is necessary to specify:
  - the **percentage** that must be paid
  - the date on which it must be paid, duly defining the **Day** and **Period** fields
- **Down payment write off method**. Write off method for the down payment made during the course of the year. The following methods are provided for:
  - *Fiscal year end*. The amount payable to the tax authority is written off with the balance of the “Credit due to down payments” on 31/12
  - *Balance payment*. The amount payable to the tax authority is written off with the balance of the “Credit due to down payments” upon the settlement of the tax liability.
- **Credit write off variation for down payments**. Write off variation of the “Credits due to down payments” account that the system uses at year end or upon payment of the tax balance, in order to make a sort of account transfer and move the balance of the down payment account to the tax fund.
- **Tax balance payment fund**. Debit variation of the “Tax fund” account entered upon the tax balance payment.
- The payment date for the tax balance (understood to be the difference between the down payments made the previous year and the value of the taxes due for the previous year) must be specified, duly defining the **Day** and **Period** fields.

Scenario

Together with the period, the scenario represents Tagetik's time dimension. In particular, the original scenario is used by Tagetik for all data entries and includes the concepts of tax year and data version.

The list of scenarios can be accessed from the administrator-user's web interface by following the path *Set-up and Admin > Dimensions tile > Scenario > List*.

Navbar > Dimensions > Scenario > List.

For financial planning purposes, for every original scenario to be created, in addition to the **code** and **description**, it is also necessary to indicate:

- the **previous scenario**
- the **following scenario**.

These two pieces of information are essential for the purposes of balance sheet continuity: in fact, this is the only way that the system can link the various reporting years and respond to the needs of the Strategic Plan in terms of performing all of the closing and carry-forward entries spanning two years. Therefore, if the simulation in question ends with scenario 2013SP it is in any case necessary to create a following scenario, such as 2014SP.

In order to perform data entry, it is not sufficient to have defined an original scenario; it is necessary to associate one or more periods with the original scenario.

For example, to collect budget data for 2012, it is also necessary to indicate the periods, i.e. 2012BDG 03/06/09. Tagetik's time dimension is ALWAYS the combination of the two physical dimensions: Scenario/Period.

The list of periods of an original scenario can be accessed from the administrator-user's web interface by following the path *Set-up and Admin > Dimensions tile > Scenario > List > Actions (⋮) > Periods*.

Navigation panel> Dimensions > Scenario > List > Actions (⋮) > Periods.

For more details on the attributes to set during the definition of an original scenario, see the **Basic Administration / Data Model HTML5 / Scenario** chapter of the user manual.

Once the various original scenarios/periods have been defined, to be able to use them it is necessary to relate them to a process. This matching takes place from the administrator-user's web interface, following the path *Setup & Admin > Processes tile > Process definition > Define cycles*.

Navbar > Processes & Workflow > Process > Process definition > Define cycles.

For more details, see the *Process / Create a process*" chapter of the user manual.

Event scenario

A particular feature of financial planning concerns the need to create an "Event Scenario", i.e. a scenario used by the system to manage events to date, such as the opening of L/T financing or the purchase of properties.

Because financial planning operates with a date logic in Tagetik, it is not necessary to configure the periods for the event scenario since, when registering the entry, the system populates the period with a specific date, which is potentially different from the month-end.

The event scenario does not necessarily need to be a fictitious scenario; it can also be a "real" original scenario, such as the planning scenario present in the process, for example

Once the event scenario has been created, it is necessary to relate it to a process. This matching takes place from the administrator-user's web interface, following the path *Setup & Admin > Processes > Process definition > Data processing > "Cash Flow Planning" node requirements*.

Navbar > Processes & Workflow > Process > Process definition > Data processing > “Cash Flow Planning” node requirements.

Interest rate type and rates

During the performance of the cash management calculation, Tagetik allows the user to perform the interest calculation by applying a fixed rate or using variable rates for a scenario / period / currency. The management of variable rates requires the definition of the **rate type**. The rate type is a sort of version of the rate, such as Euribor - 1 month, Euribor - 4 months. Every rate type being managed must be related to a scenario / period / currency, specifying the interest rate.

The management of rate types can be accessed from the administrator-user's web interface, by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Interest rate type*.

Navigation panel> Data Processing > Cash Flow Planning > Financial rules > Interest rate type.

Every rate type is identified by:

- a **code**;
- a **description**.

Once a rate type has been defined, it is necessary to tell the system:

- the scenario / period / currency to which it must be related;
- the % of the corresponding interest rate. A positive value must always be entered for both rates receivable and rates payable.

This matching is managed from the administrator-user's web interface, by following the path *Rates > Interest rates*.

For example, it is possible to define different interest rates for each period of a scenario or for different currencies in the same scenario/period.

FX rates

Tagetik is a multi-currency system and allows the user to manage amounts:

- **in the transaction currency**. This is the currency in which a certain transaction was performed, regardless of the currency in which the entity that performed it operates;
- **in the financial statement currency**. This is the currency in which the entity draws up and publishes its financial statements;
- **in the consolidation currency**. This is the currency in which the consolidated financial statements are generated, and is generally the currency in which the group's holding company operates.

When a financial statement balance, an intercompany entry or an adjustment entry is made, it is possible to indicate the amount in the financial statement currency and the amount in the transaction currency, while the consolidation currency is used to convert all amounts from the original currency during the consolidation process. Therefore, in Tagetik, every data item is always characterised by two amounts: the transaction amount / financial statement amount for original data, or the financial statement amount / consolidated amount, for consolidated data.

Three different types of FX rates can be managed for each currency:

- **final FX rate**. These are essentially the period-end FX rates, and they are used for the balance sheet accounts, with the exception of the equity accounts, which are typically converted at the historical FX rate;
- **average FX rate**. These are the FX rates generally used for P&L accounts;
- **period average FX rate**. This type of FX rate allows the user to perform more precise conversions than when using the average FX rate, since it applies a different FX rate for every period of the year.

To convert an amount from currency A to currency B, the system takes the amount, divides it by the FX rate for currency A and then multiplies the result by the FX rate for currency B.

The management of FX rates is accessible from the administrator-user's web interface, following the path *User > Rates > FX Rates*.

Since FX rates can vary over time, their management is "time-dependent", or by **original scenario / period**. In addition to the scenario / period, every FX rate is identified:

- by the non-derived **currency**, i.e. a currency for which, on the list, the "Reference Currency" field to which the FX rate refers has no value entered;

   It is not necessary to insert FX rates for derived currencies. For derived currencies, the fixed coefficient indicated on the list is always valid with regard to the reference currency

- by the value of the **final FX rate**;
- by the value of the **average FX rate**;
- by the value of the **period average FX rate**.

 The FX rate is necessary for every currency, and therefore also in the event that only companies operating in euros are being managed, for example. Obviously, in this case the FX rate will be 1 to 1. If the FX rate, including the euro FX rate, is not completed, there will be an error during the performance of the data processing and the system will give a warning that the FX rate has not been entered for the scenario/period.

Utilities

Copy

FX rates can be defined manually for every scenario/period, or it is possible to copy the definition:

- from one scenario to another. This copy utility is accessible from the **Copy to Original scenarios** wizard in the FX rates management window.
- from one scenario/period to another. This copy utility is accessible from the **Copy to Original scenarios/periods** wizard in the FX rates management window.

After performing the copy, it is possible to make the necessary changes.

In the first case, the user must select:

- the **origin original scenario** (from which to copy the FX rates);
- the **target original scenario** (to the FX rates are to be copied);

while in the second case:

- the **origin original scenario/period** (from which to copy the FX rates);
- the **target original scenario/period** (to the FX rates are to be copied);

In both cases, the system updates the existing data and then inserts the FX rates missing from those existing in the original scenario from which to perform the copy in the first case and in the scenario/period in the second case.

Category

Category is one of Tagetik's key dimensions, as it provides the means for the classification and segmentation of data (particularly journals) and thus makes it possible to keep track of the way in which data items are generated (entered manually, loaded from accounting records, or generated automatically through processing).

For financial planning purposes, the categories to be used are typically:

- a "base" category:
  - from which the system reads the data of the Initial actual BS and Projected P&L account;
  - on which it writes the Forecast BS and the integrations to the P&L account (automatic calculation of depreciation, medium-/long-term financial expenses and income and with the management of taxation);
- a category on which to write cash flows or on which the system writes the account "responsible" for all financial entries (this account can be a projected P&L account or initial balance sheet account, an asset account, a salary account, etc.).

Moreover, if the sub-entities are involved in the financial planning process, it is possible to define two more categories:

- one category on which to write notional data
- one category on which to write notional cash flows

so as to keep the data generated on them separate from the data generated on the entities.

The list of categories can be accessed from the administrator-user's web interface by following the path *Set-up and Admin > Dimensions > Categories > List*.

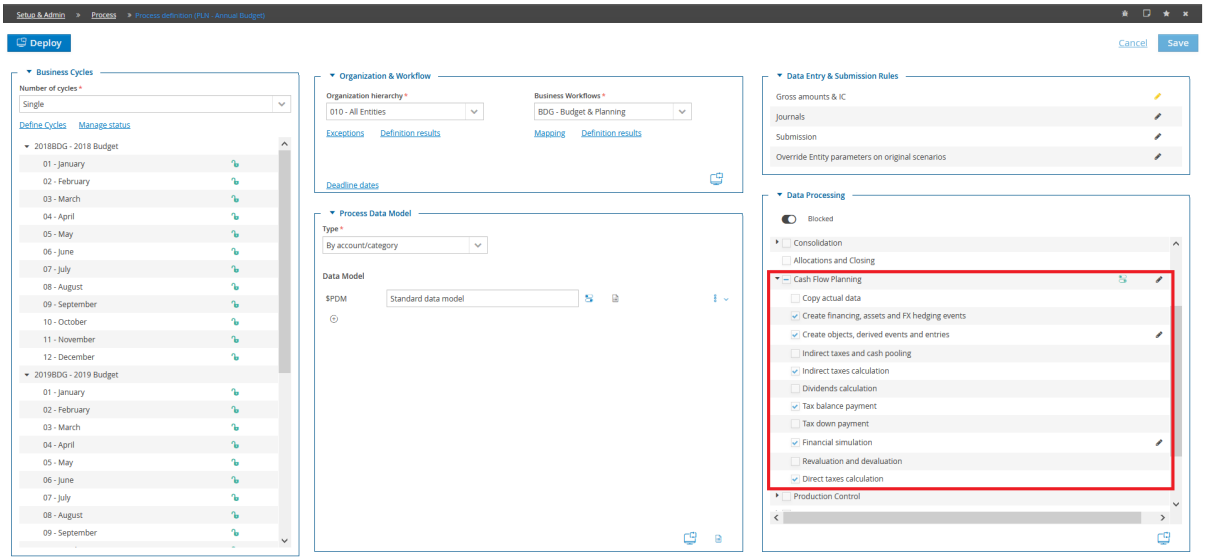
Navigation panel> Dimensions > Categories > List.

For more details on the attributes to set during the definition of a category, see the **Basic Administration / Data Model HTML5 / Category** chapter of the user manual.

Cash Flow Planning

In order to enable the Cash Flow Planning data processes in a given process, it is necessary to:

- Click on the *Processes* tile, Navbar > Processes & Workflows > Process > select the process to parametrize and use the *Actions* (⋮) > *Process definition* window menu
- **Data Processing** area on the right hand side of the window;
- enable the **Cash Flow Planning** option;
- save.



Available data processes:

- Copy actual data
- Create objects, derived events and entries
- Indirect taxes and cash pooling
- Indirect taxes calculation
- Tax balance payment
- Tax down payment
- Financial simulation
- Revaluation and devaluation
- Direct taxes calculation

Requirements

Once the execution of the CFP data processes has been enabled, the following information can be managed:

- **Step**. Step of the workflow model related to the current process to which the Cash Flow Planning data processing has to be related;
- **Event Scenario**. (Original) Scenario used to store the date events. It is possible to either use one of the process scenarios or create an ad hoc scenario;
- **Simulation period**
  - **Start date**. Simulation start date;
  - **End date** . Simulation end date;
  - **Calculation start date**. It specifies the date from which the system starts to perform the calculations according to the defined Planning rules. The entries will be recorded only in the

months which are included in the Estimate start date / estimate end date time range. The calculation start date and the estimate start date differ from each other when the calculation must start before the simulation period. For example, the user might want to perform the calculation of the simulation from the month of December preceding the simulation start date so as to calculate automatically the Initial balance sheet effects by the collection and payment calculation methods related to the accounts with December year x-1 basis but having the financial event in the simulation months. Another example is that of a first Forecast in which the simulation start date is in April but the calculation start date is in January. In this way, in case of deferred semester billing, the system starts to calculate the amounts to aggregate from the calculation start date (January) and actually sells off the accrual of the first six months of the year in June. If you chose this collection and payment method with April as calculation start date, the deferred semester invoicing would lead to the entry of the first 6 months of simulation and therefore would record the entry in October.

- **Net result calculation** Specifies if the system must run the net result calculation during the cash flow planning data processing.
- **Carry forward of Initial actual balance sheet** Specifies if the system must run the calculation of carry forwards of the Initial Actual Balance Sheet scenario

Overrides

Category allows filtering the categories used for specific purposes

- **Of read / write data** from which the system reads the data of the Initial actual BS and Projected P&L account it uses to write the forecast BS and the integrations to the P&L account (automatic calculation of the depreciations, of the short and medium/long term financial income and expenses and with the taxation management);
- **Of alternative data generation** if sub-entities are involved in the financial planning process
- **Of cash flows for direct cash flow** the direct cash flow is based only on the cash flows for which this category is used
- **Of cash flows for alternative cash flow** if the figurative category is define in the process rules, the category on which to generate the alternative cash flows must exist for the sections with the "Cash flow" option enabled

Accounts

on which to enter the debit/credit FX rate difference (cost / revenue) generated by the conversion of accounts with a different currency from that used for the preparation of the financial statement

Revaluation account for FX rate difference

Devaluation due to Fx rate difference

Forecast: reason of initial amount for carry forward<

Depreciation calculation on actual data

In general, the budget data processing calculates the depreciation taking into account only the purchase events included in the simulation interval. When this option is enabled, the depreciation data processing processes also the purchase events with a purchase date preceding the simulation start date and generates the depreciations for the estimate periods. This is very useful when the user uses the copy of data between processes, since this copy transfers the purchase event by date and, therefore after the transfer to different periods, the purchase events may fall outside the simulation interval and the system may not calculate the depreciation.

Calculate financial policy for Ctp entity

In general, the budget data processing calculates the financial policy without considering the single amounts of the Ctp entities, therefore, whatever their value, if the amount on the main section is greater

than zero, it is moved to the assets section, if it is less than zero it is moved to the liabilities section. For the calculation to take into account the amount of the ctp entities when sorting them in the two sections, it is necessary to enable this option.

The financial policy for ctp entity is incompatible with the cash pooling.

Indeed, in case of cash pooling, when the system sorts the amounts in the relevant section and generates the interests, it always sets up the ctp entity with the parent entity. Therefore, when calculating the financial policy for ctp, the system verifies that none of the actions involved in the sorting has the "Cash Pooling" option enabled and, if so, it generates a blocking error.

Run data processing

Having completed the entire system set-up process for the purposes of financial planning, entered the data and checked the rules associated with them, it is necessary to run the cash flow planning data processing that creates the double-entry records based on what has been defined.

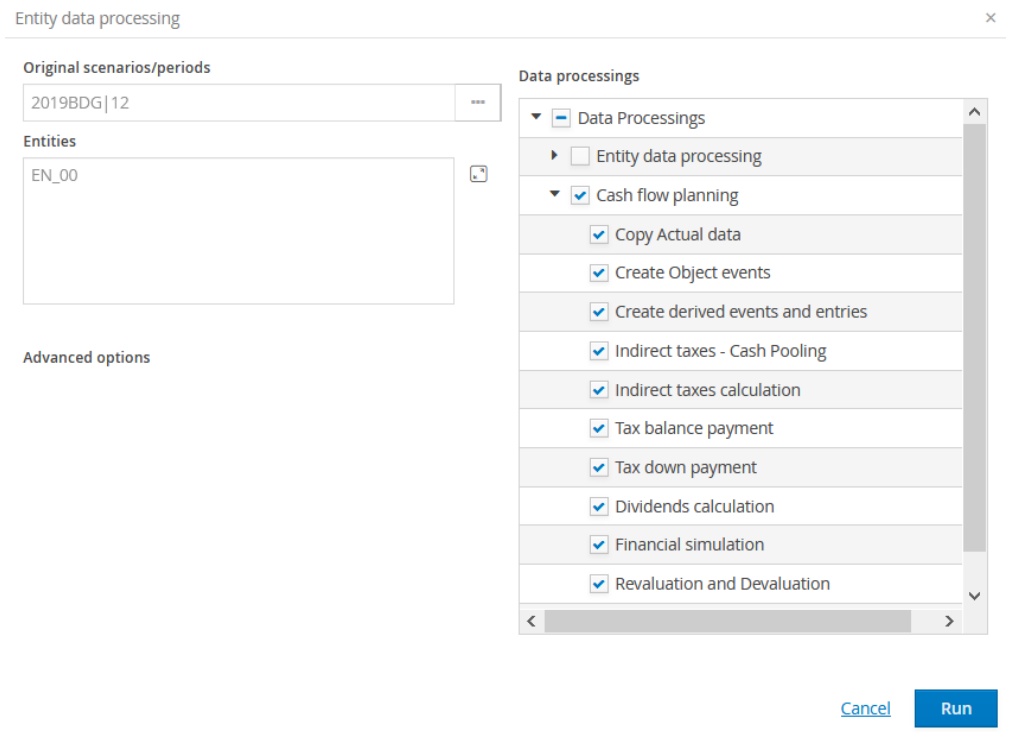
The data processing allows the user to simulate the financial plan in order to perform:

- company entity balance sheet forecasts (annual and multi-year)
- cash flow forecasts;
- forecasts of financial expenses and income;
- tax burden forecasts;
- makes it possible to run simulations of the financial management, hypothesising various ways to cover financial needs.

Cash flow planning data processing can be executed:

- from the contributor's **processes cockpit** present on the end user's web interface by using the "Entity data processing" button after having selected the entities to be processed. Evidently, the process being displayed on the cockpit must have that data process active;
- **from a data entry form;**
- **from a workflow task;**
- **from a job task**

Now let us look in detail at how data processing is run from the contributor's processes cockpit present on the end user's web interface using the "Entity data processing" button. Given that the window allows the user to run all entity data processes, the system displays a window with the list of scenarios to be processed. However, considering that cash flow planning data processing does not take account of scenarios, but processes all scenarios of the process, the user can leave the selection proposed by the system unchanged and click on the "Next" button straight away. In the next window, all of the operations carried out by the data processing are proposed, giving the user the opportunity to deselect those which do not need to be executed. By default, the system indicates data processes that have been activated in the process definition phase as executable (for more details, see the "*Enable exceptions*" chapter of the process setup manual)



The following data processes can be selected:

- **Copy actual data**. This copies the initial balance sheet and P&L (actual or forecast) based on the scenarios indicated in the same process
- **Preliminary checks**. This data process is always carried out and allows the user to check that the "general" setup is correct and complete and that, for every enabled operation, all the conditions necessary for its execution are met
- **Create financing, assets and FX hedging events**: this processes all data in the "objects", generating the related accounting events. By objects we mean financing, assets and FX edging
- **Create derived events and entries**:
  - create derived events, this generates, from the manual events of the P&L account, all derived events, according to the event creation rule (e.g. it generates the accounting event from the relevant event)
  - create double entries, carries out the creation of double entries based on the events (original and derived) for: P&L account, projected variations, Balance sheet, accounting entries and objects
- **Indirect taxes and cash pooling**. This performs intercompany transfers related to the management of cash pooling and centralised indirect taxes
- **Indirect taxes calculation**. This performs the notional and entity indirect tax settlement calculation
- **Dividends calculation**. This performs the calculation of the forecast dividends and the relative impact on the Balance Sheet by distributor entity and recipient, based on the dividend distribution rule (accessible from the administrator-user's web interface, following the path *Set-up and Admin > Data processing > Other > Dividend distribution rules*)

Navbar > Data processing > Other > Dividend distribution rules)

- **Tax balance payment**. This makes the tax balance payment for both "notional" and "entity" taxes
- **Tax down payment**. This creates the down payments for both "notional" and "entity" taxes
- **Financial simulation.** This calculates the interest, the CQNC (non-hedged amounts FX rate) and section shift for both the notional and the entity financial simulation. For every entity, the system processes the currencies handled and the entity's preferred currency
- **Revaluation and devaluation**. This performs the valuation of the receivables and payables at the final FX rate for every period, with the FX rate differences being booked
- **Direct taxes calculation**. This calculates the P&L taxes according to what is defined in the fiscal policy
- **Create asset entity journals** . This creates the entity journals for the leasing calculation and asset depreciation. In particular, it creates:
  - the entity journals for the leasing calculation in the event that the "FP Leasing calculation type" defined in the execution plan is different from "Financial statement leasing calculation type" by an amount equal to the difference between the amounts generated by the Balance sheet (civil code) leasing calculation and the Financial (IAS) leasing calculation;
  - the entity journals for the depreciation of assets in the event that the "FP Depreciation type" is different from the "Financial statement depreciation type" by an amount equal to the difference between the amount of the depreciations calculated in accordance with the fiscal criteria or the statutory criteria

  In both cases, the category used is the category indicated on the asset object to which reference is made and the origin is CFP_FIXED_ASSET - CFP – Assets

Once the data process to be executed has been selected, clicking on the "Next" button the system performs the **preliminary checks**, verifying, for example, that there are no inconsistencies between what has been set up by the administrator and what has been defined by the entity user. At the end of these checks, if there are errors the system opens a window containing a detailed list of the errors found.

There are two types of error:

- **non-blocking errors**. These are identified by a yellow spot and allow the user to continue with the data processing. One example would be a case in which no credit terms have been defined or no tax rate has been set for the account when the accounting model associated with it does provide for it

   In these cases, although it is possible to continue, it is recommended that the user reviews those errors (from the "Associated rows" tab) and checks that they are correct.

- **blocking errors**. These are identified by a red spot and do not allow the user to continue with the data processing. One example would be a case in which credit terms have been defined for the account when the accounting model associated with it does not provide for it

If the system returns only non-blocking warnings, having checked that what has been entered into the system is in any case correct for the purposes of the simulation, it is possible to continue with the data processing by clicking on the “Run” button.

After having executed the operations detailed above in order, the system downloads the entries created on the balances, namely:

- copies the entries created by the data processing into the tables of balances and the intercompany balances
- performs the reopening routine.
- transfers the entries created by the plan on the tables of gross amounts and intercompany balances
- processes the calculation for the result accounts only
- creates the cash flow forecasts against projections on payments/collections for the accounts indicated as liquidity accounts on the sections with the “Cash flow calculation” active using the Category on which to generate cash flows specified in the general rule as the category if not indicated in the list of the same section.

Before proceeding with the copy, the system deletes the non-significant targets and removes entity and counterparty target 2 for non IC accounts. The system operates on the table of entries and:

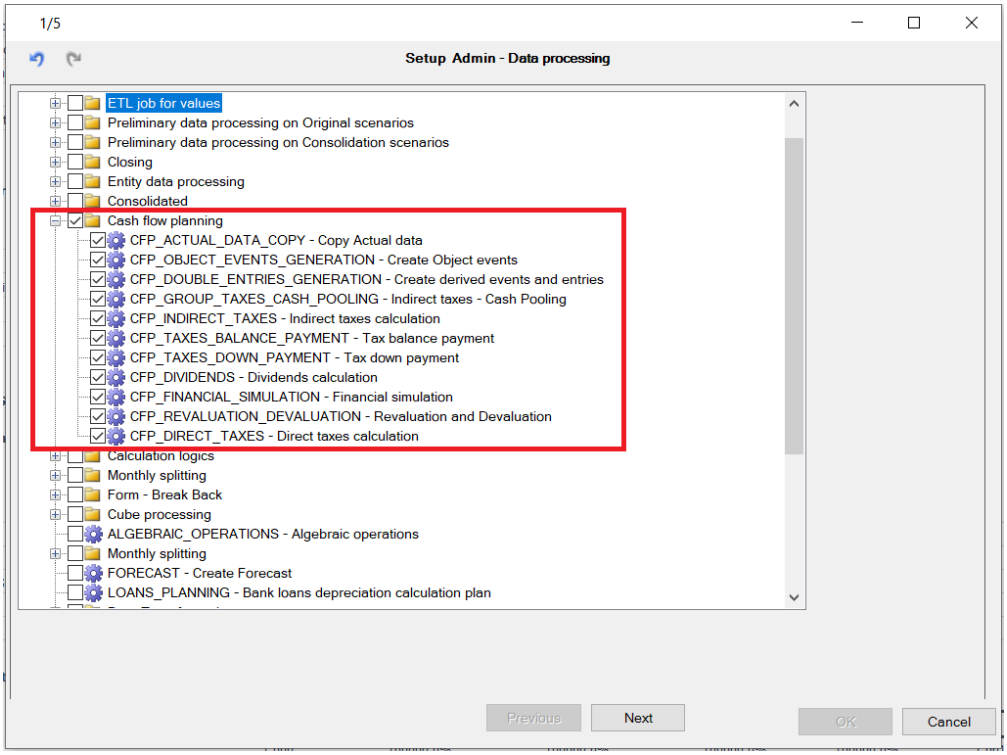
- deletes the non-significant targets (target 1, target 2, target 3, target 4 and target 5) and the “deleted” targets are saved in the corresponding fields to facilitate the auditing activity. The deletion is not carried out on target 2 if the process relationship type is equal to “by entity / target 2” or “by entity / synthetic target 2”. In particular, for every account the system checks the definition of the thresholds on the elements of the targets and whether that threshold is valid:
  - “Based on entity”, it sets the target with the respective default target specified for the entity
  - “Restricted” if the relative table deployed contains just one element, it defines the target with that value.
- removes the entity and the counterparty target 2 for accounts that do not permit IC, setting the entity and counterparty target 2 fields to null.

Running Cash Flow Planning data processing from forms

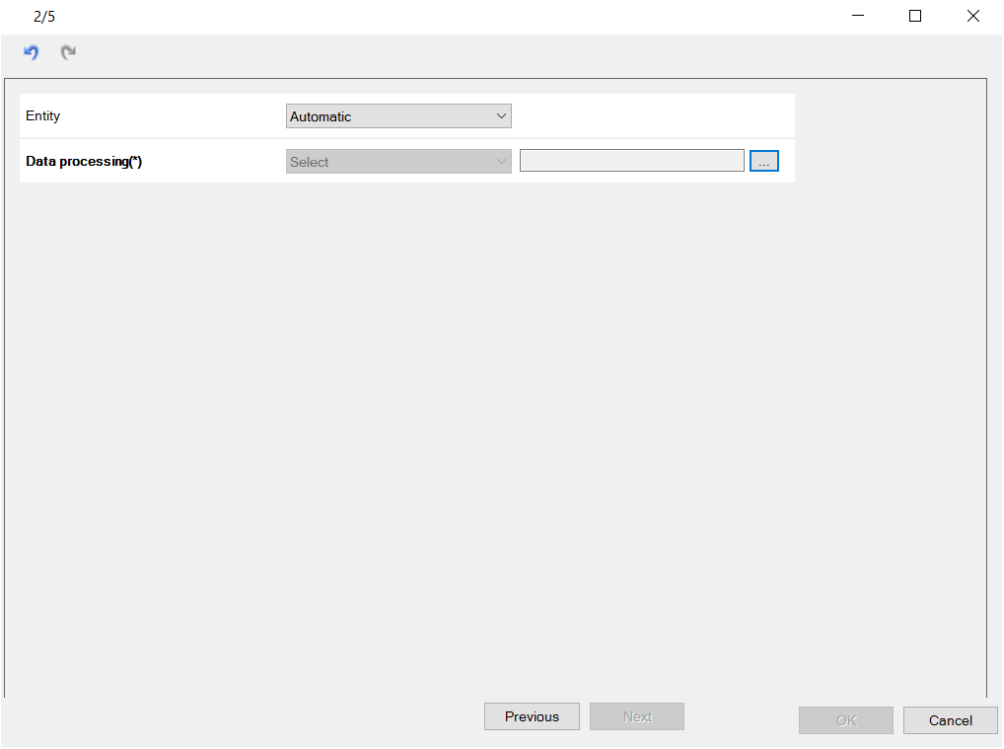
Cash Flow Planning data processing can also be carried out from a data entry form. To do this, it is necessary:

- to open the form in Design work mode;
- click on the **Data processing** button on the Design bar ribbon or select the row corresponding to the form in which the data processing must be entered in the Open items panel on the left, and right-click with the mouse and select *Run Data processing > New Data processing.*

The system displays a window in which the user must check the options related to the various data processes to be carried out or check the **Cash Flow Planning** option directly to perform the entire data process and click on the **Next** button



At this point, it is necessary to enter the parameters necessary for the data processing. Parameters shown in bold are mandatory.



The definition of the parameters requires the user to **specify the way in which the value of the parameter must be retrieved**. The possible methods are:

- **Automatic**. The system retrieves the value of the parameter directly from a form filter, a page filter, a matrix filter or a row/column filter. If the filter is defined using a parameter (and its value is therefore chosen by the user when the process is run) the value after processing will depend on the user's choice. If a parameter is not obligatory or relevant for the current data process, its value can easily be retrieved automatically
- **Excel cell**. The system retrieves the value of the parameter from an Excel cell. The user must specify the cell containing the value using the syntax: ${h50} (cell h50).
- **Insert**. The user must insert the value of the parameter in the corresponding header box
- **Select**. The user must select the value of the parameter from a list of possible values
- **Cell field**. The system retrieves the value of the parameter from a cell field.

The user must specify:

- a filter if desired on the **entities** on which to perform the data processing;
- the various the cash flow planning module **data processes** to be performed

Once the various parameters have been specified, by clicking on the "Next" button it is possible to specify a number of options that allow the system to understand how the data processing must be carried out within the form (for more details, see Setup & Admin - Data Processing window). As the last step, it is necessary to assign a code and description to the data processing to be inserted in the form.

To perform the aforementioned data processing, once the form has been opened in data entry mode, the user just needs to click on the **Data processing** button on the Data entry bar ribbon and click on the name of the data process that they want to run.

Running Cash Flow Planning data processing from jobs

Tagetik allows the user to run the Cash Flow Planning data processing also from a job task.

Let us assume that we are inside a job and we want to define a new task to run the aforementioned data processing. The steps to follow are:

- define a new task via the **Edit** button of the Job
- The top bar shows the operations that can be added, divided by type. Go to the **Core data processing** tab
- Drag down the **Cash Flow Planning** icon
- At this point, the system will open a window in which the following parameters can be set up:
  - **Process**
  - **Entity** one Entity or a multi-selection of Entities or all Entities
  - the **Data processing** to be run

When saving, the task may turn yellow or red with an exclamation mark on the right corner.

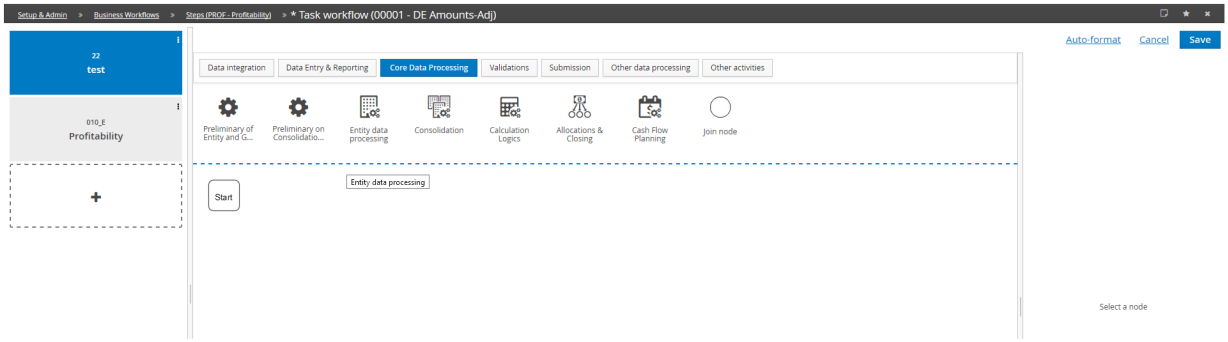
If you hover over the exclamation mark, the system will show messages on the errors that prevent saving.

Running Cash Flow Planning data processing from workflows

Tagetik allows the user to run the Cash Flow Planning data processing also from a workflow model task.

Let us assume that we are inside a task flowchart and we want to define a new task in order to run the aforementioned data processing. The steps to follow are:

- from the Admin user homepage, select the Business Workflow tile > Navbar > Processes & Workflows > Process, then select the desired workflow
- Actions (⋮) > steps > select a step of the process
- On the left-hand side of the window opened by the system you can see a list of workflows associated with that step. Select one of them or create a new one via the specific button on the left (⊕) and assign a code and a description to the workflow;



- In the middle area of the window, add tasks to the workflow: drag the desired elements from the list to the graph starting with Start. In our example, we'll select the **Cash Flow Planning** data processing.
- The system opens a window in which you can enter:
  - **Code** unique ID of the task
  - **Description** of the task
  - **Optional** this makes the task an optional activity, making it possible to submit even without having run it.
  - **Enable e-mail notification** this enables a notification via e-mail of the completion of the activity contained in the task
  - **Declare task completion** this allows you to choose how the task is declared completed (Manual or Automatic)
  - **Data processing** this allows you to select the data processing to be run
  - **Label** useful for user rights purposes

Data processing details

CFP Data processing - Preliminary checks

Before proceeding with the real “data processing”, the system performs preliminary checks to verify that:

- the “general” setup is correct and complete
- all of the necessary conditions for the performance of every enabled data process are met.

In particular, the system checks that:

- for the data-processing **process** to be performed:
  - all original scenarios exist, from the calculation start data up to the estimate end date (blocking error).
  - only in the case of budgets, the original scenario exists from the previous year to the process calculation start date (blocking error)
  - the scenarios associated with the process are active and visible to the user
  - the original scenarios associated with the process are linked to one another in a consistent manner or the “previous scenario” and “following scenario” fields are defined in a consistent manner
  - there is no overlapping between the dates of the process scenarios (blocking error. The system returns a “*The Period start and Period end dates are overlapping*” error)
  - in the setup for the carry forward rules, the category used by the cash flow planning module has the “Exclude carry forwards” option disabled (blocking error)
- the **entities** to run must be present in the process’s “execution plan” (blocking error)
- in the **general cash flow planning rule** related to the process to be performed, the following accounts must be defined:
  - Debit FX rate difference account for revaluations (blocking error: “*Define the FX rate difference debit account for revaluations in the generic rules of the Cash Flow Planning*”)
  - Credit FX rate difference account for revaluations (“*Define the FX rate difference credit account for revaluations in the generic rules of the Cash Flow Planning*” blocking error
- in the **carry forward ruled** related to the process, the account that the system uses to perform net result target entries is defined (blocking error: *“Define the Reserve net result reclassification account in the carry forward rules”*)
- the following net result accounts are defined:
  - P&L Account net result (blocking error: *“Define the "P&L net result" account in the Result accounts”*)
  - Balance Sheet net result (blocking error: “*Define the "Balance Sheet net result" account in the result accounts*”)
  - Balance sheet net result: current year net result variation (blocking error: *“Define the Balance sheet net result variation account in the result accounts”*)
- all of the **balance sheet variation accounts** present in the process to be performed must be variations of a standard account (blocking error: “*It is not a variation of any normal account*”)
- for every **balance sheet account with the “End-of-period FX rate evaluation” option enabled**, in the process control group in which that account is the parent, there must be a child in which the FX rate difference is indicated (blocking error: *“In the Parent control group a child account, whose FX rate difference is specified, must exist”*)
- the **FX rates** must exist for all the currencies used in the planning for all processed scenarios/periods; they must also be present for the initial balance sheet scenario/period (blocking error: “*FX rate is missing*”)
- all of the rate types / currencies referred to in the sections, L/T financing and stocks must have an associated value for all of the calculation’s scenarios/periods (blocking error: “The Interest rates is missing”)
- all of the conditions necessary for the performance of every enabled **data process** are met. The checks performed for every data process are:
  - **Create entries**:
    - if there are events related to assets in progress, the asset class defined for the asset header must have the “assets variation account: debit” and the “assets variation account: credit” defined (blocking error)

- if there are events related to down payments on receivables, the asset class defined for the asset header must have the “receivable variation down payment account: debit” and the “receivable variation down payment account: credit” defined (blocking error: “*Define the "Receivable variation down payment Account: debit" and "Receivable variation down payment Account: credit" for the Assets class of the current asset*”)
- if there are events related to down payments on payables, the asset class defined for the asset header must have the “payable variation down payment account: debit” and the “receivable variation down payment account: credit” defined (blocking error: “*Define the “Payable variation down payment Account: debit" and “Payable variation down payment Account: credit" for the Assets class of the current asset*”)
- if there are events related to the sale of assets, the asset class defined for the asset header must have the “capital loss account” and the “capital gain account” defined (blocking error: “*Define the “Capital gain account” and “Capital loss account” for the Assets class of the current asset*”)
- for every leasing contract, verify that the lease fee, lease company payable, leasing accrual, leasing deferred and leasing interest accounts are defined for the asset class of the asset in question (“blocking error: *Define the Leasing fee accounts, Leasing entity debt accounts, Leasing accrual accounts, Leasing deferred accounts and Leasing interest accounts for the Assets class of the current asset*”)
- entries that are inserted manually into the “indirect tax account” accounts must be made in the currency of the indirect tax policy (blocking error: “*The data must be entered in the currency of the tax policy*”)
- entries that are inserted manually into the “tax fund” accounts must be made in the currency in which the entity operates (blocking error: “*The data must be inserted in the Entity Currency*”)

◦ **Indirect taxes calculation**:
- the “Indirect tax account: debit billing variation” must be a variation of the Indirect tax account (blocking error: “*Debit billing variation account must be a variation of the Indirect tax account*”)
- the “Indirect tax account: credit billing variation” must be a variation of the Indirect tax account (blocking error: “*Credit billing variation account must be a variation of the Indirect tax account*”)
- the “Indirect tax account: debit settlement variation” must be a variation of the Indirect tax account (blocking error: “*Debit settlement variation account must be a variation of the Indirect tax account*”)
- the “Indirect tax account: credit settlement variation” must be a variation of the Indirect tax account (blocking error: “*Credit settlement variation account must be a variation of the Indirect tax account*”)
- the “VAT account: transitory variation” must be a variation of the transitory account (blocking error: “*‘Transitory account: billing variation’ must be a variation of the transitory account*”)
- the “Transitory account: invoicing variation” must be a variation of the transitory account (blocking error: “*‘Transitory account: billing variation’ must be a variation of the transitory account*”)
- entries that are inserted manually into the “VAT” accounts must be made in the currency in which the entity operates (blocking error: “The entries that are inserted manually in Indirect taxes accounts must be inserted using the Entity's currency”)
- for indirect tax policies, with the group indirect taxes calculation activated, the accounts used for the fiscal policy’s entries must be IC (“The account used in the group indirect tax policies must be an IC account” blocking error)

◦ **Financial policy**
- if, in the process rules, the “Calculation of the financial policy for Ctp entity” is active, then there must not be any section with the Cash Pooling flag active (blocking error: “No section with an active Cash Pooling flag should exist, if the financial policy is defined for the Ctp entity in the process”)
- for every section, the “Primary account: Debit variation account for section shift” must be a variation of the primary account (blocking error: “Primary account: Debit variation account for section shift" must be a variation of the primary account”)
- for every section, the “Primary account: credit variation account for section shift” must be a variation of the primary account (blocking error: “‘Primary account: credit variation account for section shift’ must be a variation of the primary account”)
- for every section, the primary account must be one of the liquidity accounts of the same section (blocking error: “The "Primary account" must be one of the liquidity accounts of the section”)
- if there are sections with the “cash pooling” option active in the interest calculation rule, the entity must have the Ctp entity associated in the execution plan (blocking error: The "Target entity" field for the calculation of the cash pool has no value entered in the Execution plan”)

- if there are sections with the “cash pooling” option active in the interest calculation rule, the accounts used for the policy entries must be IC (blocking error: “The account used in the cash pool must be an IC account”)
- for sections with the “Cash Flow calculation” option active, the category on which to generate the cash flows on the section or process rules must exist (blocking error: “*Specify the category on which to generate the cash flows (generic rules of the process / financial policy sections*”)
- if the notional category is defined in the process rules, for sections with the “Cash flow calculation” option active the category on which to generate the notional cash flows on the section or process rules must exist (blocking error: “*Specify the category on which to generate the other cash flows (generic rules of the process / financial policy sections)*”)

◦ **Direct taxes calculation**
- for all entities for which it is necessary to calculate direct taxes, the fiscal policy must be defined (in the list of entities)
- for every entity for which the calculation of direct taxes is performed (from the execution plan), the rates for all of the fiscal policies of the entities, calculated on all calculation scenarios, must be defined (blocking error: “*Insert the Effective Tax Rate*”)
- entries that are inserted manually into the “tax fund” accounts must be made in the currency in which the entity operates (blocking error: “*The data must be inserted in the Entity Currency*”)

◦ **Tax balance payment**
- for every entity for which the tax balance payment is made (from the execution plan), the days and the period of the balance must be defined, in the set rules, for the fiscal policy associated with the entity (blocking error: “*Tax balance payment: amount days and Period haven't been inserted correctly*”)
- entries that are inserted manually into the “tax fund” accounts must be made in the currency in which the entity operates (blocking error: “*The data must be inserted in the Entity Currency*”)

◦ **Tax down payment**
- for every entity for which the tax payment is made (from the execution plan), the percentage, the days and the period of the first down payment must be defined, in the setup rules, for the fiscal policy associated with the entity (blocking error: “*Tax down payment write off: the percentage, days and Period of the first tax down payment write off aren't inserted correctly*”)
- entries that are inserted manually into the “tax fund” accounts must be made in the currency in which the entity operates (blocking error: “*The data must be inserted in the Entity Currency*”)

◦ **Create asset entity journals** . The asset headers must have the data category entered if, in the execution plan, the “FP depreciation type” is different from the “Financial statement depreciation type” or the “FP leasing calculation type” is different from the “Financial statement leasing calculation type” (blocking error: “*Enter the “Entity journal” category in the asset header*”)

CFP data processing - Create object events

FX hedging

The system processes hedges, not excluded from the calculation, which have expiry dates between the estimate start and end date.

If the “Option” field is active for the processed object, the system only creates the FX rate hedge if the budget FX rate is more advantageous than the contract FX rate, otherwise the FX rate hedge is always created.

For every hedge, the system creates the following events with origin “CFP - FX hedging” (CFP_EXCHRATE_COVERAGE):

- event “$C04” - FX hedging event in original currency, with the following characteristics:
  - currency equal to the hedge currency;
  - currency amount equal to the amount of the hedge;
  - countervalue equal to the amount of the hedge converted into the entity currency at the budget FX rate
- event “$C03” - FX hedging event in entity currency, with the following characteristics:
  - currency equal to the entity currency
  - currency amount equal to the amount of the hedge converted into the entity currency, and changing sign, at the reference FX rate

    - countervalue equal to the currency amount
- event “$C01” - FX hedging debit FX rate difference or “$C02” - FX hedging credit FX rate difference, with the following characteristics:
    - currency equal to the entity currency;
    - currency amount 0
    - countervalue equal to the difference between the countervalues of the two previous events

L/T Financing

The system processes the L/T financing not excluded from the calculation, with a L/T financing start date or preamortisation start date prior or equal to the estimate end date.

The origin of all events is “CFP - L/T financing” (CFP_LT_FINANCING).

The system:

- creates the L/T financing opening events. The opening date of these events is the L/T financing start date or, in cases of preamortisation, the preamortisation start date.

  If the L/T financing opening date falls between the estimate start and end date the system also creates the following events:

    - event “$F01” - Opening with currency amount being the initial value of the L/T financing
    - event “$F03” - Matured with currency amount being the matured coupon accrual
    - event “$F02” - “Commission with currency amount being the value obtained from the following expression “initial value * commission percentage / 100”
- calculates the value of the financing as the sum of the initial value and the project financing total
- if the instalment type is “Fixed capital”, it performs the calculation of the capital instalment amount or number of instalments
- if the instalment type is “Fixed total managed by rate”, it performs the calculation of the total instalment amount or number of instalments
- processes the preamortisation. In particular:
    - it determines the interest payment dates by adding the interest payment frequency multiples to the preamortisation start date; if the interest payment frequency is zero, the payment is made at the L/T financing start date;
    - it determines the interest capitalisation dates by adding the interest capitalisation frequency multiples to the preamortisation start date; if the interest capitalisation frequency is zero, the capitalisation is performed at the L/T financing start date
    - it calculates the rate to be used for generating interest. In particular:
        - if a rate type is not indicated, it uses the fixed rate as the value
        - if a rate type is indicated, it uses that rate type plus the spread as the value. If the rate is “Periodic variable interest rate”, it uses the relative rate for each month, otherwise it uses the rate of the instalment start month for the whole period
    - it calculates the rate to be used for the hedging of rates. In particular:
        - if a rate type is not indicated, it uses the fixed rate as the value
        - if a rate type is indicated, it uses that rate type (calculated following the lower and upper limit rules, if defined), plus the spread, as the value. If the rate is “Periodic variable interest rate”, it uses the relative rate for each month, otherwise it uses the rate of the instalment start month for the whole period
    - it creates the following events at the interest payment date:
        - event “$F08” - Interest payment with the currency amount being the value of the interest payable (this is the sum of the interest payable from the previous payment date to the current date)
        - event “$F10” - Interest payment write off with the currency amount being the value of the interest payable (this is the sum of the interest payable from the previous payment date to the current date) * -1 only if the interest rate hedging calculation is set:
    - if the interest rate hedging calculation is set, then, at the hedging interest payment date, it creates event “$F09” - Interest rate hedging interest payment, with the currency amount being the value of the interest payable (this is the sum of the interest payable from the previous payment date to the current date)
    - at the interest capitalisation date, it increases the value of the L/T financing by an amount equal to the sum of the interest to be capitalised from the previous capitalisation date to the current date
    - at the project financing date, it increases the value of the L/T financing and creates event “$F13” - Project financing with the currency amount being the project financing amount
    - at every month-end, it creates:
        - an accrued interest billing event “$F04” - Accrued interest with the currency amount being

the result of the expression indicated in the following table

Calculation type - interest months	Calculation type - interest days	Expression
Calendar Year	Calendar Year	Effective month numbers * rate / 36500
Calendar Year	Commercial	Effective month numbers * rate / 36000
Commercial	Calendar Year	Numbers of 30 days * rate / 36500
Commercial	Commercial	Numbers of 30 days * rate / 36000

If the interest rate hedging calculation is set, it also creates the following events:

- event “$F07” - Accrued interest write off with currency amount being the amount of event P&L interest * -1
- event “$F06” - Interest rate hedging interest with the currency amount being the result of the expression indicated in the following table

Calculation type - interest months	Calculation type - interest days	Expression
Calendar Year	Calendar Year	Effective month numbers * rate / 36500
Calendar Year	Commercial	Effective month numbers * rate / 36000
Commercial	Calendar Year	Numbers of 30 days * rate / 36500
Commercial	Commercial	Numbers of 30 days * rate / 36000

  - at every month-end, it performs the calculation of the short-term portion and creates event “$F14” – Transfer to current portion with the currency amount being the amount of the portion to be repaid within 12 months from the current date, subtracting the amounts calculated previously
  - at every month-end, it creates write off event “$F15” from the current amount if capital amounts have been repaid in the period with the currency amount being the amount of the capital portion repaid in the period
- processes the L/T financing. In particular:
  - it determines the interest payment dates by adding multiples of the interest payment frequency to the L/T financing start date
  - it determines the interest capitalisation dates by adding multiples of the interest capitalisation frequency to the L/T financing start date
  - it determines the capital repayment dates by adding multiples of the interest capitalisation frequency to the L/T financing start date
  - it calculates the rate to be used for generating interest. In particular:
    - if a rate type is not indicated, it uses the fixed rate as the value
    - if a rate type is indicated, it uses that rate type plus the spread as the value. If the rate is “Periodic variable interest rate”, it uses the relative rate for each month, otherwise it uses the rate of the instalment start month for the whole period
  - it calculates the rate to be used for the hedging of rates. In particular:
    - if a rate type is not indicated, it uses the fixed rate as the value
    - if a rate type is indicated, it uses that rate type (calculated following the lower and upper limit rules, if defined), plus the spread, as the value. If the rate is “Periodic variable interest rate”, it uses the relative rate for each month, otherwise it uses the rate of the instalment start month for the whole period
  - at the interest payment date, it creates event “$F08” - Interest payment with the currency amount being the value of the interest payable (this is the sum of the interest payable from the previous payment date to the current date)
  - at the interest capitalisation date, it creates a capitalisation event: “$F05” - Interest capitalisation with the currency amount being an amount equal to the sum of the interest to be capitalised from the date of the previous capitalisation to the current date and increases the value of the L/T financing by that amount
  - at the capital repayment date, it creates a capital repayment event: “$F11” - Repayment of capital amount with the currency amount being the amount of the instalment

- at the early repayment date, it creates a capital repayment event: “$F11” - Repayment of the capital amount with the currency amount being the amount of the early repayment or total repayment of the L/T financing if the “total repayment” option is active
- at the interest payment date, creates an interest payment event: “$F08” - Interest payment with the currency amount being the amount of interest payable (this is the sum of the interest payable from the previous payment date to the current date)
- If the interest rate hedging calculation is set, it creates event “$F10” – Write off of interest payments with the currency date being the amount of interest payable (this is the sum of the interest payable from the previous payment date to the current date) * -1
- at the hedging interest payment date, if the interest rate hedging calculation is active, it creates the event: “$F09” - interest rate hedging interest payment with the currency amount being the amount of interest payable (this is the sum of the interest payable from the previous payment date to the current date)
- at every month-end, it creates:
  - an accrued interest recognition event: “$F04” - Accrued interest with the currency amount being the result of the expression indicated in the following table

Calculation type - interest months	Calculation type - interest days	Expression
Calendar Year	Calendar Year	Effective month numbers * rate / 36500
Calendar Year	Commercial	Effective month numbers * rate / 36000
Commercial	Calendar Year	Numbers of 30 days * rate / 36500
Commercial	Commercial	Numbers of 30 days * rate / 36000

If the interest rate hedging calculation is set, it also creates the following events:

- event “$F07” - Accrued interest write off with the currency amount being the amount of the “Accrued Interest” event * -1
- event “$F06” - Interest rate hedging interest with the currency amount being the result of the expression indicated in the following table

Calculation type - interest months	Calculation type - interest days	Expression
Calendar Year	Calendar Year	Effective month numbers * rate / 36500
Calendar Year	Commercial	Effective month numbers * rate / 36000
Commercial	Calendar Year	Numbers of 30 days * rate / 36500
Commercial	Commercial	Numbers of 30 days * rate / 36000

- at every month-end, it performs the calculation of the short-term portion and creates event “$F14” – Transfer to current portion with the currency amount being the amount to be repaid within 12 months from the current date, subtracting the amounts calculated previously
- at every month-end, it creates the write off event from the current amount if capital amounts have been repaid in the event period: “$F15” - Write off from current amount with the currency amount being the capital amount repaid in the period

Assets

The origin of all events created by this process is “CFP - assets” - (CFP_FIXED_ASSET).

The system:

- **performs the processing of the leasing** (only for assets with “Funding type” equal to Leasing). The method that the system uses to calculate the leasing is that which is specified in the asset class and if the FP Leasing calculation type is different from the Financial statement leasing calculation type, the system performs both calculations to generate entity journals

  CASE 1: leasing calculation using the **Financial (IAS) method**

- if the purchase date is between the estimate start and end date, it creates the following events:
  - recognises the asset for the assets calculation
  - event "$A20" - Enter into leasing contract, with the following characteristics:
    - *currency* equal to the Contract currency indicated in the leasing definition
    - *currency amount* equal to the Contract value amount indicated in the leasing definition
    - *event date* equal to the Contract date indicated in the leasing definition
  - event "$A31" - Leasing contract deposit payment, with the following characteristics:
    - *currency* equal to the Contract currency indicated in the leasing definition
    - *currency amount* equal to the value obtained by applying the Deposit percentage to the Contract value indicated in the leasing definition if the Deposit percentage has been entered, otherwise equal to the Deposit value
    - *event date* equal to the Contract date indicated in the leasing definition
    - *tax rate* equal to the Tax Rate indicated in the leasing definition
    - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
    - *other tax rate* equal to the Other tax rate indicated in the leasing definition
- monthly interest recognition:
  - in cases of Instalment type - In arrears, it creates event "$A29" - Monthly leasing interest in arrears, with the following characteristics:
    - *currency* equal to the Contract currency indicated in the leasing definition
    - *currency amount* equal to the value of the portion of the month calculated on the basis of the leasing fee interest
    - *event date* equal to the last day of the month
  - in cases of Instalment type - Advanced, it creates event "$A27" - Advanced monthly leasing interest, with the following characteristics:
    - *currency* equal to the Contract currency indicated in the leasing definition
    - *currency amount* equal to the value of the portion of the month calculated on the basis of the leasing fee interest
    - *event date* equal to the first day of the month
- periodic fees recognition. The system determines the interest payment dates and capital amounts by adding the multiples of the Frequency of instalments payment to the Contract date indicated in the leasing definition.
  - in cases of Instalment type - In arrears, it creates event "$A30" - Leasing interest payment in arrears with the amount being the amount of the fee interest and the currency being the Contract currency indicated in the leasing definition
  - it creates event "$A26" - Capital amount payment, with the following characteristics
    - *currency* equal to the Contract currency indicated in the leasing definition
    - *amount* equal to the value of the capital amount of the fee
    - *tax rate* equal to the value of the Tax Rate indicated in the leasing definition
    - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
    - *other tax rate* equal to the Other tax rate indicated in the leasing definition
- buyback payment. The system determines the buyback date by adding multiples of the Frequency of instalments payment to the Contract date indicated in the leasing definition the same amount of times as the number of fees to be paid, and:
  - creates event "$A26" - Capital amount payment, with the following characteristics:
    - *currency* equal to the Contract currency indicated in the leasing definition
    - *amount* equal to the value of the buyback amount indicated in the leasing definition
    - *tax rate* equal to the value of the Tax Rate indicated in the leasing definition
    - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
    - *other tax rate* equal to the Other tax rate indicated in the leasing definition
  - makes the asset disposable in cases where sales are envisaged for the reference object

CASE 2: leasing calculation using the **Balance sheet (civil code) method**

- if the purchase date is between the estimate start and end date, it creates the following events:
  - event "$A24" - Advanced periodic leasing fee, with the following characteristics:
    - *currency* equal to the Contract currency indicated in the leasing definition
    - *currency amount* if the Deposit percentage is defined, the amount is calculated by applying that percentage to the Contract value indicated in the leasing definition. Otherwise, the amount is defined using the Deposit value
    - *event date* equal to the Contract date indicated in the leasing definition
    - *tax rate* equal to the Tax Rate indicated in the leasing definition

        - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
        - *other tax rate* equal to the Other tax rate indicated in the leasing definition
    - event "$A23" - Leasing fee payment, with the following characteristics:
        - *currency* equal to the Contract currency indicated in the leasing definition
        - *currency amount* equal to the value obtained by applying the Deposit percentage to the Contract value indicated in the leasing definition if the Deposit percentage has been entered, otherwise equal to the Deposit value
        - *event date* equal to the Contract date indicated in the leasing definition
        - *tax rate* equal to the Tax Rate indicated in the leasing definition
        - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
        - *other tax rate* equal to the Other tax rate indicated in the leasing definition
    - for all period-ends from the contract start date to the contract end date, it recognises the monthly portion of the fee by creating event "$A21" - Advanced monthly leasing fee, with the following characteristics:
        - *currency* equal to the Contract currency indicated in the leasing definition
        - *currency amount* equal to the portion of the month calculated on the basis of the deposit calculated previously
        - *event date* equal to the Contract date indicated in the leasing definition
- periodic fee recognition. The system determines the fee recognition and payment dates by adding the multiples of the Frequency of instalments payment to the Contract date indicated in the leasing definition.
    - in cases of Instalment type - In arrears, it creates event "$A25" Monthly leasing fee in arrears, with the following characteristics:
        - *currency* equal to the Contract currency indicated in the leasing definition
        - *currency amount* equal to the amount of the fee (interest + capital)
        - *tax rate* equal to the Tax Rate indicated in the leasing definition
        - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
        - *other tax rate* equal to the Other tax rate indicated in the leasing definition
    - in cases of Instalment type - Advanced, it creates event "$A24" Advanced periodic leasing fee, with the following characteristics:
        - *currency* equal to the Contract currency indicated in the leasing definition
        - *currency amount* equal to the amount of the fee (interest + capital)
        - *tax rate* equal to the Tax Rate indicated in the leasing definition
        - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
        - *other tax rate* equal to the Other tax rate indicated in the leasing definition
    - it creates event "$A23" - Leasing fee payment, with the following characteristics:
        - *currency* equal to the Contract currency indicated in the leasing definition
        - *amount* equal to the amount of the fee (interest + capital)
        - *tax rate* equal to the Tax Rate indicated in the leasing definition
        - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
        - *other tax rate* equal to the Other tax rate indicated in the leasing definition
- for all period-ends from the contract start date to the contract end date, it bills the monthly portion of the fees:
    - in cases of Instalment type - In arrears it creates event "$A22" - Monthly leasing fee in arrears with the currency being the Contract currency indicated in the leasing definition and the currency amount being the portion of the month calculated with reference to the total amount of the fee
    - in cases of Instalment type - Advanced it creates event "$A21" - Advanced monthly leasing fee with the currency being the Contract currency indicated in the leasing definition and the currency amount being the portion of the month calculated with reference to the total amount of the fee
- buyback payment. The system determines the buyback date by adding multiples of the Frequency of instalments payment to the Contract date indicated in the leasing definition the same amount of times as the number of fees to be paid, and:
    - creates event "$A01" - Assets purchase, with the following characteristics:
        - *currency* equal to the Contract currency indicated in the leasing definition
        - *amount* equal to the value of the Redemption amount indicated in the leasing definition
        - *tax rate* equal to the value of the Tax Rate indicated in the leasing definition

        - *non-deductible percentage* equal to the Non-deductible percentage indicated in the leasing definition
        - *other tax rate* equal to the Other tax rate indicated in the leasing definition
        - *credit terms* equal to the asset purchase credit terms
        - *payment calendar* equal to the asset purchase payment calendar
        - *weight* equal to the asset purchase weight
    - recognises the asset for the assets calculation
- **performs data processing on assets in progress**. The system analyses all events that take place during the life of an asset in chronological order
  - if the purchase date is between the estimate start and end date, it creates the following events:
    - event “$A03” Purchase of assets in progress, with the following characteristics:
      - *currency* equal to the purchase currency
      - *currency amount* equal to the asset purchase amount
      - *tax rate* equal to the asset purchase tax rate
      - *non-deductible percentage* equal to the asset purchase non-deductible percentage
      - *other tax rate* equal to the asset purchase other tax rate
      - *credit terms* equal to the asset purchase credit terms
      - *payment calendar* equal to the asset purchase payment calendar
      - *weight* equal to the asset purchase weight
    - event “$A08” - Purchase down payment write off with the currency amount being the amount of any down payments generated previously
  - if the sale date is between the estimate start and end date, it creates the following events:
    - event “$A11” - Sale of assets in progress, with the following characteristics:
      - *currency* equal to the sale currency
      - *currency amount* equal to the asset sale amount
      - *tax rate* equal to the asset sale tax rate
      - *non-deductible percentage* equal to the asset sale non-deductible percentage
      - *other tax rate* equal to the asset sale other tax rate
      - *credit terms* equal to the asset sale credit terms
      - *payment calendar* equal to the asset sale payment calendar
      - *weight* equal to the asset sale weight
    - event “$A17” - Assets under construction write off with the currency being the entity currency and the currency amount being the gross amount of the asset in progress
    - event “$A16” - Capital gain from asset currency / “$A15” - Capital loss from asset sale with the currency being the entity currency and the currency amount being the amount of the capital gain or loss from the sale of the asset
    - event “$A14” - Sale down payment write off with the currency amount being the amount of any down payments generated previously
  - if the date on which an asset in progress is transferred to assets is between the estimation start and end dates, it creates an event “$A04” - Transfer from in progress to asset with the currency being the entity currency and the currency amount being the amount of the transfer from in progress to asset
  - if the payment date is between the estimate start and end dates and prior to the purchase date, it creates an event “$A07” - Purchases down payment with the currency being the payment currency and the currency amount being the amount of the down payment
  - if the payment date is between the estimate start and end dates and subsequent to the purchase date, it creates event “$A05” - Asset purchase payment with the currency being the payment currency and the currency amount being the payment amount
  - if the collection date is between the estimate start and end dates and prior to the sale date, it creates an event “$A13” - Sales down payment collection with the currency being the collection currency and the currency amount being the down payment amount
  - if the collection date is between the estimate start and end dates and subsequent to the sale date, it creates an event “$A12” - Asset sales collection with the currency being the collection currency and the currency amount being the collection amount
- **processes assets**. The system analyses all events that take place during the life of an asset in chronological order and calculates the value of an asset on the basis of an initial situation or purchase or a transfer from assets in progress to assets.
  - if the purchase date is between the estimate start and end date, it creates the following events:
    - event “$A01” - Assets purchase, with the following characteristics:
      - *currency* equal to the purchase currency
      - *currency amount* equal to the asset purchase amount
      - *tax rate* equal to the asset purchase tax rate
      - *non-deductible percentage* equal to the asset purchase non-deductible percentage
      - *other tax rate* equal to the asset purchase other tax rate
      - *credit terms* equal to the asset purchase credit terms

        - *payment calendar* equal to the asset purchase payment calendar
        - *weight* equal to the asset purchase weight
    - event “$A08” - Purchase down payment write off with the currency amount being the amount of any down payments generated previously
  - if the payment date is between the estimate start and end dates and prior to the purchase date, it creates event “$A07” - Purchases down payment with the currency being the payment currency and the currency amount being the amount of the down payment
  - if the payment date is between the estimate start and end dates and subsequent to the purchase date, it creates event “$A05” - Asset purchase payment with the currency being the payment currency and the currency amount being the payment amount
  - if the purchase billing date is between the estimate start and end dates, it creates event “$A02” - Asset purchase billing, with the currency being the billing currency and the currency amount being the billing amount
  - if the sale date is between the estimate start and end dates, the following events are created:
    - event “$A09” - Assets sale, with the following characteristics
      - *currency* equal to the sale currency
      - *currency amount* equal to the asset sale amount
      - *tax rate* equal to the asset sale tax rate
      - *non-deductible percentage* equal to the asset sale non-deductible percentage
      - *other tax rate* equal to the asset sale other tax rate
      - *credit terms* equal to the asset sale credit terms
      - *payment calendar* equal to the asset sale payment calendar
      - *weight* equal to the asset sale weight
    - event “$A19” - Assets in progress write off with the currency being the entity currency and the currency amount being the gross amount of the asset
    - event “$A18” - Assets fund write off with the currency being the entity currency and the currency amount being the gross amount of the fund
    - event “$A16” - Capital gain from asset sale / event “$A15” - Capital loss from asset sale with the currency being the entity currency and the currency amount being the amount of the capital gain or loss from the sale of the asset
    - event “$A14” - Sale down payment write off with the currency amount being the amount of any down payments generated previously
  - if the collection date is between the estimate start and end dates and prior to the sale date, it creates an event “$A13” - Sales down payment collection with the currency being the collection currency and the currency amount being the down payment amount
  - if the collection date is between the estimate start and end dates and subsequent to the sale date, it creates an event “$A12” - Asset sales collection with the currency being the collection currency and the currency amount being the amount of the collection
  - if the sale billing date is between the estimate start and end dates, it creates event “$A10” - Asset purchase billing, with the currency being the billing currency and the currency amount being the billing amount
- **depreciation calculation**. If a reference date is specified for an asset purchase event or initial situation event, the system uses the average depreciation rates calculation, not the standard calculation.
  - standard depreciation rates calculation
    - for the purchase year, if the “purchase year depreciation rate” is equal to the “reduced rate”, then the reduced rate is applied, or the accelerated reduced rate if the object calculates accelerated depreciation; otherwise, the standard rate is applied, or the accelerated standard rate if the object calculates accelerated depreciation.
    - for standard years, the standard rate is applied, or the accelerated standard rate if the object calculates accelerated depreciation
    - for the sale year, if the “sale year depreciation rate” is equal to the “pro quote standard rate”, then the standard rate is applied, or the accelerated standard rate if the object calculates accelerated depreciation; otherwise, depreciation is not calculated
    - the values of the rates are retrieved from the asset class; if the object manages “customised rates” then they are retrieved from the object itself
  - average depreciation rates calculation:
    - calculates the year in which the asset would be fully depreciated using a standard rates calculation, replacing the purchase sate with the reference date.
    - calculates an average rate from the effective purchase date to the asset disposal date calculated previously so as to fully depreciate the asset
  - the value to be depreciated (based on the depreciation calculation) is always the asset’s period-end value
  - if the monthly splitting is in twelfths, every period counts as 1; if it is based on a weight for every period, the value of the weight is calculated. The total for the year is the sum of all periods in the year; in cases of portions, it is the total of the significant periods

    - creates, for every period, event “$A06” Asset depreciation with the currency being the entity currency and the currency amount being the value to be depreciated * depreciation rate * period weight / total weight
    - the depreciation calculation uses the tax rates if the FP Depreciation type defined for the asset class is set to Fiscal while it uses the statutory rates if the FP Depreciation type defined for the asset class is set to statutory
    - if the FP Depreciation type is different from the Financial statement depreciation type, the system calculates both depreciation types to create entity journals
    - if, in the general cash flow planning rules, the “Asset depreciation on actual data calculation” information is active, then the system also processes the actual assets by creating forecast depreciation. In such cases, it is necessary to open the actual scenarios / periods and link them together through the “previous scenario” and “actual scenario” attributes; it is not compulsory to relate them to the process being performed.
- the system only processes assets that have not been excluded from the calculation.

CFP data processing - Create derived events

The system processes all non-manual events, or events created through the application of an event creation rule, on the basis of the input event, such as the accounting deriving from the manual input event of accrual.

The origin of all events created by this process is “CFP - Create Events by a rule” (EVENT_RULE).

The system:

- retrieves, in sequence, the accounts/events to be processed with the relative creation rules (like bundling, weight, generic shifting, etc.)
- first processes the tuples without overriding on the P&L, then processes the tuples with overriding on the P&L
- creates the derived events by applying the rules in the following order:
    - bundling:
        - the event amount is the sum of the amounts of all “generator” events from the bundling start period on the basis of what is indicated in the bundling type (monthly, bimonthly, quarterly, etc.)
        - the date of the created event is the “First day” of the “bundling start period” or the “Last day” according to what is indicated in the “Bundling reference”.
    - Weight:
        - if the weight maintains the annual values, the event amount is the sum of the amounts of all “generator” events in the year * the weight of the day / total weight of the year
        - if the weight maintains the monthly values, the event amount is the sum of the amounts of all “generator” events in the period * the weight of the day / total weight of the period
        - the date of the created event is the date indicated in the weight
        - for the rows created, the system defines the credit terms field with the credit terms indicated in the details of the weight
        - the system only considers weights linked to planning dates
    - shifting in months and days. At the event date (original or calculated after the processing of bundling or a weight) the system calculates the amount on the derived event according to the shift defined by means of percentages inserted on the months and days
    - shifting by period in months. At the event date (original or calculated after the processing of bundling or a weight) the system applies the shift in months (which can be positive or negative), which is diversified by period

CFP data processing - Create entries

The process populates the tables of simulated events based on the data input tables (P&L, projected variations, balance sheet, accounting entries and objects) and then transforms them into double entries.

The system:

- processes the “accrual” event on the P&L and the projected variations entered between the calculation start date and the estimate end date. The tax rate is entered, as well as the other rate if

the accounts' accounting model allows for this; the credit terms, weight and calendar are entered for records without "manual credit terms" and if the account's accounting model allows for it
- processes all other "P&L / variations" events for the P&L and projected variations for records between the calculation start date and the estimate end date. The tax rate is entered , as well as the other rate if the accounts' accounting model allows for this with the original value present in the row being processed, if present, or with the default value of the relative event; the credit terms, weight and calendar are entered if the account's accounting model allows for it with the original values present in the row being processed, if present, or with the default values of the relative event
- processes the "Initial Balance Sheet" event. The tax rate, the other rate, the credit terms, the weight and the calendar are entered if the account's accounting model allows for it. Records with "other stock" type accounts are excluded. The date of the initial balance sheet is equal to the date prior to the estimate start
- processes all other "initial balance sheet" events for records between the estimate start and end dates. The tax rate, the other rate, the credit terms, the weight and the calendar are entered if the account's accounting model allows for it, with the original values present in the row being processed, if present, or with the default values of the relative event. Records with "other stock" type accounts are excluded
- processes accounting entries and objects for records between the estimate start and end dates
- for the table of simulated events it always defines:
  - the accounting model
    - for "P&L", "Balance sheet" and "Accounting entries" records, the accounting model is retrieved from the original account's data processing model
    - for objects, the accounting model is the one indicated in the object's header
  - the tax policy, as follows:
    - for "P&L", "Balance sheet" and "Accounting entries" records, the fiscal policy is retrieved from the original account's data processing model
    - for "Asset" type objects, the tax policy is retrieved from the data processing model of the account in the object header
  - the countervalue of all data types, excluding "Balance Sheet" and "FX hedging" data (for these data types, the countervalue is the original value)
  - direct tax ceiling calculation: replaces the original rates with rates that respect the ceiling rules
- creates events related to the credit terms:
  - the event date is calculated as follows:
    - if credit terms month-end is active, the number of months is added to the original event date and then the month-end is calculated, and the number of days added
    - if the credit terms month-end is not active, the number of days is added to the original event date
    - the currency amount is calculated by applying the credit terms percentage to the original currency amount
  - applies the payment calendar to the events related to credit terms:
    - the calendar generates the date changes on the events related to the movement of cash deriving from the credit terms
    - the original credit terms events are written off
    - events related to the payment calendar are created
  - applies the weight to the events related to the credit terms or payment calendar:
    - the weight creates a deployment on the days of the period for events related to the movement of cash deriving from the credit terms
    - the original credit terms or calendar events are written off
    - the events related to weight are created
- creates entries based on the simulated events
  - for accounting entries that do not use an accounting model, it makes a copy without particular processing
  - for the other rows, the accounting models are applied to the events table:
    - entries are created which do not have exceptions to the overriding of accounts on the P&L
    - then entries are created which have overriding on the accounts in the P&L
- enters data to the account for entries related to non-deductible taxes. If the "non-deductible account" option is not active, then the account is the original account for the entry, otherwise, it is the "non-deductible tax" account indicated in the tax policy (in this case the entity and the counterparty custom dimension 2 are not defined)
- generates the billing of indirect taxes:
  - for accounting entries or projected variations entered on the indirect tax account of a group tax policy, the entity and the CTP custom dimension 2 are entered, as specified in the execution plan or tax rules (tax definition)
  - defines the billing entries with the "transitory invoice variation" account
  - every period end:

        - an event is created to write off the value of the tax for the period on the “transitory billing variation” account
        - based on the events created in the previous point, it bills the tax on the “VAT account: debit billing variation” or “VAT account: credit billing variation” on the basis of the sign (debit if positive, credit if negative). For standard tax policies (not fees-based) if the policy does the “Group indirect taxes calculation” then it enters the CTP entity on the basis of the execution plan or tax definition
    - for fees-based policies, the system transfers the value of the entries for the previous month from the fees indirect tax account to the indirect tax account of the standard policy. If the standard policy does the “Group indirect taxes calculation” then the CTP entity is defined on the basis of the execution plan or tax definition. Therefore, every month-end, the entries for the month and the previous month for fees are on the standard policy indirect tax account, and the entries for the month for fees are on the fees-based policy indirect tax account.

After creating the entries the system alerts the user to any set up errors encountered during the calculation.

In particular, the system reports:

- if the weight is used for creating events with “keep monthly values”, the weight must have at least one record for every period processed (blocking error: “*The weight must have the detail for the specified scenario / period*”)
- if the weight is used for creating events with “maintain annual values”, the weight must have at least one record for every scenario processed (blocking error: “*The weight must have the detail for the specified scenario* ”)
- if the weight is used for splitting payments or collections, the weight must have at least one record for every period processed (blocking error: “*The weight must have the detail for the specified scenario / period*”)
- if the payment calendar is used to split payments or collections, the calendar must have details for the entire period of time necessary for the calculation (blocking error: “*The calendar must have the detail for the specified date*”)
- the tuples of entities / accounts / custom dimensions / currencies entered must have the accounting model associated in the accounting rule (blocking error: *“The accounting model must have been defined in the accounting rule for the tuple”*)
- tuples of entities / accounts / custom dimensions / currencies entered which have an accounting model providing for credit terms must have the “credit terms” field defined (blocking error: “*The credit terms weren't inserted for the tuple even though the accounting model expects them*”)
- tuples of entities / accounts / custom dimensions / currencies entered which have credit terms providing for cash outstanding amounts and/or bills of exchange, the accounting model associated with the tuple must have the section on cash outstanding and/or unpaid bills of exchange defined (blocking error: “*The credit terms were inserted for the tuple with unexpected events in the accounting model*”)
- tuples of entities / accounts / custom dimensions / currencies entered which have an accounting model providing for tax must have the “tax rate” field entered (blocking error: “*The tax rate wasn’t inserted for the tuple even though the accounting model expects it*”)
- tuples of entities / accounts / custom dimensions / currencies entered which have an accounting model providing for tax must have the “other tax rate” field entered (blocking error: “*The other tax rate wasn’t inserted for the tuple even though the accounting model expects it*”)
- tuples of entities / accounts / custom dimensions / currencies entered which have the “tax rate” field entered must have the indirect tax policy assigned in the accounting rule (blocking error: “*The tax rate was inserted for the tuple even though the tax policy has not been defined in the accounting rule*”)
- tuples of entities / accounts / custom dimensions / currencies entered which have the “other tax rate” field entered must have the other indirect tax policy assigned in the accounting rule (blocking error: “*The other tax rate was inserted for the tuple even though the other tax policy has not been defined in the accounting rule*”)
- for tuples of entities / accounts / custom dimensions / currencies entered which manage the cash schedule, it checks that the total collection/payment is equal to the value indicated in the initial balance sheet (non-blocking error: “*The total of the disinvestment for the tuple is different from the value specified in the Initial Balance Sheet*”)
- for tuples of entities / accounts / custom dimensions / currencies entered, it checks that the event exists in the accounting model associated with the same tuple (blocking error: “*An event that is unexpected in the accounting model was managed for the tuple*”)

CFP Data processing - Indirect taxes and cash pooling

Through this operation, the system performs intercompany transfers related to the management of cash pooling and centralised indirect taxes.

The events created for the transfer of group indirect taxes have their origin equal to “CFP_GROUP_VAT”, while those entered for the cash pooling transfer have their origin equal to “CFP_GROUP_CASH_POOLING”.

The system performs the following operations:

- transfer of the events related to the billing, settlement and down payment of group indirect taxes based on origin
  - CFP_VAT_ACCOUNTING - CFP - VAT – Accounting - two events are created on the parent entity for every child entity event

Event sign child company	Parent account	FX rate sign
>=0	IC relationship account for Group VAT: credit variation	Yes
>=0	Indirect tax account for Group VAT: debit billing variation	No
<0	IC relationship account for Group VAT: debit variation	Yes
<0	Indirect tax account for Group VAT: credit billing variation	No

  - CFP_VAT_PAYMENT - CFP - VAT – Payment and CFP_VAT_DOWN_PAYMENT - CFP - VAT – Down payment - two events are created on the parent entity for every child entity event

Child account	Event sign child company	Parent account	FX rate sign
Indirect tax account: debit settlement variation	>= 0	IC relationship account for Group VAT: credit variation	Yes
Bank account: payment variation	< 0	Bank account: debit IC payment variation	Yes
Indirect tax account: credit settlement variation	< 0	IC relationship account for Group VAT: debit variation	Yes
Bank account: collection variation	>= 0	Bank account: credit IC payment variation	Yes

- transfer of events related to the financial policy and generation of interest from cash pooling
  - CFP_FINANCIAL_RULE - CFP - Financial policy - two events are created on the parent entity for every child entity event

Event sign child company	Parent account	FX rate sign
>=0	Bank account for Cash Pooling: debit variation	No
>=0	IC account for Cash Pooling: credit variation	Yes
<0	Bank account for Cash Pooling: credit variation	No
<0	IC account for Cash Pooling: debit variation	Yes

  - CFP_INTEREST_PL - CFP - P&L interest - two events are created on the parent entity for every child entity event

Child account	Event sign child company	Parent account	FX rate sign
Interest Account		IC interests Account	Yes
Interest accrual account: debit variation	< 0	IC interests accrual Account: credit variation	Yes
Interest accrual account: credit variation	>= 0	IC interests accrual Account: debit variation	Yes

- Accounting curve if collection / payment takes place simultaneous to the accounting: CFP_INTEREST_ACC - CFP - Interests – Accounting - one event is created on the parent entity for every child entity event

Child account	Event sign child company	Parent account	FX rate sign
Bank Account: capitalization variation		Bank Account: IC interest capitalization variation	Yes

- Accounting curve if collection / payment takes place subsequent to the accounting: CFP_INTEREST_ACC - CFP - Interests – Accounting - one event is created on the parent entity for every child entity event

Child account	Event sign child company	Parent account	FX rate sign
Debits / credits account for interest: debit variation	< 0	Debits / credits account for IC interest: credit variation	Yes
Debits / Credits account for interest: credit variation	> 0	Debits / Credits account for IC interest: debit variation	Yes

- Curve of collection / payment subsequent to accounting: CFP_INTEREST_DEFERRED_PAYMENT - CFP - Interests - payment / collection subsequent to accounting - one event is created on the parent entity for every child entity event

Child account	Event sign child company	Parent account	FX rate sign
Bank Account: capitalization variation		Bank Account: IC interest capitalization variation	Yes

CFP data processing - Indirect taxes calculation

Through this data process, the notional and entity indirect taxes settlement is calculated.
From this point on, the system processes one year at a time.

The system:

- creates the events related to the tax down payment:
  - for the first year processed, the “down payment percentage” is applied to the value of the “prev. year tax account (statistical)” saved in the initial balance sheet
  - for subsequent years, if the “reference period for the down payment calculation” is indicated on the indirect tax policy, then the “down payment percentage” is applied to the value of the indirect tax account for the previous year
  - event “$GBL” - Accounting, with the following characteristics
    - *account* equal to the “Indirect tax account: debit settlement variation”
    - *custom dimensions* equal to those present in the original data item
    - *event date* equal to the down payment day / period indicated in the policy
    - *currency* equal to the currency of the indirect tax policy
    - *reference account* equal to the “Indirect tax account: debit settlement variation”
    - *currency amount* equal to the down payment amount * -1
    - *origin* equal to CFP_VAT_DOWN_PAYMENT - CFP - VAT – Down payment
  - event “$GBL” - Accounting, with the following characteristics
    - *account* equal to the “Bank account: payment variation”
    - *custom dimensions* equal to those present in the original data item
    - *event date* equal to the down payment day / period indicated in the policy
    - *currency* equal to the currency of the indirect tax policy
    - *reference account* equal to the “Indirect tax account: debit settlement variation”
    - *currency amount* equal to the down payment amount
    - *origin* equal to CFP_VAT_DOWN_PAYMENT - CFP - VAT – Down payment
- creates the events related to the tax settlement; if the balance of the entity total for the Indirect tax account is in debit or in reimbursable credit, the tax settlement is created. Debit destinations pay, credit destinations collect.
  - event “$GBL” - Accounting, with the following characteristics
    - *account* equal to the “VAT account: debit settlement variation” for tax payable or receivable “Indirect tax account: credit settlement variation” for tax receivable
    - *custom dimensions* equal to those present in the original data item
    - *event date* equal to the year-end calculation (following period start date + “payment months”) + “payment days”
    - *currency* equal to the currency of the indirect tax policy
    - *reference account* equal to the “VAT account: debit settlement variation” for tax payable or receivable “Indirect tax account: credit settlement variation” for tax receivable
    - *currency amount* equal to the tax to be settled, reversed in sign
    - *origin* equal to CFP_VAT_PAYMENT - CFP - VAT – Payment
  - event “$GBL” - Accounting, with the following characteristics
    - *account* equal to the “Bank account: payment variation” for tax payable or “Bank account: collection variation” for tax receivable
    - *custom dimensions* equal to those present in the original data item
    - *event date* equal to the year-end calculation (following period start date + “payment months”) + “payment days”
    - *currency* equal to the currency of the indirect tax policy
    - *reference account* equal to the “VAT account: debit settlement variation” for tax payable or receivable “Indirect tax account: credit settlement variation” for tax receivable
    - *currency amount* equal to the tax to be settled
    - *origin* equal to CFP_VAT_PAYMENT - CFP - VAT – Payment
- if the indirect tax policy performs the “group indirect taxes calculation”
  - the events created always have an indication of the CTP entity indicated in the execution plan (by process / entity) or in the definition that has been set (by process / entity / policy)
  - tax is always reimbursable
- if “public holiday” has been indicated on the indirect tax policy, it is not possible to create events on dates defined as public holidays: the process moves the date to the date indicated as the “operation date”.

CFP data processing - Dividends calculation

This operation activates the calculation of the dividends to be distributed to recipient entities as remuneration for the capital invested.

The events created following the dividends calculation have the origin: CFP_DIVIDENDS – CFP - Dividends.

In date order, the system performs the following operations:

- calculates the dividends:
  - recovers the formula defined for the dividend rule associated with the entity in the execution plan
  - recovers, from the table of balances for the scenario prior to the selected scenario, period 12, the value attributed to the accounts indicated in the formula
  - applies the formula to the amount of the aforementioned accounts to obtain the value of the dividend
- books, on the DISTRIBUTOR entity:
  - the calculated dividend, as follows:
    - *account* equal to the "dividend distribution reserve account" specified in the dividend distribution rule (debit)
    - *account* equal to the "financial debt account" specified in the dividend distribution rule (credit)
    - *event date* (i.e. the date on which the dividends are distributed) equal to the end date of the selected scenario/period and the "declaration period" specified in the dividend distribution rule
    - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
    - *currency* equal to the entity currency
    - *currency amount* equal to the calculated value
  - any down payments indicated in the dividend distribution table, as follows:
    - *account* equal to the "down payments distribution reserve account" specified in the dividend distribution rule (debit)
    - *account* equal to the "financial debt account" specified in the dividend distribution rule (credit)
    - *event date* equal to the "distribution date" indicated in the dividend distribution table
    - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
    - *currency* equal to the entity currency
    - *currency amount* equal to the value indicated in the dividend distribution table
  - any additional dividends indicated in the dividend distribution table, as follows:
    - *account* equal to the "dividend distribution reserve account" specified in the dividend distribution rule (debit)
    - *account* equal to the "financial debt account" specified in the dividend distribution rule (credit)
    - *event date* equal to the "distribution date" indicated in the dividend distribution table
    - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
    - *currency* equal to the entity currency
    - *currency amount* equal to the value indicated in the dividend distribution table
  - the relative payments:
    - *account* equal to the "financial debt account" specified in the dividend distribution rule (debit)
    - *account* equal to the "bank account" specified in the dividend distribution rule (credit)
    - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
    - *currency* equal to the entity currency

    The event date varies depending on what is being distributed; specifically:

    - for the registration of the dividend payment, it is equal to the distribution date, to which the number of payment days and months specified in the dividend distribution rule are added
    - for the registration of interim and additional dividends it is the payment date specified in the dividend distribution table
- books, on the RECIPIENT entity:
  - the calculated dividend, as follows:
    - *account* equal to the "dividends received account" specified in the dividend distribution rule (credit)
    - *account* equal to the "financial credit account" specified in the dividend distribution rule (debit)
    - *event date* equal to the end date of the selected scenario/period and the "deliberation period" specified in the dividend distribution rule
    - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
    - *currency* equal to the entity currency

        - *currency amount* equal to the calculated value net of any down payments already collected
    - the relative collection, as follows:
        - *account* equal to the "financial credit account" specified in the dividend distribution rule (credit)
        - *account* equal to the "bank account" specified in the dividend distribution rule (debit)
        - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
        - *currency* equal to the entity currency
        - *currency amount* equal to the calculated value net of any down payments already collected
        - *event date* equal to the distribution date, to which the number of payment days and months specified in the dividend distribution rule are added



- if the calculated dividend value is <= 0 and there are no down payments, the system does not generate the dividend;
- if the calculated dividend value is <= 0 and there are down payments, the system generates the negative dividend;
- if the calculated dividend value is > 0 but the distributed down payment is greater than the value of the down payment, a negative dividend value is generated.
- the value to be distributed to the individual recipient entities is calculated on the basis of the % ownership indicated in the group structure.

CFP Data processing - Tax balance payment

Through this data process, the system carried out payment of the tax balance of both "notional" taxes and "entity" taxes.

Entities which have been associated with a fiscal policy in the entity list and for which the "Direct taxes payment type" has been defined in the execution plan as "Calculate balance only", "Calculate Down payment on actual and balance" or "Calculate Down payment on budget and amount".

The system creates the following events:

- for the tax balance:
    - event "$GBL" - Accounting, with the following characteristics
        - *account* equal to the "Tax fund: debit amount payment variation account" account specified in the tax rules (tax definition)
        - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
        - *currency* equal to the entity currency
        - *entry date* equal to the balance payment date indicated in the tax rules (tax definition)
        - *reference account for cash flow calculation* equal to the "P&L taxes: credit" account specified in the tax rules (tax definition)
        - *currency amount* equal to the sum of the tax account balance and the down payments account balance for the previous year, reversed in sign
        - *origin* equal to CFP_TAXES_PAYMENT - CFP - Taxes – Payment
    - event "$GBP" - Accounting, with the following characteristics
        - *account* equal to the "bank account: credit variation" specified in the tax rules (tax definition)
        - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
        - *currency* equal to the entity currency
        - *entry date* equal to the balance payment date indicated in the tax rules (tax definition)
        - *reference account for cash flow calculation* equal to the "P&L taxes: credit" account specified in the tax rules (tax definition)
        - *currency amount* equal to the sum of the tax account balance and the down payments account balance for the previous year
        - *origin* equal to CFP_TAXES_PAYMENT - CFP - Taxes – Payment
- for the closing of the down payments account if the "Down payment write off method" is set as "Balance payment":
    - event "$GBL" - Accounting, with the following characteristics
        - *account* equal to the "Down payment: end-of-year write off variation account" specified in the tax rules (tax definition)

        - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
        - *currency* equal to the entity currency
        - *entry date* equal to the balance payment for the year
        - *reference account for cash flow calculation* equal to the “Down payment: end-of-year write off variation account” specified in the tax rules (tax definition)
        - *currency amount* equal to the value of the down payments account at the end of the year, reversed in sign
        - *origin* equal to CFP_TAXES_DOWN_PAYMENT_DEBT - CFP - Taxes - Debit Down payment
    - event “$GBL” - Accounting, with the following characteristics
        - *account* equal to the “Tax Fund: Variation account” specified in the tax rules (tax definition)
        - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
        - *currency* equal to the entity currency
        - *entry date* equal to the balance payment for the year
        - *reference account for cash flow calculation* equal to the “Down payment: end-of-year write off variation account” specified in the tax rules (tax definition)
        - *currency amount* equal to the value of the down payments account at the end of the year
        - *origin* equal to CFP_TAXES_DOWN_PAYMENT_DEBT - CFP - Taxes - Debit Down payment
- the value to be paid is calculated by reading the balance of the tax account and the balance of the down payments account for the previous year / period “12”; for the first year that value is taken from the table of balances, and for subsequent years it is taken from the table of entries
- the payment is made if the balance of the value payable is negative
- if “Holiday” has been indicated on the fiscal policy, it is not possible to create events on dates defined as public holidays: the process moves the balance date to the date indicated as the “Operation date”.

CFP Data processing - Tax down payment

Through this data process, the system generates down payments for both “notional” taxes and “entity” taxes”.

Entities which have been associated with a fiscal policy in the entity list and for which the “Direct taxes payment type” has been set in the execution plan as “Calculate Down payment on actual and balance” or “Calculate Down payment on budget and balance”.

The system:

- Calculates the down payment:
    - “down payment on actual and balance calculation”:
        - applies the percentage indicated in the tax rules (tax definition) to the taxes for the previous year
        - for the first year, the relative tax is saved in Initial Balance Sheet on the “Prev. Year P&L tax (statistical account)”
        - for subsequent years, the tax for the year is saved in entries on the “P&L taxes: credit” account
    - “down payment on budget and balance calculation”:
        - applies the percentage to the forecast profit before down payments; the following formulas are applied:

          A1 = (C1*V1/100) / 1+ (T/36500 * ((C1*D1) + (C2*D2) + (C3*D3) + (C4*D4)))

          A2 = (A1*C2) / C1

          A3 = (A1*C3) / C1

          A4 = (A1*C4) / C1

          Where:

          A1...A4 = First...Fourth down payment

          C1...C4 = Percentage first...fourth down payment

V1 = Net result for the year before the down payment calculated from the P&L

T = Reference rate

D1...D4 = Length of time in days between payment of the first...fourth down payment and the end of the year

- creates the tax down payment events:
  - event "$GBL" - Accounting, with the following characteristics
    - *account* equal to the "Down payment: payment variation account" account
    - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
    - *currency* equal to the entity currency
    - *event date* equal to the down payment date indicated in the tax rules (tax definition)
    - *reference account for cash flow calculation* equal to the "P&L taxes: credit" account specified in the tax rules (tax definition)
    - *currency amount* equal to the down payment account
    - *origin* equal to CFP_TAXES_DOWN_PAYMENT - CFP - Taxes - Down payment
  - event "$GBL" - Accounting, with the following characteristics
    - *account* equal to "bank account: credit variation"
    - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
    - *currency* equal to the entity currency
    - *event date* equal to the down payment date indicated in the tax rules (tax definition)
    - *reference account for cash flow calculation* equal to the "P&L taxes: credit" account specified in the tax rules (tax definition)
    - *currency amount* equal to the down payment account, reversed in sign
    - *origin* equal to CFP_TAXES_DOWN_PAYMENT - CFP - Taxes - Down payment
- if, the "Tax fund" account is in credit at the down payment creation date, the following events are created:
  - event "$GBL" - Accounting, with the following characteristics
    - *account* equal to the "Down Payment: write off variation account per Credit Balance" account
    - *reference account for cash flow calculation* equal to the "P&L taxes: credit" account specified in the tax rules (tax definition)
    - *currency amount* equal to the amount of the down payment, reversed in sign if the balance of the "Tax fund" is greater than the "down payments" account; otherwise it is equal to the balance of the "Tax fund" account, reversed in sign
    - *origin* equal to CFP_TAXES_DOWN_PAYMENT_DEBT - CFP - Taxes - Debit Down payment
  - event "$GBL" - Accounting, with the following characteristics
    - *account* equal to "bank account: debit variation"
    - *reference account for cash flow calculation* equal to the "P&L taxes: credit" account specified in the tax rules (tax definition)
    - *currency amount* equal to the amount of the down payment, if the balance of the "Tax fund" is greater than the "down payments" account; otherwise it is equal to the balance of the "Tax fund" account
    - *origin* equal to CFP_TAXES_DOWN_PAYMENT_DEBT - CFP - Taxes - Debit Down payment
- if "Holiday" has been indicated on the fiscal policy, it is not possible to create events on dates defined as public holidays: the process moves the balance date to the date indicated as the "Operation date".

CFP Data processing - Financial simulation

Through this data process, the system calculates the interest and the shifts between sections for both notional and entity financial simulation. For every entity, the system processes the currencies handled and the entity's preferred currency.

The system calculates the initial liquidity by entity / currency / section and, day by day, the cumulative balance of the liquidity accounts defined by section. Processes one day at a time and:

- if the day is a month-end, for every entity / section / currency, the system calculates the accrued interest and the billing of interest, creating the following events:
  - event "$GPL" - Accrual, with the following characteristics:
    - *account* equal to the interest account

- *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
- *currency* equal to the currency of the original data item
- *reference account for cash flow calculation* equal to the interest account
- *currency amount* equal to the sum of all the days of the period (previous day liquidity * rate) / (36000 if interest calculation type is commercial or 36500 if it is calendar), reversed in sign
- *origin* equal to “CFP_INTEREST_PL” - CFP - P&L interest

◦ event “$GPL” - Accrual, with the following characteristics:
- *account* equal to the interest accrual account: debit variation (if the interest is receivable) or credit variation (if the interest is payable)
- *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
- *currency* equal to the currency of the original data item
- *reference account for cash flow calculation* equal to the interest account
- *currency amount* equal to the sum of all the days of the period (previous day liquidity * rate) / (36000 if interest calculation type is commercial or 36500 if it is calendar)
- *origin* equal to “CFP_INTEREST_PL” - CFP - P&L interest

◦ event “$GBL” - Accounting, with the following characteristics:
- *account* equal to the interest accrual account: debit variation (if the interest is payable) or credit variation (if the interest is receivable)
- *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
- *currency* equal to the currency of the original data item or to the entity currency if the section has the “preferred currency” flag active
- *reference account for cash flow calculation* equal to the interest account
- *currency amount* equal to the interest accrued grouped by applying the rules defined in the section
- *origin* equal to “CFP_INTEREST_ACC” - CFP - Interests – Accounting

◦ event “$GBL” - Accounting, with the following characteristics:
- *account* equal to the bank account: capitalisation variation or debit / credit account for interest: credit or debit if collection / payment is subsequent to the interest capitalisation date
- *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
- *currency* equal to the currency of the original data item or to the entity currency if the section has the “preferred currency” flag active
- *reference account for cash flow calculation* equal to the interest account
- *currency amount* equal to the interest accrued grouped by applying the rules defined in the section, reversed in sign
- *origin* equal to “CFP_INTEREST_ACC” - CFP - Interests – Accounting

◦ in cases of deferred collection / payment, event “$GBL” - Accounting, with the following characteristics:
- *account* equal to the debit / credit account for interest: debit (if the interest is payable) or credit (if the interest is receivable)
- *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
- *currency* equal to the currency of the original data item or to the entity currency if the section has the “preferred currency” flag active
- *currency amount* equal to the interest accrued grouped by applying the rules defined in the section
- *origin* equal to “CFP_INTEREST_DEFERRED_PAYMENT” - CFP - Interests - Collection / Deferred payment

◦ in cases of deferred collection / payment, event “$GBL” - Accounting, with the following characteristics:
- *account* equal to bank account: capitalisation variation
- *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
- *currency* equal to the currency of the original data item or to the entity currency if the section has the “preferred currency” flag active
- *reference account for cash flow calculation* equal to the interest account
- *currency amount* equal to the interest accrued grouped by applying the rules defined in the section, reversed in sign
- *origin* equal to “CFP_INTEREST_DEFERRED_PAYMENT” - CFP - Interests - Collection / Deferred payment

    - the system also updates the day's liquidity resulting from the capitalisation of the interest
- the system calculates shifts between sections by entity / sequence / currency as follows:
    - based on the frequency of calculation, it checks whether the condition itself should be checked, in which case, if the condition is true, it creates a shift equal to the value of the "amount for condition verified"; however, if it is false, it creates a shift equal to the value of the "amount for condition not verified"
    - if the amount thus calculated is not zero, then the system creates the following events:
        - event "$GBL" - Accounting, with the following characteristics:
            - *account* equal to the primary account: debit variation for section shift (if debit) or credit variation for section shift (if credit) of the "section from"
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the currency of the original data item
            - *event date* equal to the shift date
            - *reference account for cash flow calculation* equal to the Primary account: debit variation for section shift (if debit) or credit variation for section shift (if credit) of the "section to"
            - *currency amount* equal to the shift amount, reversed in sign
            - *origin* equal to "CFP_FINANCIAL_RULE" - CFP - Financial policy
        - event "$GBL" - Accounting, with the following characteristics:
            - *account* equal to the primary account: debit variation for section shift (if debit) or credit variation for section shift (if credit) of the "section to"
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the currency of the original data item
            - *event date* equal to the shift date
            - *reference account for cash flow calculation* equal to the Primary account: debit variation for section shift (if debit) or credit variation for section shift (if credit) of the "section from"
            - *currency amount* equal to the shift amount
            - *origin* equal to "CFP_FINANCIAL_RULE" - CFP - Financial policy
        - event "$GBL" - Accounting, with the following characteristics:
            - *account* equal to the primary account: debit variation for section shift (if debit) or credit variation for section shift (if credit) of the "section from"
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the currency of the original data item
            - *event date* equal to the shift reversal date
            - *reference account for cash flow calculation* equal to the Primary account: debit variation for section shift (if debit) or credit variation for section shift (if credit) of the "section to"
            - *currency amount* equal to the shift amount
            - *origin* equal to "CFP_FINANCIAL_RULE" - CFP - Financial policy
        - event "$GBL" - Accounting, with the following characteristics:
            - *account* equal to the primary account: debit variation for section shift (if debit) or credit variation for section shift (if credit) of the "section to"
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the currency of the original data item
            - *event date* equal to the shift reversal date
            - *reference account for cash flow calculation* equal to the Primary account: debit variation for section shift (if debit) or credit variation for section shift (if credit) of the "section from"
            - *currency amount* equal to the shift amount, reversed in sign
            - *origin* equal to "CFP_FINANCIAL_RULE" - CFP - Financial policy
        - the system also updates the liquidity for the current day and for the day of the reversal resulting from the shift
- in cases of cash pooling, the CTP entity is defined for events created from the interest calculation and from section shifts with the CTP entity indicated in the execution plan or sections definition.

 If the process being performed involves the calculation of the **financial policy by counterparty entity**, the interest calculation for section shift it takes place by counterparty entity and not by entity.

Moreover, if exceptions to interest rates are being managed for the counterparties, the system uses those values for the calculation of the interest on the liquidity for those counterparties.

CFP Data processing - Revaluation and devaluation

Through this process, the system performs a valuation of the receivables and payables at the final FX rate for every period, with the FX rate differences being booked.

The system only processes balance sheet accounts and standard-type accounts that have the “End-of-period FX rate evaluation” option active.

At every period end, with reference to the cumulative balance of the account, it calculates the countervalue “to be set” by multiplying the cumulative currency amount by the period FX rate. The difference between the countervalue “to be set” and the account’s cumulative countervalue is the cumulative FX rate difference for that account. It also calculates the monthly FX rate difference (this is the difference between one period’s cumulative FX rate difference and that of the previous period).

The system creates the following events, with origin equal to CFP_FINAL_EXCHRATE_EVAL - CFP - Evaluation at final FX rate:

- entry of the FX rate difference on the P&L - event “$GBL” - Accounting, with the following characteristics:
  - account equal to the “debit FX rate difference account for revaluations” account or the “credit FX rate difference account for revaluations”, depending on the balance sheet being revalued if it is present as an “exception”, and otherwise on the “debit FX rate difference account for revaluations” or “credit FX rate difference account for revaluations” fields defined, for the data-processing process to be performed, in the general data processing rules
  - countervalue equal to the FX rate difference amount
- entry of the revaluation on a balance sheet account - event “$GBL” - Accounting, with the following characteristics:
  - account equal to a variation account among the “child” variations of the balance sheet account being revalued with the “FX rate difference” field defined as “Debit” or “Credit” or as “Debit/Credit”
  - countervalue equal to the FX rate difference amount

Details of signs:

- a commercial event with the CREDIT account (changing the sign) is created if the monthly FX rate difference obtained is positive, and with the DEBIT account if it is negative
- if the monthly FX rate difference obtained is positive, a balance sheet event is created which uses an account the variation of which has the “FX rate difference” field equal to “Debit” or “Debit/Credit”, if it is negative, the event uses an account the variation of which has the “FX rate difference” field equal to “Credit” or “Debit/Credit”.

CFP Data processing - Direct taxes calculation

Through this data process, the system calculates the P&L taxes according to what is defined in the fiscal policy. The calculation is carried out for the entities with which a fiscal policy in the list was associated and for which “Participates in the notional calculation” or “Participates in the entity calculation” was activated during the definition of the execution plan.

The system calculates the notional taxes first, and then the entity taxes, by performing the following operations:

- it generates the list of deductible accounts. The accounts sensitive to the tax are:
  - the P&L accounts not present in the “Tax rules (account/taxes relationships)” for the comprehensive gross amount;
  - the P&L accounts present in the “Tax rules (account/taxes relationships)” for the percentage indicated as the “% subject to current year” or for the maximum amount out of the overall amount of the account and a percentage (“Threshold %”) of the account amount indicated as the “Threshold account”;

    - the P&L accounts of previous years present in the “Tax rules (account/taxes relationships)” that are subject to deferred taxes and should therefore be booked during the current year (these are the accounts which have the “% subject to year n+1”, “% subject to year n+2”, “% subject to year n+3”, “% subject to year n+4”, “% subject to year n+5” and “% subject to year n+6” fields defined);
    - any tax losses from previous years brought forward as deductions
- creates the tax credit from the previous scenarios:
    - calculates the tax credit originating from the scenario prior to the scenario in question, whether it has been created automatically by means of data processing or entered manually by the user
    - the tax credit from the previous years is entered in the accounts together with deferred or advanced taxes for the year
- taxes calculation:
    - calculation of the statutory result before taxes
    - calculates the tax result making fiscal increases or decreases to the statutory results before taxes. In the event of tax profit, it also deducts tax losses of previous years
    - tax calculation: it applies the tax rate to the tax result and adds any manual entries to the tax; for forecasts, the actual amount is removed
    - deferred or prepaid taxes calculation:
        - calculation of tax not subject to: tax obtained from a tax profit calculated by carrying forward the tax variations from the statutory result on the basis of the deductibility percentages applied to following years
        - deferred taxes calculation: difference between the tax for the year and the tax not subject to, if positive
        - advanced taxes calculation: difference between the tax for the year and the tax not subject to, if negative
    - creates the events for the period on the P&L tax account based on a weight or statutory profit. The following events are created:
        - event “$GPL” - Accrual, with the following characteristics:
            - *account* equal to the “P&L taxes: credit” account specified in the tax rules (tax definition)
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the entity currency
            - *reference account for cash flow calculation* equal to the “P&L taxes: credit” account specified in the tax rules (tax definition)
            - *currency amount* equal to the monthly value of the tax (sign +) calculated via the monthly splitting of the annual tax value, according to the “tax monthly splitting type” specified in the tax rules (tax definition)
            - *origin* equal to “CFP_TAXES_PL” - CFP – Taxes
        - event “$GPL” - Accrual, with the following characteristics:
            - *account* equal to the “Tax accrual account: credit variation” specified in the tax rules (tax definition)
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the entity currency
            - *reference account for cash flow calculation* equal to the “P&L taxes: credit” account specified in the tax rules (tax definition)
            - *currency amount* equal to the monthly value of the tax (sign -) calculated via the monthly splitting of the annual tax value, according to the “tax monthly splitting type” specified in the tax rules (tax definition)
            - *origin* equal to “CFP_TAXES_PL” - CFP – Taxes
    - creates the tax accounting events. The following events are created:
        - event “$GBL” - Accounting, with the following characteristics:
            - *account* equal to the “Tax Fund: Variation account” specified in the tax rules (tax definition)
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the entity currency
            - *reference account for cash flow calculation* equal to the “P&L taxes: credit” account specified in the tax rules (tax definition)
            - *currency amount* equal to the annual value of the tax (sign -)
            - *origin* equal to “CFP_TAXES_ACC” - CFP – Taxes
        - event “$GBL” - Accounting, with the following characteristics:
            - *account* equal to the “Tax accrual account: debit variation” specified in the tax rules (tax definition)

        - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
        - *currency* equal to the entity currency
        - *reference account for cash flow calculation* equal to the “P&L taxes: credit” account specified in the tax rules (tax definition)
        - *currency amount* equal to the annual value of the tax reversed in sign (sign +)
        - *origin* equal to “CFP_TAXES_ACC” - CFP – Taxes
    - creates the deferred or advanced tax accounting events. The following events are created:
        - event “$GBL” - Accounting, with the following characteristics
            - *account* equal to the “Deferred taxes: debit - annual impact” or “P&L taxes credit” account specified in the tax rules (tax definition)
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the entity currency
            - *reference account for cash flow calculation* equal to the “P&L taxes: credit” account specified in the tax rules (tax definition)
            - *currency amount* equal to the value of deferred/advanced tax 1 (the amount includes the tax credit from previous years)
            - *origin* equal to “CFP_TAXES_DEFERRED” - CFP - Deferred taxes
        - event “$GBL” - Accounting, with the following characteristics
            - *account* equal to the “Deferred taxes fund: debit - annual impact” or “Credits for Prepaid taxes - annual impact” account specified in the tax rules (tax definition)
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *currency* equal to the entity currency
            - *reference account for cash flow calculation* equal to the “P&L taxes: credit” account specified in the tax rules (tax definition)
            - *currency amount* equal to the value of deferred/advanced tax * -1 (the amount includes the tax credit from previous years)
            - *origin* equal to “CFP_TAXES_DEFERRED” - CFP - Deferred taxes
    - if the “Down payment write off method” is “Year End”, it creates the events for the closing of the down payments account. The following events are created:
        - event “$GBL” - Accounting, with the following characteristics
            - *account* equal to the “Down payment: end-of-year write off variation account” specified in the tax rules (tax definition)
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *event date* equal to the year end date
            - *currency* equal to the entity currency
            - *reference account for cash flow calculation* equal to the “Down payment: end-of-year write off variation account” specified in the tax rules (tax definition)
            - *currency amount* equal to the value of the down payments account at the end of the year, reversed in sign
            - *origin* equal to CFP_TAXES_DOWN_PAYMENT_DEBT - CFP - Taxes - Debit Down payment
        - event “$GBL” - Accounting, with the following characteristics
            - *account* equal to the “Tax Fund: Variation account” specified in the tax rules (tax definition)
            - *custom dimensions* equal to the elements of the default custom dimensions specified for the entity
            - *event date* equal to the year-end date
            - *currency* equal to the entity currency
            - *reference account for cash flow calculation* equal to the “Down payment: end-of-year write off variation account” specified in the tax rules (tax definition)
            - *currency amount* equal to the value of the down payments account at the end of the year
            - *origin* equal to CFP_TAXES_DOWN_PAYMENT_DEBT - CFP - Taxes - Debit Down payment

Group policy

In Tagetik, the term Group policies generally refers to the following two policies:

- **Cash pooling**
- **Group VAT**

Essentially, these policies involve transferring a subsidiary entity's financial position (cash pooling) or VAT position (Group VAT) to the Holding entity or in any case a parent company (in cases of sub-consolidation) and, accordingly, creating the same intragroup credit/debit position in the Holding entity.

Cash Pooling

The term “Cash Pooling” refers to the operation of transferring the bank balance entered on a subsidiary entity to the parent entity (holding company or sub-holding company) which will register a variation in its own current bank account and a variation of the intragroup financial payables/receivables. Cash pooling encompasses not only transfers of banking positions but also transfers of the commercial component of intragroup financial expenses and income (again from the subsidiary to the parent company).

Therefore, Cash Pooling refers to two types of transfer:

- the transfer of the subsidiary entity’s bank balance to the parent company
- the transfer of the subsidiary entity’s interest receivable or payable to the parent company

The journal entries that the system makes on the parent entity based, for example, on an intercompany bank balance of the subsidiary entity equal to a +10 and interest receivable (intragroup financial income) equal to -2, are

Principal Bank Account (+10) -- to -> Intragroup financial Debts

Intragroup financial charges (+2) -- to -> Intragroup financial income

The **intercompany bank account** (IC Banks receivable/payable) fed on the subsidiary entity is not a real bank account, but in fact represents an intercompany credit and debit account which actually behaves like a completely standard current account on which interest is calculated. Therefore, this account can be considered as both an intercompany bank account and an intercompany financial debit/credit account which, for the subsidiary, behaves like an intercompany bank account.

The following need to be defined in order to set up cash pooling:

- the accounts sensitive to cash pooling
- the sections of the financial policy sensitive to cash pooling
- the entities which fall within the cash pooling scope

Cash pooling is incompatible with the **financial policy by counterparty entity**. In fact, in cases of cash pooling, when the system performs section shifts and generates interest, it always enters the counterparty entity as the parent entity regardless of the counterparty defined.

Accounts sensitive to cash pooling

As stated previously, the concept of Cash Pooling involves the transfer of intercompany bank balances and the relative interest from one entity to another; therefore, it is necessary for these accounts at least to be “intercompany option” accounts.

The following accounts must allow intercompany transfers:

- Intragroup financial income
- Intragroup financial expenses
- IC bank assets
- IC bank liabilities
- Intragroup financial receivables
- Intragroup financial payables
- Receivables for IC interest
- Payables for IC interest

An account is defined as “intercompany option ” if, in the chart of accounts list (accessible from the administrator-user’s web interface by following the path: *Setup & Admin > Dimensions > Account > List*) *Navigation panel> Dimensions > Account > List*) , it has the **IC Management** option active

If that option has not been enabled, the system will display a blocking error during data processing

Lines of credit / deposits sensitive to cash pooling

The transfer of the intercompany bank balance to the holding entity is defined within the **Cash management rule** for the subsidiary entities.

Groups which have entities that do cash pooling normally have two different cash management rules:

- one to manage the holding entity
- one to manage the subsidiary entities in which the credit lines and deposits sensitive to cash pooling, i.e. the credit lines and deposits that will be transferred to the parent entity and, for each of them, the specific accounts involved in the transfer operation

The management of the aforementioned information can be accessed from the administrator-user’s web interface by following the path *Setup & Admin > Data processing > Cash Flow Planning > Cash management rule > Actions ( ) > Lines of credit and deposits> Navigation panel> > Data processing > Cash Flow Planning > Cash management rule > Actions ( ) > Lines of credit and deposits*>located on the **Cash pooling** tab.

To tell the system that a line of credit / deposit is sensitive to cash pooling it is necessary to activate the **Cash pooling** option. Then, for every credit line or deposit defined as sensitive to cash pooling, it is necessary to specify the accounts on which the entries on the holding entity will take place, particularly:

- the **IC financial credit** account or the financial credit account of the variation type that is defined in the Holding entity as the counterparty of the cashflow received from the subsidiary entity
- the **IC bank variation - Credit/Debit** account i.e. the bank account of the variation type, usually that of third parties, on to which the cash flows are “transferred” to the holding entity, with the same sign; these cash flows (increases or decreases) are entered at the subsidiary in its intercompany bank account
- the **IC Financial debit** account i.e. the financial debit of the variation type that is fed at the holding entity as the counterparty of the cashflow received from the subsidiary entity
- the **IC interest** account or the intragroup financial expenses or income account (depending on the line of credit or deposit being defined) to which the intercompany interest receivable or payable, calculated on the subsidiary entity, is transferred to the holding entity. For example, if the line of credit or deposit being defined is active, then the defined IC interest account is that of the intragroup financial expenses since the income entered at the subsidiary entity is transferred to the holding entity, reversed in sign

- the **IC accrual variation - debit/credit** account, i.e. the accrual (receivable or payable) account of the variation type that is entered at the holding entity as the balance sheet contra-entry of the IC interest account
- the **IC bank** account i.e. the bank account of the variation type used for the settlement of capitalised intercompany interest transferred to the holding entity. In practice, it is the variation type bank account in which the parent entity receives the payment of financial expenses and income from the subsidiary
- the **IC bank for withholding tax** account, or the IC bank account of the variation type used for the transfer of the write off of the capitalisation of interest when billing the withholding tax.
- the **debits / credits for IC interest - debit/credit** account, or the credit / debit account of the variation type that is defined in the holding entity as the balance sheet contra-entry in cases of deferred collection / payment.

  This typically coincides with the “capitalisation variation bank account” defined for the main line by the same cash management rule.

The cash pooling setup logic is that of the parent entity; therefore, the accounts that will be subject to entries deriving from cash pooling are indicated.

Entities which fall within the cash pooling scope

Once the accounts subject to intercompany transfers and the behaviour of the lines of credit/deposit that fall within the cash pooling scope for the subsidiary entities' interest calculation rule have been defined, it is necessary to define:

- the **pooler entity**, i.e. the entity to which the bank balances and interest are transferred; typically the Holding or Sub-Holding entity
- the **subsidiary entities**, i.e. the entities that are transferring the bank balances and interest to the pooler entity, specifying the parent entity to which they are transferring their own short-term financial position

Pooler entity setup

In order for an entity to be defined as a **pooler**", it is necessary, in the area dedicated to managing the execution plan's **Cash Management**, to set the **Group calculation** to "Yes".

If the pooler entity is represented by a sub-holding entity it is necessary to set the "**Group calculation**" to "On other entity" and enter the **Reference Holding** field, indicating the company code of the parent entity. In fact, the sub-holding entity is the group's parent company and a subsidiary at the same time; it receives the bank balance of the subsidiaries and, in turn, transfers this to the holding entity.

Subsidiary entities setup

Subsequently, to place a **subsidiary entity** within the cash pooling scope it is necessary, in the area dedicated to managing the execution plan's **Financial policy**, to set:

- the **Entity Calculation** to "Yes"
- the **Group calculation** to "On other entity", specifying the parent entity to which to transfer the bank balance and interest in the **Reference Holding** field

Tagetik allows the user to customise the parent entity to which to transfer the bank balance and interest by section. For more details, see Execution plan.

Group VAT

The term **Group VAT** refers to the operation of transferring the intercompany VAT balance entered in the subsidiary entity to the parent entity (holding or sub-holding entity) which will book a variation of the amount payable to/receivable from the tax authority and, simultaneously, the creation of the intercompany amount receivable/payable for group VAT. In fact, under the Group VAT policy the holding entity acts as the "withholding agent" in relations with the subsidiary entity, which registers its own VAT receivables/payables on an intercompany account, which translates – for the parent entity when the transfer is made – into an amount receivable from/payable to the tax authority.


With regard to the transfer of the subsidiary's tax position to the parent entity, the system simply transfers the VAT billing variation account; therefore, once transferred to the holding entity, the new balance is subject to the VAT policy defined for the parent entity.

The journal entries that the system enters for the parent company, starting , for example, with an intercompany VAT position for the subsidiary entity (IC VAT payable) equal to a -10, are:

Credito IC per IVA di gruppo	**a**	**IVA c/Erario (-10)**


It should be noted that the **intercompany VAT account** (IC VAT receivable/payable) very often coincides with the Credit/Debit account for VAT precisely due to the fact that no intercompany VAT account formally exists. Typically, the VAT account only acts as such in relation to payments to the tax authorities; however, during the Group VAT phase, the VAT account entered at subsidiary entities behaves like a real VAT account, even if it only in fact represents a credit or debit position vis-à-vis the holding entity, which is the only party with relations with the tax authority and is therefore the only party to transact on the actual **VAT w./Tax authorities** account.

The following need to be defined in order to set up Group VAT:

- the accounts sensitive to Group VAT
- the VAT policies (indirect tax policies) subject to Group VAT
- the entities which fall within the scope of Group VAT

Accounts sensitive to Group VAT

As stated previously, the concept of Group VAT involves the transfer of intercompany VAT balances from one entity to another; therefore, it is necessary for at least these accounts to be "intercompany option" accounts.

The following accounts must allow intercompany transfers:

- IC VAT receivable
- IC VAT payable
- IC receivable for Group VAT
- IC payable for Group VAT

An account is defined as "intercompany option " if, in the chart of accounts list (accessible from the administrator-user's web interface by following the path: *Setup & Admin > Dimensions > Account > List*) *Navigation panel> Dimensions > Account > List*), it has the **IC Management** option active


If that option has not been enabled, the system will display a blocking error during data processing.

VAT policy subject to Group VAT

The transfer of the intercompany VAT balance to the holding entity is defined within the **VAT policy** for the subsidiary entities.

In fact, groups which manage Group VAT have two different policies:

- one to manage the holding entity
- one to manage the subsidiary entities

Only the latter can be enabled for the group indirect taxes calculation and it is therefore the only one which needs the definition of the specific accounts involved in the transfer operation.

The management of the above information can be accessed from the administrator-user's web interface, by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Indirect Tax Policy Navbar > Data Processing > Cash Flow Planning > Financial rules > Indirect Tax Policy* and selecting the **Group VAT** tab.

Every indirect tax policy sensitive to Group VAT is identified by:

- an **IC VAT debit variation** account. This is the variation account on which, during the transfer, the parent entity bills the subsidiary's intercompany VAT receivable/payable. Once the value is moved to this account, it follows the VAT rule defined for the Holding entity.
- a **Group VAT debit/credit variation** account. The variation balance sheet which, during the transfer, is defined in the Holding entity as the counterparty of the VAT Tax authorities account that was fed previously.

  That balance becomes zero when the subsidiary pays the tax to the holding entity.
- an **IC VAT collection / payment** account. This is the variation balance sheet of the settlement on which, during the transfer, the holding entity receives the tax settlement from the subsidiary entity.

The Group VAT setup logic is that of the parent entity; therefore, the accounts indicated are those which will be subject to entries deriving from the transfer of the subsidiary's VAT balance.

Entities which fall within the scope of Group VAT

Once the accounts sensitive to Group VAT have been defined as intercompany transferrable and the VAT policy has been defined as subject to Group VAT, it is necessary to indicate:

- the **pooler entity**, or the entity to which the VAT balances are transferred, typically the Holding or Sub-Holding entity
- the **subsidiary entities**, i.e. the entities that are transferring the VAT balances to the pooler entity, specifying the parent entity to which they are transferring their own VAT position

Pooler entity setup

In order for an entity to be defined as a **pooler**", it is necessary, in the area dedicated to managing the execution plan's **Indirect taxes**, to set the **Group calculation** to "Yes".

If the pooler entity is represented by a sub-holding entity it is necessary to set the "**Group calculation**" to "On other entity" and enter the **Reference Holding** field, indicating the company code of the parent entity. In fact, the sub-holding entity is the group's parent company and a subsidiary at the same time; it receives the bank balance of the subsidiaries and, in turn, transfers this to the holding entity.

Subsidiary entities setup

Subsequently, to place a **subsidiary entity** within the cash pooling scope it is necessary, in the area dedicated to managing the execution plan's **Indirect taxes**, to set:

- the **Entity Calculation** to “Yes”
- the **Group calculation** to “On other entity”, specifying the parent entity to which to transfer the bank balance and interest in the **Reference Holding** field

 Tagetik allows the user to customise the parent entity to which to transfer the VAT balance by section

Financial Planning Rules

In Tagetik, Financial Planning involves associating P&L and initial balance sheet entries, as well as forecast accounting entries with financial rules which allow double entries to be generated so as to determine the impact of the P&L forecast, on individual cash flows, on the net financial position or on working capital.

The Financial Planning rules can be grouped as follows:

- Credit terms rules, accounting rules, definition of asset classes and VAT (indirect taxes) policies which allow cash flows and balance sheet amounts to be defined in accordance with the billing rules, the DSO/DPO, and VAT due dates.
- Cash management rules which allow for the calculation of short-term interest resulting from the financial policy undertaken (lines of credit, discounts on invoices) at both the company level and the group level (cash pooling)
- Tax rules which allow direct taxes to be calculated

These rules can be defined by the administrator at both the group level and at the individual entity level, depending on local needs. The financial manager of the individual entity can in turn customise the credit terms rules and asset classes. For example, it is possible to define collection and payment rules for the group, which will be available to all entities, but also specific rules for individual entities, which in turn can also add their own rules (for example, at the group level, credit terms of “collection at 60 days” could be specified for a certain account while, for most accounts, an individual entity needs a more detailed rule with different % distribution on different days: 80% at 90 days, 10 at 100 days, 10% at 120 days).

The set-up for group financial planning rule can be summarised in the following flowchart:

- define the **general rules**;
- set the **Indirect taxes policy**;
- set the **Create Calculated events rules** (typically the Billing rules);
- set the **credit terms rules**;
- set the **Accounting rules** associating the corresponding **accounting model**, credit terms, indirect taxes policy and the corresponding rate, and, if the model allows, the event creation rule, with each standard P&L and balance sheet account;
- set the **Cash management policy** (Cash management rules): first define the lines with their main accounts (if the asset bank account and liability bank account have not been provided, it is necessary to create them), associate the liquidity accounts and rates with the lines, define the line sorting rules and lastly associate the rules defined with the group entities participating in the cash management policy;
- define the **execution plan**, i.e. define, for each entity, the type of data processing to be performed (notional, entity and group calculations), for the processing of cash management policy, indirect tax and direct taxes.

Generic rules

In Tagetik, it is possible to define across-the-board (“general”) rules for the entire financial planning module. The management of the general rules can be accessed from the administrator-user’s web interface, by following the path *Setup & Admin > Data Processing tile > Cash Flow Planning > General financial rules*.

Navbar > Data Processing > Cash Flow Planning > General financial rules.

The general rule is made up of a series of information. In particular, it is necessary to tell the system:

- the **data source / target category**. That is the category:
  - from which the system reads the data of the initial actual BS and projected P&L account;
  - on which it writes the Forecast BS and the additions to the P&L account (automatic calculation of depreciation, medium-/long-term financial expenses and income and with the management of taxation);
- the **alternative data generation category** if sub-entities are involved in the financial planning process, indicate the category in such a way that keeps the data generated on the sub-entities separate from the data generated on the entities;
- the **target category for direct cash flow**. That is the category on which the system writes the account “responsible” for all financial entries (this account can be a projected P&L account or initial balance sheet account, an asset account, a salary account, etc.).
- the **alternative target category for direct cash flow**
- **Asset depreciation calculation on actual data**. In general, the budget data processing calculates depreciation considering only the purchase events contained in the simulation range. By activating this option, the depreciation data processing also processes purchase events with purchase date prior to the start of the simulation and generates depreciation for the estimate periods. This is particularly useful in cases where the user utilises the “Copy data between processes” utility, since this copy transfers the purchase event by date, and therefore after the transfer to different periods, the purchase events may fall outside the simulation interval and the system may not calculate the depreciation.
- **Calculate cash management by counterparty entity**. In general, the budget data processing calculates cash management without taking account of the individual counterparty entity balances; therefore, regardless of those values, it is transferred to the deposit line if the balance present on the main line is greater than zero, and to the credit line when it is less than said balance. In order for the calculation to take account of the balances of the counterparty entities it is necessary to activate this option when sorting from one section to another
- **Revaluation/Devaluation for FX rate difference** on which any debit/credit FX rate difference (cost/revenue) generated by the revaluation of accounts, defined with a different currency from that used for the preparation of the financial statements, is booked
- **Forecast: variation for carry forward**. If defined, then in cases of forecast process and for standard balance sheet accounts, the system carries forward the initial balance sheet value, as defined in the last actual period, to all estimate periods of the first year on the variation account that has the specified Variation & Detail type. If it is not specified, the system carries forward the value on the variation account with the higher code and not the initial amount type code.
- **Managed dimensions** in relationships with financial rules. Indicate the dimensions that the user wants to be managed in the relating of dimensions to financial rules.

Here it is possible to define the origins (of the data) to be considered as input origins for the projected variations P&L, the projected variations and the initial balance sheet (**input origin configuration**).


The general rule is defined only once; therefore, different versions of it cannot be created but it can be overridden on the process.

The system uses the general rule for processes in which the overriding of the rule is not enabled, while for others the system makes a copy of the general rule and allows it to be modified, which will obviously be valid for that process only.

Credit terms

The credit terms rules allow the system to understand how long after, and how the financial entry is to be made for a cost, a collection, an asset purchase and receivables / payables present in the initial balance sheet.

The management of the credit terms rules is accessible from the administrator-user's web interface by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Credit Terms*.

Navbar> Data Processing > Cash Flow Planning > Financial rules > Credit Terms.

Three types of credit terms are available:

- **basic**: this type of credit terms is used for any type of P&L credit terms (purchases or sales) that do not need outstanding amounts or bills of exchange to be managed for collections/payments in the initial balance sheet that does not manage outstanding amounts. It allows the user to split a collection or payment into twelve due dates and indicate any percentage of the amount that will not be paid or collected.
- **advanced with management of outstanding amounts**: this type of credit terms is used to manage P&L accounts (typically sales) which provide for the differentiation of collections between direct and bills, it being possible to manage any outstanding amounts for both methods, or for the disinvestment of all those receivables, present on the initial balance sheet, for which it is necessary to manage an outstanding percentage.
- **outstanding on Tickler**: this type of credit terms is used to manage unpaid amounts to be applied to the cash schedule defined for a certain event representing colllections/payments in the initial balance sheet.

Every credit terms rule is identified by:

- a **code**. This identifies the credit terms rule. In cases of "$" entities it must always begin with the character "$" in order to avoid overlapping with credit terms inserted by individual entities;
- a **description**;
- an **entity code**. This identifies the entity. It is possible to select either the $ value in order to specify that the rule is common to the group: it can be used by all Entities of the group or the actual Entity code in order to specify that the rule can only be used by that Entity.
- a **calculate credit terms starting from**. By enabling this option, all the entries (from P&L account, initial balance sheet and accounting entries), that are generated by running the rule, have the date corresponding to the last day of the month in which the amount to which the credit terms are associated was booked. Otherwise, the date is the one used for the entry of the aforementioned amount. For example, an amount billed on 12/02, for which a credit terms rule of 15 days "month-end" has been defined, following the running of the rule, generates an entry with billing on 31/01 (month-end) and a financial variation on 15/02 (credit terms of 15 days).

The information that the system needs to generate a correct financial variation depends on the type of credit terms.

"Basic" credit terms

This type of credit terms allows the user to split a collection or payment into twelve due dates.

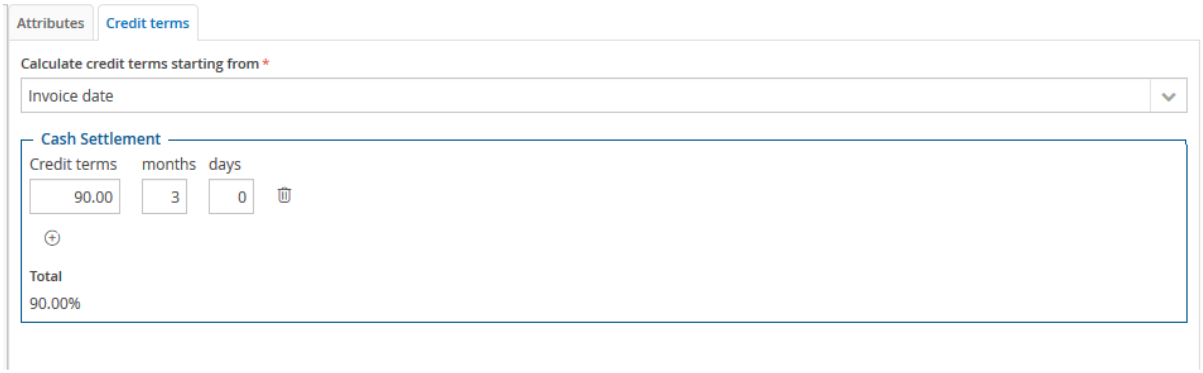
The user must specify:

- the **percentage of the amount** (in relation to the total amount) to be collected on due date n (n=1 ... 12) and the relative **due date**. The due date can be expressed in months / days deferred if, for the credit terms rule, the "calculate credit terms from" option is set to "Month end from bill", or only in days deferred.

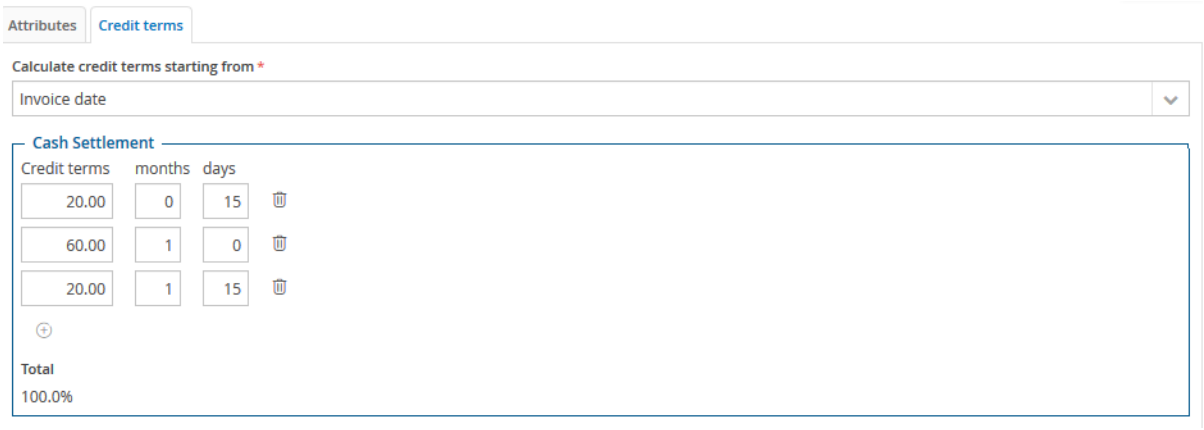

The total of the percentages must be less than or equal to 100

Examples

Example 1. 90% collection / payment at 3 months with 10% not paid



Example 2. Payment of payables at 15 / 30 / 45 days



Credit terms: "Advanced with management of outstanding amounts"

These credit terms allow the user to define two types of collection, cash settlements and bills, to be divided with percentages; for each of these, up to 12 due dates can be defined and further divided using percentages, and it is possible to apply an outstanding percentage (or percentage of payments not made), separately for cash settlements and bills; the user can also declare the delays after which outstanding payments are settled.

The user must specify:

- **the percentage of the amount to be collected via cash settlement** (% R.D.)
- the **percentage of the amount to be collected via cash settlement at due date n** (n=1 ... 12) and the relative **due date**. The due date can be expressed in months / days deferred if, for the credit terms rule, the "calculate credit terms from" option is set to "Month end from bill", or only in days deferred
- the **percentage outstanding on the cash settlement** (Outstanding %)
- the **percentage outstanding on the cash settlement to be collected at due date n** (n=1 ... 12) for the recovery of outstanding amounts and the relative **due date**. The due date can be expressed in months / days deferred if, for the credit terms rule, the "calculate credit terms from" option is set to "Month end from bill", or only in days deferred
- any **unpaid portion of the amounts outstanding on the cash settlement** (expressed in percentage terms) and the relative **due date**. The due date can be expressed in months / days deferred if, for the credit terms rule, the "calculate credit terms from" option is set to "Month end from bill", or only in days deferred. On that date, the unpaid receivable is reclassified within "disputed receivables"
- the **percentage of the amount to be collected via bills**
- the **percentage of the amount to be collected using bills at due date n** (n=1 ... 12) and the relative **due date**. The due date can be expressed in months / days deferred if, for the credit terms rule, the "calculate credit terms from" option is set to "Month end from bill", or only in days deferred
- the **percentage outstanding on the bills**
- the **percentage outstanding on the bills to be collected at due date n** (n=1 ... 12) for the recovery of outstanding amounts and the relative **due date**. The due date can be expressed in months / days

deferred if, for the credit terms rule, the “calculate credit terms from” option is set to “Month end from bill”, or only in days deferred
- any **unpaid portion of the amounts outstanding on the bills** (expressed in percentage terms) and the relative **due date**. The due date can be expressed in months / days deferred if, for the credit terms rule, the “calculate credit terms from” option is set to “Month end from bill”, or only in days deferred. On that date, the unpaid receivable is reclassified within “disputed receivables”



- The total “cash settlement percentage” and “bills percentage” must be equal to 100%
- If the “cash settlement percentage” is anything other than 0, the total of the “cash settlement percentages” must be equal to 100, otherwise they must all be zero
- If the “bills percentage” is anything other than 0, the total of the “bills percentages” must be equal to 100, otherwise they must all be zero
- If the “outstanding percentage” is anything other than 0 (whether for cash settlement or bills), the total of the “outstanding percentages” plus the portion “not paid” must be equal to 100, otherwise they must all be zero

“Outstanding on Tickler” credit terms

These credit terms allow the user to manage the outstanding amounts to be applied to the cash schedule of actual entries.

The user must specify:

- the **outstanding percentage** (Outstanding %)
- the **outstanding percentage to be collected at due date n** (n=1 ... 12) for the recovery of outstanding amounts and the relative **due date**. The due date can be expressed in months / days deferred if, for the credit terms rule, the “calculate credit terms from” option is set to “Month end from bill”, or only in days deferred
- any **unpaid portion of the amounts outstanding** (expressed in percentage terms) and the relative **due date**. The due date can be expressed in months / days deferred if, for the credit terms rule, the “calculate credit terms from” option is set to “Month end from bill”, or only in days deferred. On that date, the unpaid receivable is reclassified within “disputed receivables”

 The total of the percentages (percentage 1 + ... + percentage 12 + percentage not paid) must be equal to 100

 Generally, the most frequently used type of credit terms are generic credit terms, for both purchases and sales, where the user does not want to manage any particular kind of outstanding amounts, and also for collections/payments of actual balance sheet items via credit terms.

 When saving, the system translates the information entered into a list of events and indicates, for each of them, the delay in days and months to be applied to the date on which the event to which the credit terms are associated occurred and a percentage (of the total amount) representing the percentage of the amount attributable to the event. This list can accessed directly from the administrator-user’s web interface, following the path *Setup & Admin > Data processing tile > Cash Flow Planning >Financial rules > Credit terms > Actions (*  *) > Detail.*

Navbar > Data processing > Cash Flow Planning >Financial rules > Credit terms > Actions ( *) > Detail.*

Assets classes: Accounting and Depreciation rules

Asset classes represent the categories of assets intended to be managed at the forecast level. In particular, these classes are used in the event that, during the simulation year, there are purchases or sales of assets. A series of details is defined for each class, as necessary in order to manage on a forecast basis the assets they represent, such as:

- the depreciation type to be applied, with the respective rates
- all of the accounts involved in the management in any way

Management of these models can be accessed from the administrator-user's web interface, following the path *Setup & Admin > Data processing tile > Cash Flow Planning > Assets classes: accounting and depreciation rules*

Navbar > Data processing > Cash Flow Planning > Assets classes: accounting and depreciation rules

Every asset class is identified by:

- a **code**. This identifies the asset class. In cases of $ entities it must always begin with the character $ in order to avoid overlapping with classes inserted by individual entities;
- a **description**
- an **entity code**. This identifies the entity. It is possible to select either the $ value in order to specify that the class is common to the group: it can be used by all Entities of the group or the actual Entity code in order to specify that the class can only be used by that entity;
- **Accounting model generated**. NOT EDITABLE represents the code of the accounting model linked to the asset class. This model is generated automatically by the system when the asset class is saved and has a code made up of a "$IMM" prefix plus the asset class code.
- a series of information necessary for calculating depreciation, such as
  - **fiscal rate**. Fiscal rate to be applied for the calculation of the depreciation of the asset related to the asset class
  - **statutory rate** to be defined if the user wants to manage a depreciation according to the statutory method
  - **purchase year**. Depreciation type applied in the asset purchase year. The possible choices are "Pro quote standard rate" and "Reduced rate". In the former case, depreciation is calculated using the standard rate on a pro quote basis (relative to the year-start period / purchase date) based on the weight or in twelfths, while in the latter case it is calculated using the reduced rate
  - **sale year**. Depreciation type applied in the asset sale year. It is possible to apply the "standard" rate or to apply no rate; in the latter case the system will not calculate the depreciation for the year in which the sale of the asset is recorded. By applying a standard rate the system calculates the depreciation with the standard rate on a pro quote basis (relative to the year-start period / sale date) based on the weight or in twelfths
  - **reduced rate**. Rate utilised to calculate the depreciation in the first year of the asset's useful life in cases of "Standard" depreciation if the "Reduced Rate" option is enabled in the "Purchase year depreciation type" field
  - **reduced statutory rate** to be entered if the user wants to manage depreciation according to the statutory method in the first year of the asset's life cycle if the "Reduced Rate" option is enabled in the "Purchase year depreciation type" field.
  - **accelerated depreciation years.** Duration of accelerated depreciation (including the purchase year), if provided for. After the indicated number of years, depreciation is calculated according to the "standard" rate
  - **accelerated rate**. Rate (generally double the tax rates) for the depreciation calculation if the user opts for "Accelerated" depreciation. The system uses this rate if the "Accelerated depreciation years" option is defined.
  - **accelerated reduced rate**. For accelerated depreciation, this is the rate utilised to calculate the depreciation in the first year of the asset's useful life if the "Reduced Rate" option is enabled in the "Purchase year depreciation type" field
  - **last year**. Depreciation type applied in the last year of the asset's "useful life". The possible choices are:
    - *Pro quote standard rate*. In this case the system applies the rates resulting from the "asset class" for all the periods until the residual amount is equal to zero; in particular, for the last period of depreciation, it inserts the residual value

Scenario	Gen	Feb	Mar	Apr	Mag	Giu	Lug	Ago	Set	Ott	Nov	Dic	Tot
2009	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	450
2010	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	450
2011	37.5	37.5	25										100

- *Residual amount spread over all periods*. In this case, in the last year of depreciation, the residual value to be depreciated is spread over all periods of the year, in equal amounts

Scenario	Gen	Feb	Mar	Apr	Mag	Giu	Lug	Ago	Set	Ott	Nov	Dic	Tot
2009	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	450
2010	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	37.5	450
2011	8.34	8.34	8.34	8.34	8.34	8.34	8.34	8.34	8.34	8.34	8.34	8.34	100

- **weight for the monthly splitting of depreciation into twelfths.** Weight to be used by the system to perform the monthly splitting of the annual amount of depreciation. If “None” is indicated, the system performs the monthly splitting into twelfths.

To manage an asset class, once the general characteristics have been defined, it is necessary to indicate all of the accounts which, for various reasons, are involved in the management of the assets that it represents. Management of such accounts is subdivided into two different tabs:

- Asset accounts. This contains the definition of the accounts necessary for managing purchase / sale transactions and generating asset depreciation. In detail, these accounts are as follows:
  - **asset**. Standard balance sheet account identifying the asset
  - **purchases billing**. This indicates whether the asset manages purchase accounting, i.e. when the date on which the asset is loaded precedes the issuing of the invoice by the supplier. Purchase accounting is managed by activating this option.
    - **accrued liability: debit**. Variation balance sheet account on which to write off the accrued expenses in cases of assets purchased on an accrual basis (at the time of liability billing)
    - **accrued liability: credit**. Variation balance sheet account on which to book the accrued expenses in cases of assets purchased on an accrual basis (before liability billing)
    - **asset: debit**. Variation balance sheet account on which to book the sales of assets (or the transition from asset in progress to asset)
    - **account payable: credit**. Variation balance sheet account on which to book the recognition of the debit for the purchase of assets
    - **account payable: debit.** Variation balance sheet account on which to book the write off of the debit for the purchase of assets against a payment
    - **bank: credit**. Variation balance sheet liquidity account on which to book the payments for the purchase of assets
    - **down payment: debit**. Variation balance sheet account on which to book the down payments on the purchase of assets
    - **down payment: credit**. Variation balance sheet account on which to book the write off of the down payments on the purchase of assets (at the time of liability billing)
    - **asset in progress: debit**. Variation balance sheet account on which to book the purchases of assets in progress
    - **asset in progress: credit**. Variation balance sheet account on which to book the sales of assets in progress (or the transition from asset in progress to asset)
    - **depreciation**. Normal P&L account on which to book the depreciation of assets
    - **depreciation fund: credit**. Variation balance sheet account on which to book the depreciation of assets
  - **sale billing**. This indicates whether the asset manages sales accounting, i.e. when the date on which the asset is downloaded precedes the issuing of the invoice to the client. Sales accounting is managed by activating this option.
    - **accrued income: debit**. Variation balance sheet account on which to book accrued income in cases of asset sales on an accrual basis (before asset billing)
    - **accrued income: credit**. Variation balance sheet account on which to write off accrued income in cases of asset sales on an accrual basis (at the time of asset billing)
    - **account receivable: debit**. Variation balance sheet account on which to book the recognition of the credit for the sale of assets

- **asset: credit**. Variation balance sheet account on which to book the sales of assets
- **bank: debit**. Variation balance sheet liquidity account on which to book collections for the sale of assets
- **account receivable: credit:**. Variation balance sheet account on which to book the write off of the credit for the sale of assets against a collection
- **depreciation fund: debit**. Variation balance sheet account on which to book the write off of the depreciation fund in cases of an asset sale
- **down payment: debit**. Variation balance sheet account on which to book the write off of the down payments on the sale of assets (at the time of asset billing)
- **down payment: credit**. Variation balance sheet account on which to book the down payments on the sale of assets
- **capital loss**. Normal P&L account on which to book the capital loss resulting from a sale of assets
- **capital gain**. Normal P&L account on which to book the capital gain resulting from a sale of assets

- **Leasing accounts**. This contains the definition of the necessary account if the assets are purchased through leasing. In detail, these accounts are as follows:
  - **Lease fee**. P&L account that identifies the leasing fee
  - **Interest expenses**. P&L account used to book interest related to leasing.
  - **Account payable v/lease company: credit/debit**. Variation balance sheet account on which to book, in the former case, the recognition of the debit incurred by the purchase of assets by leasing or, in the latter case, the write off of the debt against payment of the fee
  - **Leasing deferred account: debit/credit**. This is the variation balance sheet account on which the following are booked:
    - in the former case, the ACCELERATED periodic leasing fee and the calculation of the related interest (accelerated leasing interest) where the financial event occurred in the current period, but must be attributed to a subsequent period on an accrual basis
    - in the latter case, upon the booking of the leasing fee which, on an accrual basis, should be attributed to the current month, the write off of the previously booked prepaid expenses quota is registered
  - **Leasing accrual account: debit/credit**. This is the variation balance sheet account on which the following are booked:
    - in the former case, the DEFERRED periodic leasing fee and the calculation of related interest (deferred leasing interest) that must be attributed to the current period on an accrual basis, even if the financial event occurs in the following months
    - in the latter case, when the payment of the monthly fee and relative interest is paid, the write off of the relative portion of the leasing fee previously attributed on an accrual basis to a previous period is registered

 Based on what is defined for the asset class, the system automatically creates the relative accounting model on saving. The model created cannot be modified by the user and is specific to the asset class defined.

Accounting rules

One of the fundamental concepts of Financial Planning in Tagetik is the **Event**, understood to be any accounting event from which a value is generated. The following are examples of events: accrual basis, accounting, raising mortgage, collection, payment etc.; essentially all those accounting operations that have a P&L, BS or financial impact. When generating forecast double entries, Tagetik always keeps track of the event that generated them. The collection of events, the combination and sequence of which generated certain double-entry records and therefore precise accrual/accounting/collection or payment curves, constitutes the **accounting model.**

Every account must be associated:

- with a specific accounting model (including the proposed built-in models) which indicates the operations that will be performed on that account and on its contra-entries;
- with certain credit terms for collection and payment;
- with a related VAT policy and rate.

The management of accounting rules can be accessed from the administrator-user's web interface, by following the path *Setup & Admin > Data Processing tile > Cash Flow Planning > Accounting rules* .

Navbar > Data processing > Cash Flow Planning > Accounting rules

Within these, Tagetik has already defined a series of **events** that cover the vast majority of the entries necessary to manage financial planning and the accounting models that combine one or more events together. For example, the following models are provided for sales:

- **Sales: accrual with direct payment without VAT** This model involves the creation of a single accounting curve resulting from the accrual event ($GPL). The following double-entries are generated:
  - event $GPL: *liquidity variation account: debit* (configured in the chart of accounts, Financial Planning tab, where the bank variation account associated with the sales account is defined) **to** *sales account*
- **Sales: accrual with credit terms and VAT**. This model involves the generation of two accounting curves resulting from the accrual event ($GPL) and the collection with credit terms event ($DCP). The following double-entries are generated:
  - Accrual event ($GPL): *credit/debit variation account: debit* (configured in the chart of accounts, Financial Planning tab, where the variation account for the contra-entry of the receivable associated with the sales account is defined) **to** *sales account*
  - Collection with credit terms event ($DCP): *liquidity variation account: debit* (configured in the chart of accounts, Financial Planning tab, where the bank cash flow account associated with the sales account is defined) **to** *receivables variation account*
- **Sales: accrual/accounting.with credit termsand VAT**. This model involves the generation of three accounting curves resulting from the accrual event ($GPL) and the billing event ($GBL) which may be different from accrual and collection with credit terms ($DCP). The following double-entries are generated:
  - Accrual event ($GPL): *accrual variation account: debit* (configured in the chart of accounts, Rules tab, where the variation account for the debit accrual associated with the sales account is defined) **to** *sales account*
  - Billing event ($GBL): *credit/debit variation account: debit* (configured in the chart of accounts, Financial Planning tab, where the variation account for the contra-entry of the receivable associated with the sales account is defined) **to** *accrual variation account: debit*
  - Collection with credit terms event ($DCP): *liquidity variation account: debit* (configured in the chart of accounts, Financial Planning tab, where the bank cash flow account associated with the sales account is defined) **to** *receivables variation account: credit*

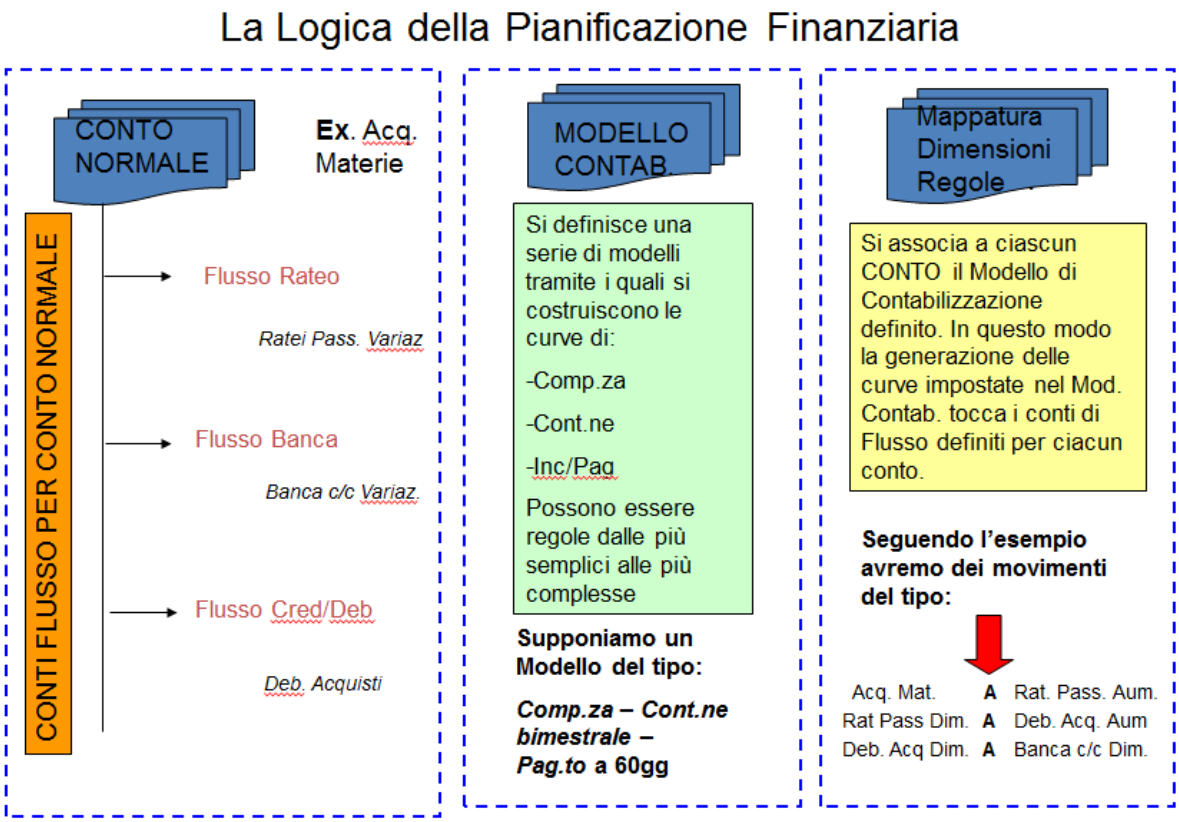
  As can be seen, in this latter case the system generates three curves: accrual, billing and collection. The balance sheet impact deriving from the accrual curve is generated in conjunction with the values entered in the P&L. However, where the billing curve is different from the accrual curve, it can be generated automatically thanks to the "create calculated events" rule, where the creation criteria are defined. The following methods are possible:

  - Through bundling (advanced or deferred quarterly billing)
  - Through the use of weights (e.g. management of the 'thirteenth month' or 'fourteenth month' bonuses, for which a bill for double the amounts of the other months must be generated)
  - Generic shift by "n" months (the amount for each month is billed "n" months before or after) or specific shift (each month has its own billing/shift curve)

The relative collection or payment curve will be generated following the credit terms (DSO or DPO) associated with the account's billing curve.

Now let us look at a practical example to understand the steps to be defined and the entries that Cash Flow Planning generates at a certain date.

Let us suppose that we have an insurance account to which we want to apply the "Purchases: accrual/accounting with credit terms and VAT" accounting model.



The first step is to set up, in the chart of accounts, the variation accounts of the insurance account, or the accrual/deferral variation accounts, the payable variation accounts to suppliers and the liquidity variation accounts.

The second step requires the creation of a credit terms rule, at the group level, of payment at 60 days.

The third step requires the creation of an events generation rule where the bundling type must be set to six-monthly and the bundling start period must be set to the first of January, so that the insurance is billed in two tranches in January and July.

Subsequently, from the *Setup & Admin > Data Processing > Cash Flow Planning > Accounting rules Navbar > Data processing > Cash Flow Planning > Accounting rules*menu (accessible from the administrator-user's web interface), it is necessary to associate the accounting model and the 60 day credit terms to the insurance account.

Moreover, since the insurance account requires the application of VAT, it is necessary, again from the *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Indirect taxes policies*, *Navbar > Data Processing > Cash Flow Planning > Financial rules > Indirect taxes policies*,to define the necessary VAT rules and the relative accounts involved.

Now let us look at the double entries that are created in the first three forecast months considering an annual total insurance equal to 1200 and a monthly amount, from the P&L budget, of 100.

01/01/2019	SUNDRY EXPENSES	to	ACCOUNTS PAYABLE	600
	Prepaid Expenses			474
	Treasury/ VAT account			126
31/10/2109	Insurance		Prepaid Expenses	100
28/02/2019	Insurance		Prepaid Expenses	100
01/03/2109	Accounts payable		Bank cash flow	600
31/03/2019	Insurance		Prepaid Expenses	100

Create Calculated events

The manageable events can be classified into two groups:

- those which, for the “Accrual” event, they simply have to register a precise value per account and do not need a rule to tell the system how they must be created. Within these, Tagetik has already defined a series of events that cover the vast majority of the entries necessary to manage financial planning. The management of the various **event types** can be accessed from the administrator-user’s web interface, by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Advanced Financial Rules > Event types*; *Navbar > Data Processing > Cash Flow Planning > Advanced Financial Rules > Event types*;
- those which are inferred from other events and therefore need a rule in order to be created. For example, consider the advanced quarterly billing for rents entered in the accounts at the start of every quarter. In this case the entry in the accounts does not match the accrual and it is therefore necessary to tell the system that the “accounting” event must be calculated on the basis of the accrual event. In this way, entry in the accounts is subordinate to the rule defined and the system will create the event as if it had been set within that rule, instead of setting a manual entry to be made subsequently from the Projected P&L management window

The management of those rules is accessible from the administrator-user’s web interface by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Event rule*.

Navbar > Data Processing > Cash Flow Planning > Financial rules > Event rule;

Every rule is identified:

- by a **code**
- by a **description**
- by the grouping method with which the event with respect to the source event must be generated. This grouping can be defined by means of a bundling type, as is the case for advanced bimonthly billing, i.e. by means of a weight, as is the case for taxes accrued where the amount booked at the year-end can be unpacked into twelfths leading to a flat amount of taxes being entered on the P&L every month.
  - BUNDLING. The user must indicate:
    - a **frequency** which specifies the frequency with which the event must be created in relation to the source event. The classic case is wanting to shift from accrual to bimonthly billing, and in this case we will set the bundling type to bimonthly. It is possible to use monthly (this makes sense if the source event has daily or weekly granularity), annual, bimonthly, quarterly, four-monthly or six-monthly frequencies
    - a **type** indicating whether the bundling takes place in advance or deferred. If the user selects the **Advanced** option, the system creates the event on the first day of the bundled period (this is the case for advanced bimonthly billing), but if the user selects **In arrears** the system creates the event on the last day of the bundled period (this is the case for deferred bimonthly billing)
    - the **start month** which is the period from which the source event (generally accrual) must start to be bundled; this period is generally the first planning month but in specific cases it may be different
  - WEIGHT. The user must indicate:
    - a **type** to be used to weight the amount relative to the event
    - the data processing method associated with the weight (**Method**). If the user selects the **Keep annual values** option, the system keeps the annual total unchanged (this is typically used to change the monthly splitting), while if the user selects **Keep monthly values**, the system keeps the period total unchanged (this is typically used to split down into days)
- by a potential **shift** in time which indicates the amount of time by which the calculated event must be shifted in relation to the original event. The shift can be:
  - “general”, with the same shift being applied to all periods. In this case it is necessary to indicate the **percentage**, the **months** and/or the **days**
  - “by period”, where the shift is performed on individual months and differently for each month. In this case the number of days by which the event must be shifted over time must be specified for every period


In caso di accorpamento, le date in cui il sistema accorpa devono appartenere ad uno scenario periodo del processo.

The user can therefore define a rule which provides for:

- bundling or the use of a weight;
- a shift only;
- bundling or the use of a weight plus a shift.

Example. Let us suppose we need to define an Event Creation Rule with advanced bimonthly billing and a shift of 29 days

Once the code and description of the rule have been indicated, it is necessary to specify:

- the **frequency**. Because the rule to be set up must have a bimonthly entry, the user must indicate "Bimonthly";
- the **type**. Because the rule to be set up must have advanced bimonthly entry, the user must indicate "Advanced"; this makes the system "group" the monthly amounts on a bimonthly basis and book the bundled entry on the first day of the bundled month;
- the **start month**. This indicates the month from which the bundling must take place; the start date is typically always January, then, depending on the type of process that we are carrying out (Budget, 1st Forecast, 2nd Forecast), the system will subordinate that start date to the simulation start period;
- **shift days** equal to 29. The bundled amount, which without this indicated would be registered on the first day of the bundling month, is shifted by 29 days.

Therefore, given an accrual basis split monthly over 12 months, this rule generates the following accounting event:

Accounting

Jan	Feb	Mar	Apr	Maj	June	Jul	Aug	Sept	Oct	Nov	Dec
100	20	40	55	70	80	76	100	23	98	12	98

Billing

30-jan	feb	30-mar	apr	30-maj	june	30-jul	aug	30-sept	oct	30-nov	dec
120	-	95	-	150	-	176	-	121	-	110	-

Accounting models

An accounting model represents a collection of events the combination and sequence of which generate precise accrual / accounting / collection or payment curves.

Tagetik has already defined a number of pre-set and system-generated accounting models internally; however, when particular needs arise, there is nothing stopping the user from creating new models, provided he or she pays significant attention during the set up of the accounts subject to accounting records.

The accounting model is therefore based on a series of events and all of the accounts that the model handles.

The management of accounting models can be accessed from the administrator-user's web interface, by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Accounting models*.

Navbar > Data Processing > Cash Flow Planning > Financial rules > Accounting models.

An accounting model is identified by:

- a model **type**. The following types are available:
  - *Sales*
  - *Purchases*
  - *Credits*
  - *Debits*
  - *Asset*. The user can NOT insert a model of this type manually; these models are created automatically by the system while saving a new assets class
  - *FX hedging*
  - *Stock*
  - *Work order*
  - *Financial assets*
  - *Financial liabilities*

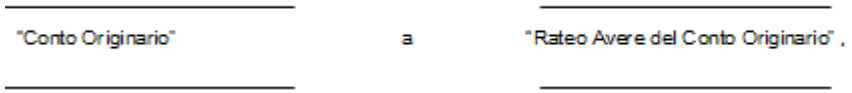
  The model type ensures that the system behaves differently according to whether the model has been associated with a cost rather than revenue, a payable rather than a receivable, and so on. The same model of accrual, accounting with credit terms and VAT subordinate once to the "Purchases" type and once to the "Sale" type, creates the same curves but reversed in sign precisely because they have been defined as different types.
- a **code**. This identifies the accounting model. In cases of $ entities this must always begin with the character "$" in order to avoid overlapping with models inserted by individual entities;
- a **description**
- an **entity code**. This identifies the entity. It is possible to select either the value $ in order to specify that the accounting model is common to the group: it can be used by all Entities of the group or the actual Entity code in order to specify that the rule can only be used by that Entity.

Once the accounting model header and type have been defined, it is necessary to define the events, namely the accounting events that are of interest to the model that we are creating. For example, supposing the user wants to define a model of Accrual, Accounting with Credit terms and VAT, there will be three events to be managed: accrual, accounting and collection / payment (my means of credit terms or manually).

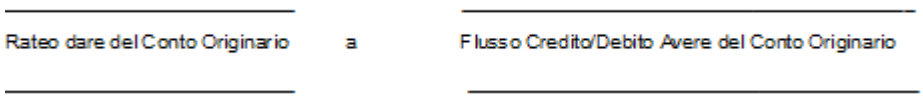
The definition of the events that make up an accounting model can be accessed from an accounting model's actions / detail menu.

Once the **events** and the order in which the events are linked together have been defined, it is necessary to define, for each of them, the generic **default accounts**, which essentially specify the double entry that every event should create. The accounting models make use of default accounts (identified by the prefix $) since the same model could be valid for several accounts and therefore if we were to specify the actual accounts to be affected in the model immediately, then that model will no longer be valid for other accounts.

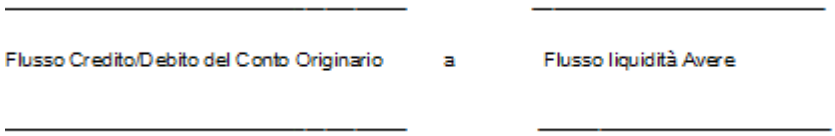
For example, if we want to create the "Accrual" entry for a "Packaging Purchase", the general record that we must create is:



the record for the “Accounting” event is:



and the record for the financial event is:



Thus, only when the accounting model is associated with the actual account does the system replace the Original Account with the account in question and all the entries that we specified earlier per event are computed on the Credit accrual variation, Debit variation, and Liquidity variation accounts that we have associated with the effective account on the list. For example, given the Packaging Purchase Account, if it is decided in the chart of accounts that the “Debt variation Account: Debit” is “Various Payables-Dim” and the “Debt variation Account: credit” is “Various Payables-Incr.”, then the system associates the aforementioned model with the Standard “Packaging Purchase” account that the variation accounts already contain and generates the accounting record on the “Various Payables-Incr.” account.

The aforementioned default accounts are defined by defining entering values for the following fields:

- **debit account**. This is the account used by the system to generate the accounting entry based on the event in the debit section. It can be:
  - a balance sheet account of the variation type present in the chart of accounts
  - a P&L account of standard type present in the chart of accounts
  - a generic default account (with code starting with the character $) chosen from:
    - *$NULL* which means “Do not make the entry"
    - *$ACCOUNT* which represents the event account
    - *$ACCRUAL_DR* or *$ACCRUAL_CR* which represent the accrual accounts (debit or credit) included in the accounts list for the event account
    - *$VARIATION_DR* or *$VARIATION_CR* which represent the variation accounts (debit or credit) included in the accounts list for the event account
    - *$ARAPVARIATION_DR* or *$ARAPVARIATION_CR* which represent the credit/debit variation accounts (debit or credit) included in the accounts list for the event account
    - *$CASH_DR* or *$CASH_CR* which represent the liquidity variation accounts (debit or credit) included in the accounts list for the event account
    - *$ADDL_DR* or *$ADDL_CR* which represent the “other accounts” (debit or credit) defined in the accounts list for the event account
    - *$ACCRUAL2_DR* or *$ACCRUAL2_CR* which represent the other accrual accounts (debit or credit) included in the accounts list for the event account
    - *$SETUP* which indicates that it is possible to directly enter an account code included in the list
- **credit account**. This is the account used by the system to generate the accounting entry based on the event in the credit section.
- **reference account for cash flows**. The account with which the system generates cash flows. It only needs to be defined on records related to liquidity entries. It can be:
  - a balance sheet account of the variation type present in the chart of accounts
  - a P&L account of standard type present in the chart of accounts
  - a generic default account (with code starting with the character $) chosen from:

- *$NULL* which means “Not involved in the cash flows calculation”
- *$ACCOUNT* which represents the entry account (used for the P&L and for balance sheet variation accounts into which data is input directly)
- *$ACCRUAL_DR* or *$ACCRUAL_CR* which represents the accrual accounts (debit or credit) included in the accounts list for the event account (generally not used)
- *$VARIATION_DR* or *$VARIATION_CR* which represent the variation accounts (debit or credit) included in the accounts list for the event account (generally not used for the initial balance sheet disinvestment)
- *$ARAPVARIATION_DR* or *$ARAPVARIATION_CR* which represent the variations of the credit / debit account linked to the entry account (generally not used)
- *$ADDL_DR* or *$ADDL_CR* which represent the “other accounts” (debit or credit) included in the accounts list for the event account (generally used in L/T financing- and stocks-type objects)
- *$ACCRUAL2_DR* or *$ACCRUAL2_CR* which represent the other accrual accounts (debit or credit) included in the accounts list for the event account (generally not used)
- *$SETUP* which indicates that it is possible to directly enter an account code included in the list

For every event indicated within the model it is also possible to specify:

- whether the event in question allows:
  - **credit terms**. It should be noted that the credit terms rule is not specified in this phase, but only that the model in question allows credit terms for the selected event
  - **indirect tax**
  - the **second indirect tax** (can be used for excise, withholding taxes)

For collection and payment events, it is also possible to specify:

- whether the amount of the event entries must not be changed as a result of the indirect tax deriving from previous events (**Manual Collection/payment including VAT** option active). This option is useful for entering payment events already inclusive of indirect tax
- whether the amount of the entries needs to be generated in the entity currency (**Collection/Payment in Entity currency** option active)

In cases of an Accrual, Accounting with Credit terms and VAT model, the user has decided that it is the accounting event that permits credit terms and VAT because those two events typically arise from the accounting event. However, nothing would stop the user from creating ad hoc models where, for example, the intention is not to transit from the accounting event but to make a payment / collection directly based on accrual. In the latter case, our model would have had an “Accrual” event which allows credit terms.

 It is possible to change the description of generic accounts (those starting with a $) by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Advanced financial rules > Financial planning accounts*.

Navbar > Data Processing > Cash Flow Planning > Advanced financial rules > Financial planning accounts.

Utilities

Clone accounting model

An accounting model can be defined manually or using the clone utility. This utility can be accessed from the administrator-user’s web interface, by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Accounting models > Actions > Clone accounting model.*

Navbar > Data Processing > Cash Flow Planning > Financial rules > Accounting models > Actions > Clone accounting model..

The user must indicate:

- the **code**, which for entity codes must always start with the character $
- the **description**
- the **entity code**

Once this section is complete, if the user clicks on the **OK** button the system creates the new accounting model by copying it from the one selected in the models list.

Dimensions/financial rules relationships

Once the accounting models have been defined, it is necessary to associate them to each account, or specify how the curves defined in the accounting model must be generated for each account.

This association is done by means of **relating the dimensions to financial rules**. In particular, the accounting model contains the definition of the curves provided for by that model and the default accounts which generate certain entries.When relating dimensions to financial rules, the accounting model is associated with each account in the chart of accounts, specifying any accounting/financial rule that the user wants to generate and indicating any indirect tax policy. It is therefore during this step that the system replaces the default accounts defined in the accounting model with the effective accounts associated with the account being set up.

The management of the relationships between dimensions and financial rules can be accessed from the administrator-user's web interface, by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Dimensions mapping - financial rules*.

Navigation panel> Data Processing > Cash Flow Planning > Dimensions mapping - financial rules.

This association can be defined for all of the managed dimensions, in addition to by account. It can be defined:

- by individual entity - entity hierarchy nodes;
- by individual account - account hierarchy nodes;
- by individual custom dimension 1 - custom dimension 1 nodes;
- by individual custom dimension 2 - custom dimension 2 nodes;
- by individual custom dimension 3 - custom dimension 3 nodes;
- by individual custom dimension 4 - custom dimension 4 nodes;
- by individual custom dimension 5 - custom dimension 5 nodes;
- by individual CTP entity - CTP entity hierarchy nodes;
- by individual CTP custom dimension 2 - CTP custom dimension 2 nodes;
- by individual currency;

The following attributes should be managed:

- **Accounting model**. This is how the system is told which curves must be generated for the account in question. Accounting models of a purchases and sales type can be related to P&L and variation accounts, and accounting models of credit and debit type can be mapped to balance sheet accounts

  
  All Planning accounts must have an associated accounting model; therefore, all those actual balance sheet accounts on which no entries are typically made (e.g. the share capital which, except in cases of capitalisation, remains stable for the entire simulation period) must also have an associated accounting model where it is recorded that that account's event is the "Initial Balance Sheet" type event ($GIB). The same actual account on which collections/payments are made by means of the cash schedule will be subject to another accounting model where the "Initial Balance Sheet" type event is registered first and the "cash schedule" event ($GSCP) is registered next. The account / accounting model association, and therefore the event, is very useful in the data analysis phase because it identifies which P&L event generated that specific value (for example, if an amount of -100 is associated with a description of the "cash schedule" event, one can easily infer the origin of that value).

- **Event rule**. The rule to tell the system how the events included in the accounting model associated with the account must be created. The rule can only be indicated if the accounting mode allows two manual events. If the accounting model allows more than two manual events then the phrase "Multiple values" appears in this field.
- **credit terms** rule to be associated with the account
- **Indirect tax policy** to be associated with the account
- **Indirect tax rate**. Percentage to be applied to the amount for the tax calculation
- **Other indirect tax policy**. Any other indirect tax policy in addition to VAT
- **Other indirect tax rate**. Any other tax rate in addition to VAT.
- **Payment calendar**. If credit terms have been specified, this allows the user to subject the payment / collection of the account in question to certain dates, following a specific calendar

- **Weight**. If credit terms have been specified, the account in question can be subjected to a specific weight on which basis to perform certain calculations
- **Non-deductible percentage**. If the indirect tax is subject to a certain degree of non-deductibility, it is necessary to set the respective non-deductible percentage

To complete the definition of the relationships between dimensions and financial rules it is necessary, for every variation type P&L account or balance sheet account, to tell the system how the events included in the accounting model associated with the account must be created. In the event that the accounting model provides for two manual events, the definition can be accessed directly from the relationships window, changing the "Event rule" field; if there are more than two manual events, this definition can be accessed from the *Define events rule* link.

The accrual event is always manual because it is the users themselves who perform the manual data entry of accrual basis items. The accounting event can be created by means of a rule, and specifically the event creation rule, which indicates how that event must be created. For example, we could have a rule of the billing type = accrual + 15 days shift".

The system automatically opens the event, of a "P&L / variation" type, linked to the selected account's accounting model. The user must specify:

- a **reference event**. This tells the system the event on which basis the same event is created (if for example an "accounting" event is being defined, then the reference event is the "accrual" event)
- the **event creation rule** that the system must utilise to create the event itself on the basis of from the reference event.

EXAMPLE 1

Let's look at an example of how, based on the accounting rule defined, the system creates entries related to the "Purchases" account.

Let us suppose that the accounting model associated with the "Purchases" account (identified in the example by code "50110") allows the management of accrual, accounting, credit terms and manual payment / collection events, and that the credit terms are 30 / 45 days.

By analysing the details of the accounting model associated with the account in question it is possible to identify, for each managed event, the asset-related and financial entries that the account creates.

(1) Accrual Event

*"original account" ($ACCOUNT) **A** "Original account credit accrual" ($ACCRUAL_CR)*

where:

- $ACCOUNT represents the "Purchases" account
- $ACCRUAL_CR represents the account which, in the Accounts elements table (*Setup & Setup & Admin > Data Model > Dimensions > Account > Elements* > **Rules** tab) (*Navigation panel> Data Model > Dimensions > Account > Elements* > **Rules** tab) has been indicated as "Accrual Account: credit"

Let's suppose that the "accrual account: credit" associated with the "Purchases" account is the "Other assets / liabilities - Variations" account, we will have the following wording

*Purchases **A** Other Assets/Liabilities-Variations*

(2) Accounting event

*"original account credit accrual" ($ACCRUAL_DR) **A** "original credit/debt variation account: credit" ($ARAPVARIATION_CR)*

where:

- $ACCRUAL_DR represents the account which, in the Accounts elements table (*Setup & Setup & Admin > Data Model > Dimensions > Account > Elements* > **Rules** tab) (*Navbar > Data Model > Dimensions > Account > Elements* > **Rules** tab) has been indicated as "Accrual Account: debit"
- $ARAPVARIATION_CR represents the account which, in the Accounts elements table (*Setup & Setup & Admin > Data Model > Dimensions > Account > Elements* > **Financial Planning** tab) (*Navbar > Data Model > Dimensions > Account > Elements* > **Financial Planning** tab) has been indicated as "Credit / Debit variation Account: credit"

Supposing that the “accrual account: debit” associated with the “Purchases” account is the “Other assets / liabilities - Variations” account and that the credit/debit variation account: credit is “Trade payables - Variations”, we will have the following wording

Other assets / liabilities - ***A*** *Trade payables - Variations*

Let us also suppose that the accounting model allows VAT to be managed for this event. In this case, when entered in the accounts, the VAT entry for the purchase is also created

VAT receivable ***A*** *Trade payables - Variations*

This entry:

- writes off the Accrued Liability account adjusted in the accrual event
- records the VAT generated by the purchase
- adjusts the debit account indicated as the balance sheet contra-entry during the account setup

(3) Generic credit terms

“original account credit/debit variation” ($ARAPVARIATION_DR) ***A*** *“liquidity variation: credit”* ($CASH_CR)

where:

- $ARAPVARIATION_DR represents the account which, in the Accounts elements table (*Setup & Setup & Admin > Data Model > Dimensions > Account > Elements >* **Financial Planning** tab) *(Navigation panel> Data Model > Dimensions > Account > Elements >* **Financial Planning** *tab)*)has been indicated as “Credit/Debit Variation Account: debit”
- $CASH_CR represents the account which, in the Accounts elements table (*Setup & Setup & Admin > Data Model > Dimensions > Account > Elements >* **Financial Planning** tab) Navigation panel>*Data Model > Dimensions > Account > Elements >* **Financial Planning** tab has been indicated as “Liquidity Variation Account: credit”

In cases of manual payment, the date to which to attribute the event must be indicated in the projected P&L while, for automatic payments, the event will follow the credit terms rule indicated in the account’s accounting model; in both cases, the following double-entry record is generated:

Trade payables-Variations ***A*** *Bank c/a Main - Variations*

This record highlights a liability financial entry against the closing of the debt resulting from the accounting event

EXAMPLE 2

Now let us suppose that, for the “Purchases” account, credit terms of 60 days are applied to the “Antivirus” product (A01), in contrast to those indicated above. To obtain this outcome, or to manage the exception, it is necessary to enter a row **following** the previous row in the accounting rule definition, indicating both the “Antivirus” product and the credit terms of 60 days.

Indirect taxes policies

Indirect taxes policies define, for both the group and the holding entity, the method and timeline with which the system must generated VAT and any other indirect taxes, as well as the accounts necessary for the system to calculate and manage those taxes.

The recognition and booking of indirect taxes is generated in the entity currency.

The management of those policies can be accessed from the administrator-user's web interface by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Indirect tax policy*.

Navbar > Data Processing > Cash Flow Planning > Financial rules > Indirect tax policy

Every indirect tax policy is identified by:

- the **code**
- the **description**
- the "transitory" accounts used by the system for the booking of indirect tax:
  - **Transitory**. Standard balance sheet account onto which variations for the tax entries are loaded
  - **Transitory invoice variation**. "Transitory" variation account on which the entry for the indirect tax (both debit and credit) is recognised when the invoice is booked. The double entry that the system generates on billing is the following (in the case of VAT payable)

Crediti Commerciali	a	*Diversi*
		Vendite Prodotti
		Conto Transitorio flusso fatturazione

- the accounts used by the system for booking the indirect tax at the month-end.
  - **Transitory write off for accounting**. "Transitory" variation account on which the entry for the indirect tax (both debit and credit) is recognised when a debit/credit with the tax authorities arises. This occurs at the end of the month. The double entry that the system generates upon recognition is the following

Conto Transitorio flusso rilevazione	a	*Conto erario flusso rilevazione dare*

  - **VAT** Standard balance sheet account that records the Entity's VAT debit / credit positions towards the State
  - **VAT debit/credit variation**. "VAT" variation account on which at end month the credit/debit variation with the tax authorities is recognised. The double entries generated upon recognition are the usual one described for "Transitory write off for accounting"
- the accounts used by the system for the payment / reimbursement of indirect tax.
  - **Non-deductible account** (P&L). P&L account on which the non-deductible amounts calculated by the system are entered.

Diversi	a	*Diversi*
Crediti Commerciali		*Vendite Prodotti*
Conto di Imposta Indetraibile		*Conto Transitorio: flusso fatturazione*

It is possible to opt for management involving the direct booking of non-deductible tax by attributing its value to the original cost/revenue account. To do this, when defining the execution plan on the process (see CFP Execution Plan), the **Non-deductible account** field must remain disabled. In this case, the double-entry registration is

Acquisto Merci	a	*Debiti v/fornitori*

Where the “Goods Purchase” account is increased by the corresponding amount of indirect tax.

- **Indirect tax payment** “Indirect tax” variation account on which the variation of the amount payable to the tax authorities is recognised when it is paid. It should be noted that this type of account should not be considered a bank account. The double entries generated when the payment is made are:

Conto erario flusso rilevazione dare	a	*Conto erario flusso liquidazione avere*

- **Bank - credit variation** Variation account of the “Bank c/a” account on which the entry related to the payment of the debt to the tax authorities is recognised

Conto erario flusso liquidazione dare	a	*Conto banca flusso pagamento*

- **Bank - debit variation** Variation account of the “bank c/a” account on which the entry related the collection of the amount receivable from the tax authorities is recognised
- **Ind Tax Collection** “Indirect tax account” variation account on which the variation of the amount payable to the tax authorities is recognised when it is collected.

- by **Enable VAT on retail receipts** If enabled, a shift is applied in the settlement of the VAT position provided for by the VAT policy. For example, by following the “Standard policy for VAT receipts” the system differentiates the settlement of the VAT position for one month in respect of what is provided for by the legislation; if the payment is scheduled for day 16, the January position will be settled on

16 March (rather than the February position as provided for by the VAT legislation). The reference policy to which to apply the aforementioned shift is specified in the **VAT on retail receipts** field

- by rules for payments and reimbursements
  - **Frequency**, or the periods at the end of which the tax is settled
  - **Payment days/months**. i.e. the period of time, expressed in days/months, that must pass between the end of the month in which the amount payable towards the tax authorities is calculated and the day on which the payment is made. For example, by entering 15 days and 0 months, and supposing the current date is 31 December, the payment takes place on 15 January; if however the user enters 15 days and 2 months, the payment takes place on 15 February.
  - whether or not the indirect tax must be **reimbursable**. In cases of reimbursable tax, the tax credit is reimbursed. Otherwise, it is postponed to the next period. In cases of reimbursement, it is also necessary to indicate the **reimbursement days/months**, or the period of time, expressed in days, months, or days/months, that must pass between the end of the month in which the amount receivable from the tax authorities is calculated and the day on which the reimbursement is made

 For example, if the user wants to recognise VAT every month and simultaneously write off the VAT recognised and make the payment, it is necessary to set

    - payment days 0
    - payment months 0 (all months)
    - and activate the frequency for all periods

  - **Holidays** if necessary, the user can also specify a calendar of holidays to be used for the payment of taxes if such payment falls on a date defined as a “holiday”
  - **Payment days/months**. i.e. the period of time, expressed in days/months, that must pass between the end of the month in which the amount payable towards the tax authorities is calculated and the day on which the payment is made. For example, by entering 15 days and 0 months, and supposing the current date is 31 December, the payment takes place on 15 January; if however the user enters 15 days and 2 months, the payment takes place on 15 February.
  - down payment management. The **Down payment day** option allows the user to tell the system that he wants to manage VAT down payments.

     For the first simulation year, the method for recognition of the down payment is the same as for other entities, which is the statistical account method.

    - the **down payment percentage** on which basis to calculate the VAT down payment
    - the (payment) **day** i.e. the day on which the down payment must be made
    - the (payment) **period** i.e. the month in which the VAT down payment must be made
    - the **reference period** i.e. the period of the previous year that represents the basis for the VAT down payment calculation.
    - the **Prev. year statistical tax account** or the “other stocks" account used as the basis to calculate the VAT down payment for the first simulation year; for the years after the first, the system automatically calculates the down payments on the basis of the VAT position of the previous year.

- by a series of information needed if **Group VAT** must be managed.

Cash management rules

Cash management rules allow the user to define **cash management**, or:

- all of the information necessary for the system to calculate, on the basis of the daily liquidity defined according to the collection and payment method associated with the various accounts, the net financial position inclusive of short-term financial expenses and income, both at the company and the group level. In fact, the system operates like a completely normal current account and, on a daily basis:
  - calculates the balance of the managed bank account by applying the credit terms defined for the various accounts
  - applies the interest rate defined, depending on the sign of that balance, calculating interest receivable or payable accordingly.

 Cash management is defined at the Group level by the administrator. Individual companies may have the possibility of customising only the interest rates to be applied.

The management of those rules is accessible from the administrator-user's web interface by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Cash management rules*.

Navbar > Data Processing > Cash Flow Planning > Cash management rules.

The setup can be divided into two steps:

- definition of the **rule**
- **associate** the corresponding rule with each entity

Rules

Each rule is identified by:

- a **code**
- a **description**

 Generally, two different rules are defined; one for the holding entity and one for the subsidiary entities.

Once the rule header, the container of the financial policy, has been created, it is necessary to specify:

- the various lines of credit and deposits (main line, deposit and credit line) used by the system for the daily sorting of liquidity, the interest calculation and, if necessary, the calculation of non-covered amounts
- the shift between lines of credit and deposits, or the rules for shifting amounts between the various lines (sorting conditions, frequency with which the sorting must take place, etc.).

The management of these details can be accessed directly from the **Actions (**  **)** menu in the cash management rule management window.

Lines of credit / deposits

The term "line of credit/deposits" essentially refers to the types of funding and lending necessary for the interest calculation.

The system always needs a **main line** on which to conduct all liquidity deriving from financial movements of a P&L, balance sheet, investment and L/T financing nature, etc. In addition to this line, it is always

necessary to define the technical form of use, and therefore the liquidity **line of deposit** and the funding line, or **line of credit**.

The system automatically performs the daily sorting of liquidity from the main line to the line of deposit or credit depending on the condition defined in the financial policy.

Each line is identified by:

- a **code**
- a **description**
- a **use for direct cash flow**. If enabled, this indicates that the line's liquidity accounts form part of the direct cash flow calculation.
  If the user wants to customise the category for the direct cash flow calculation, define the **Custom cash flow category** and the **Custom cash flow notional category**.
- a **main account**. This is the bank account on which all the entries of the line that is being set up are recorded
- a **main account: debit/credit variation**. This is the variation of the primary account on which shifts between deposit / credit lines are recognised.

 If the chart of accounts provided contains no evidence of the Asset or Liability bank account, but only the generic "Bank c/a" account, it will be necessary to create the asset and liability bank accounts (and their variations and the corresponding Balancing Groups) to the extent necessary for the procedure

Once the general information for the line has been defined, namely the bank accounts, it is possible to define the information that the system needs in order to **calculate the interest** related to the line being set up. The management of this information can be accessed from the **Interest** tab.

In order to calculate the interest, every line is identified by:

- whether **to create on preferred currency**. If enabled, this means that the interest is capitalised in the entity currency. Otherwise, interest is capitalised in the original currency.
- an interest **calculation method**. This indicates the duration of the year, expressed in days, to be used as the denominator in the interest calculation. The possible values are 360 or 365
- an **interest** account. P&L account on which the interest related to the line are booked.
- an **interest accrual account: debit/credit variation**. This is the accrual variation account (asset or liability) used as the balance sheet contra-entry of the interest account
- the capitalization **frequency**. This indicates the frequency with which interest must be capitalised. It can be monthly, bimonthly, quarterly, four-monthly, six-monthly or annual.
- the **initial date** of capitalization. This indicates the month from which interest must be capitalised
- **collection / payment days or months**. These indicate after how many months the payment / collection of interest must be performed, starting from the interest capitalisation date
- a **debits/credits for interest: debit/credit variation** account. This is the account where the debit and the credit for interest is defined if payment / collection is deferred in respect of the accounting. It only needs to be defined if collection/payment days and months are different from zero.
- a **bank account: capitalisation variation**. This is the bank account of the variation type used for the settlement of capitalised interest
- the **withholding tax**. This indicates the withholding tax percentage to be applied to the collection of interest of the active L/T Financing operations (bank deposits, active L/T Financing, etc.)
- a **withholding tax account: debit variation**. This is the withholding tax account of the variation type used for billing withholding tax
- a **bank account: capitalisation write off variation**. This is the bank account of the variation type for the write-off of the interest capitalisation when recognising the withholding tax.

Therefore, every interest account generates the following "curves":

  - an accrual curve: related to the billing of interest
  - a capitalisation curve: generated based on the capitalisation policy defined for the line
  - a financial curve: generated based on the credit terms defined for the account specified

If the management of **cash pooling**, i.e. the transfer of the intercompany bank balance to the holding entity, is required for the interest calculation rule, it is necessary to define the specific accounts involved in this

step for every line sensitive to that operation. The management of these accounts can be accessed from the **Cash pooling** tab. For more information, see the **Definition of lines sensitive to cash pooling**.

Let us look in detail at the accounts used in the various types of entry generated by the interest calculation

Shift between lines

- Main account: variation for shifting the 'lines from' between lines (debit or credit)
- Main account: variation for shifting the 'lines to' between lines (debit or credit)

Recognition of accrued interest

- Interest Account
- Interest accrual account: debit (or credit) variation

Interest capitalisation

- Interests accrual account: credit (or debit) variation
- Bank Account: capitalization variation

Interest capitalisation in cases of deferred collection / payment

- Interests accrual account: credit (or debit) variation
- Debits / credits account for interest: debit (or credit) variation

Deferred collection / payment

- Debits / credits account for interest: credit (or debit) variation
- Bank Account: capitalization variation

Cash pooling shift between lines from the child entity to the parent entity: entry on the parent entity

- Bank account for cash pooling: debit (or credit) variation
- IC account for cash pooling: credit (or debit) variation

(the child entity entry is the standard shift between lines entry)

Cash pooling recognition of the child entity's accrued interest to the parent entity: entry on the parent entity

- IC interests Account
- IC interest accrual account: credit (or debit) variation

(the child entity entry is the standard entry to recognise accrued interest)

Cash pooling interest capitalisation from the child entity to the parent entity: entry on the parent entity

- IC interest accrual account: debit (or credit) variation
- Bank Account: IC interest capitalization variation

(the child entity entry is the standard interest capitalisation entry)

Cash pooling interest capitalisation from the child entity to the parent entity: entry on the parent entity in the event of deferred collection / payment

- IC interest accrual account: debit (or credit) variation
- Debits / credits account for IC interest: credit (or debit) variation

(the child entity entry is the standard interest capitalisation entry)

Cash pooling deferred collection / payment from the child entity to the parent entity

- Debits / credits account for IC interest: debit (or credit) variation
- Bank Account: IC interest capitalization variation

(the child entity entry is the standard interest collection / payment entry)

Liquidity accounts for a line of credit / deposit

In all cases in which the user wants to have several actual liquidity accounts transferred to a single line it is necessary to enter the liquidity accounts as well as the main account. For example, consider a case in which several current bank accounts are present in the initial balance sheet, but they are not managed with the same detail in the planning process. All of the actual current accounts will therefore be defined as liquidity

accounts of the main line, the main account of which will be the only one to incur entries in the forecasting phase.

The management of liquidity accounts can be accessed directly from the **Liquidity accounts** tab in the lines of credit/deposits management window.

Interest rates of a line of credit/deposit

To complete the definition of the line of credit/deposit, it is necessary to indicate the relative interest rate to be applied, for every currency. Typically, the interest rate is not necessary on the main line since the latter tends to be zero following the shift of the amounts onto another two lines, while it is necessary in the line of credit/deposit in order to be able to calculate interest.

The management of interest rates can be accessed directly from the *Interest rates* tab in the lines of credit/deposits management window.

The following types of rate can be used:

- Fixed. In this case the system applies the specified rate to the line in question's daily liquidity;
- Variable by month. In this case the system applies the interest rate specified in the list of rates, potentially increased by a spread, to the line in question' daily liquidity.

If cash management is calculated by counterparty entity, the system allows the user to manage **exceptions** to the specified interest rates for counterparty entities. This management can be accessed from the *Customise for CTP* link. To manage those exceptions, it is necessary to specify:

- the **counterparty entity** to which the "override" must be applied
- the **currency** to which the "override" must be applied
- the **rate type**, variable or fixed. If the rate is fixed, its percentage. If the rate is variable, any spread.

Lines of credit / deposit shift

Once the details of the lines (main, deposit and credit) have been defined, the user can manage the cash management itself, which specifies the rules for shifting amounts between the various lines, indicating their order of execution.

Cash management is generally represented by two sorting rules:

- one related to the shift **from the main line to the deposit line**
- one related to the shift **from the main line to the credit line**

However, cash management set up is completely customisable; therefore, depending on the needs of each company, more or less detailed cash management options can be defined. Below we will illustrate the standard cash management setup which consists of the sorting from one line to another in order for the system to carry the balance initially present on the main line to the correct line. In essence, it is necessary to tell the system the condition under which the sorting from the main link to the deposit and credit line must take place. Since all P&L and balance sheet entries take place on the main line, values must be sorted from the latter to the deposit line when the main line is greater than zero (condition) and to the line of credit when the main line is less than zero. Thus, the system is able to define the line of deposit or credit and because this has a certain interest rate and a certain P&L interest entry associated, it can calculate the amount of the interest entry and position it on the correct P&L account.

As well as having to define the sorting condition (sort to the deposit line when the main line is greater than zero, sort to the credit line when it is less than zero), the user must specify the frequency with which that sorting must be carried out (daily or on certain dates) and the amount of time after which to perform the write off from the main line in favour with the deposit or credit line. This could take place because, for example, the user wants to sort liquidity to the child lines daily, but showing the shift with the respective main line write off may take place after several days/months.

Every sorting rule is identified:

- by the **sequence** of execution of the rule being defined
- by the line from which the liquidity is intended to be sorted (**From**). Typically identified as the main line
- by the line to which the liquidity is intended to be sorted (**To**). Typically identified as one of the main line's two child lines
- by the **shift frequency**. This indicates how frequently sorting is carried out. The possible values are:
  - *every day (default value)*

- *every week*
- *every 15 days*
- *every month*

The frequency is typically daily.

If the calculation is not performed with daily frequency, then it is necessary to define the **Days** field by specifying in which specific date the sorting must be performed, that is:

- if the defined frequency is *every week*, then it is necessary to select one from days of the week (Monday to Sunday)
- if the defined frequency is *every fifteen days*, then it is necessary to select from the days of the fifteen-day period (1st day of the fortnight to the 15th day of the fortnight)
- if the defined frequency is *every month*, then it is necessary to select from the days of the month (1 to 31)

- by the **write off after months/days**. This indicates the period of time (days, months, months/days) after which the write off entry of the line from which to sort is generated, in favour of the line to which to sort. Generally 0 month and 1 day is specified. In this way, the system completely re-executes the rule every day without taking account of what it did on previous days. In particular cases (for lines representing investments in government securities, for example), it is possible to override the write off after N months (to simulate the maturity of said securities)
- by the **condition** upon the occurrence of which the system performs the sorting.

  Generally, all the P&L and balance sheet entries that take place on the main line are sorted on the basis of the following conditions:

  - if the main line liquidity is **greater than zero**, it is entirely shifted to the deposit line
  - if the main line liquidity is **less than zero**, it is entirely shifted to the credit line

  Therefore, if the lines defined are:

  - main line (1)
  - deposit line (2)
  - credit line (3)

  for a sorting rule from the main line to the deposit line, the following formula will be indicated:

  {S,'1'}>0

  while for a sorting rule from the main line to the credit line, the following formula will be indicated:

  {S,'1'}<0

  where:

  - S stands for line
  - '1' indicates the main line
- by the **amount if the condition is verified**, i.e. the amount to be shifted to the "to line" if the specified condition occurs.

  Generally, the same amount present on the "from line" is indicated, and therefore the following formula will have to be indicated in the field:

  {S,'1'}

- by the **amount if the condition is not verified**, i.e. the amount to be shifted to the "to line" if the specified condition does not occur. A value equal to zero is generally shown, and therefore 0 will have to be indicated in the field

 The "condition", "amount if the condition is verified" and "amount if the condition is not verified" fields cannot be edited; to complete said fields it is necessary to activate the formula management window using the "..." button. The formula may contain:

- references to the balances of standard balance sheet accounts and other stock accounts
- references to the value of the liquidity of the lines
- a mathematical expression

The following must also be indicated for every sorting rule defined:

- whether the amount to be shifted to the “to line” must be calculated in the *original currency* or the *entity currency*, specifying this information in the **Amounts in** field
- whether the sorting must also apply to initial balance sheet amounts, by activating the **Apply sorting to balance sheet date** option. This option is activated in order to calculate the interest on the first day of the simulation, based on the balance as at 31/12, otherwise the system calculates interest not based on the 31/12 balance, but on the restored balance as at 1/1.
- whether the rule is valid for all currencies or certain currencies only. In the latter case, it is necessary to specify the currencies to which the sorting rule being defined must be applied in the *Filter by currency* tab.

Cash management by counterparty entity

The standard cash management calculation does not take account of the individual counterparty entity balances; therefore, regardless of those values, it is transferred to the deposit line if the balance present on the main line is greater than zero, and to the credit line when it is less than said balance.

In order for the calculation to take account of counterparty entity balances when sorting from one line to another, it is necessary to activate the “Cash management calculation by CTP entity” information in the general cash flow planning rules associated with the process.

Thus, if the balance of the main line is positive in total, but there is also even just one single negative balance with a counterparty, that balance will be shifted to the line of credit.

Obviously, this has an impact on the interest calculation.

However, cash management by counterparty entity is incompatible with **cash pooling**. In fact, in cases of cash pooling, when the system performs the line shifts and generates interest, it always defines the counterparty entity as the parent entity. Therefore, when calculating cash management by counterparty, the system checks that none of the lines involved in the sorting has the “Cash pooling” option enabled, and if they have, it returns a blocking error.

Entity/cash management rules relationships

Once the cash management rules have been defined, it is necessary to associate them with each entity so that the system can process cash management for those entities, according to the methods and scheduled specified by the rule.

The management of entity/cash management rules relationships can be accessed from *Setup & Admin > Data Processing > Cash Flow Planning > Cash Management Rules > Entity/cash management rules relationships*

Navigation panel> Data Processing > Cash Flow Planning > Cash Management Rules > Entity/cash management rules relationships

These relationships can be defined by individual entity - entity hierarchy nodes.

The attribute to be managed is the **cash management rule**.

From the **Definition result** link, the system displays the relationships defined in detail.

Advanced rules - Overview

The advanced rules define those “basic elements” that the system needs in order to manage the set up of group rules:

- Event
- Weight
- Payment Calendar
- Holidays

The management of those rules is accessible from the administrator-user’s web interface by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Financial rules > Advanced*.

Navbar > Data Processing > Cash Flow Planning > Financial rules > Advanced.

Event types

One of the fundamental concepts of Financial Planning in Tagetik is the **Event**, understood to be any accounting event from which a value is generated. The following are examples of events: accrual basis, accounting, raising mortgage, collection, payment etc.; essentially all those accounting operations that have a P&L, BS or financial impact. When generating forecast double entries, Tagetik always keeps track of the event that generated them. The combination and sequence of a collection of events generates precise accrual / accounting / collection or payment curves.

Within these, Tagetik has already defined a series of events that cover the vast majority of the entries necessary to manage financial planning. The management of the various event types can be accessed from the administrator-user's web interface, by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Advanced Financial Rules > Event*.

Navigation panel> Data processing > Cash Flow Planning > Advanced financial rules > Event.

The event types predefined by Tagetik are identified by codes starting with the character "$."

Every event type is characterised by:

- a **code**
- a **description**.
- a **type** which identifies the class to which the event belongs. The possible classes are:
    - *FX hedging*. This event can be used for the management of "FX hedging" type objects
    - *P&L / Variation*. This event can be used for the management of the P&L, projected variations and accounting entries
    - *Work order*. This event can be used for the management of work orders
    - *L/T Financing*. This event can be used for the management of "L/T financing" type objects
    - *Generic credit terms*. This event can be used for the management of any type of credit terms
    - *Outstanding credit terms*. This event can be used for the management of "sales", "client receivables" and "outstanding on cash schedule" type credit terms
    - *Sales credit terms*. This event can be used for the management of "sales" type credit terms
    - *Asset*. This event can be used for the management of "asset" type objects
    - *Initial Balance Sheet*. This event can be used for the management of the initial balance sheet
    - *Stock*. This event can be used for the management of "stock" type objects

The following event types are predefined by Tagetik:

- *Profit & Loss/Variation*
    - $GPL - PL Line
    - $GBL - Billing Line
    - $GMCP - Manual Collection/Payment
    - $GDP - Down Payment
- *Initial balance sheet*
    - $GIB - Actual balance sheet
    - $GSCP - Collection/Payment Schedule
- *Generic Coll./Paym. Rule*
    - $DCP - DSO/DPO - Collection/Payment
- *Collection rule*
    - $DPN - DSO/DPO - Promissory note
    - $DPNC - DSO/DPO - promissory note collection
- *Outstanding Credit Terms*
    - $DCD - DSO/DPO - Credit disputes
    - $DO - DSO/DPO - Outstanding
    - $DOC - DSO/DPO - Outstanding collection
- *Currency hedging*
    - $C01 - Currency Hedging - Credit exchange rate difference
    - $C02 - Currency Hedging - Debit exchange rate difference
    - $C03 - Currency Hedging - On Entity Currency
    - $C04 - Currency Hedging - On Transactional Currency
- *L/T Financing*
    - $F01 - Financing - New
    - $F02 - Financing - Fee

    - $F03 - Financing- Coupon accrual
    - $F04 - Financing - L/T interest
    - $F05 - Financing - Interest capitalization
    - $F06 - Financing - Rates hedging interest
    - $F07 - Financing - Interest write-off
    - $F08 - Financing - Interest payment
    - $F09 - Financing - Rates hedging interest payment
    - $F10 - Financing - Interest payment write off
    - $F11 - Financing - Principal payment
    - $F12 - Financing - Advance reimbursement
    - $F13 - Financing - Project financing
    - $F14 - Financing - Transfer to current quota
    - $F15 - Financing - Current quota write-off
    - $F16 - Financing - Withholding tax
- *Asset*
    - $A01 - Asset - Purchase
    - $A02 - Asset - Billing for Asset purchase
    - $A03 - Asset - Construction in progress purchase
    - $A04 - Asset - Transfer from CIP asset to asset
    - $A05 - Asset - Purchase payment
    - $A06 - Asset - Depreciation
    - $A07 - Asset - Deposit on purchase
    - $A08 - Asset - Deposit on purchase write-off
    - $A09 - Asset - Sale
    - $A10 - Asset - Billing for Asset sale
    - $A11 - Asset - Sale of construction in progress
    - $A12 - Asset - Collection from Sale
    - $A13 - Asset - Sale deposits collection
    - $A14 - Asset - Sale deposit write-off
    - $A15 - Asset - Capital loss on sale
    - $A16 - Asset - Capital gain on sale
    - $A17 - Asset - Construction in progress write-off
    - $A18 - Asset - Accumulated depreciation write-off
    - $A19 - Asset - Write-off
    - $A20 - Lease - New
    - $A21 - Lease - Advance monthly fee
    - $A22 - Lease - Deferred monthly fee
    - $A23 - Lease - Fee payment
    - $A24 - Lease - Advance periodic fee
    - $A25 - Lease - Deferred periodic fee
    - $A26 - Lease - Principal Payment
    - $A27 - Lease - Advance monthly interest
    - $A28 - Lease - Advance monthly interest payment
    - $A29 - Lease - Deferred monthly interest
    - $A30 - Lease - Deferred monthly interest payment
    - $A31 - Lease - Final Instalment Payment
- *Stock*
    - $B01 - Bond - Purchase
    - $B02 - Bond - Purchase fee
    - $B03 - Bond - Coupon liquidity
    - $B04 - Bond - Loss on sale
    - $B05 - Bond - Gain on sale
    - $B06 - Bond - Coupon accrual
    - $B07 - Bond - Interest accrual
    - $B08 - Bond - Withholding accrual
    - $B09 - Bond - Coupon withholding
    - $B10 - Bond - Withholding on purchase
    - $B11 - Bond - Interest accrual write-off
    - $B12 - Bond - Withholding accrual write-off
    - $B13 - Bond - Sale
- *Work order*
    - $P01 - Project - Down payment invoice
    - $P02 - Project - Retention guarantee invoice
    - $P03 - Project - Down payment invoice collection

- $P05 - Project - Retention guarantee collection
- $P06 - Project - Revolving
- $P07 - Project - Revolving reimbursement
- $P08 - Project - Certificated CIP statement
- $P09 - Project -Factoring
- $P10 - Project - CIP factoring
- $P11 - Project - Down payment write-off
- $P12 - Project - Retention guarantee write-off
- $P13 - Project - CIP write-off
- $P14 - Project - Factoring write-off
- $P15 - Project - Factoring CIP write-off

 Events entered manually can only be of “P&L/variation” or “Initial balance sheet” type events

Weight Types and Weights

In the context of financial planning, Tagetik allows the user to use weights to be able to weight a certain value on the basis of a certain trend, expressed by the weight. A typical example is the calculation of double monthly salaries (the 'thirteenth' and 'fourteenth' month bonuses). In fact, although the projected P&L takes account of provisions for double months, it needs to manage the payment method for them, in the months of December and June, respectively, for which a cash disbursement for double the value of other months must therefore be planned. By assigning a weight equal to "2", a greater cash disbursement can be obtained in the months in question, thus replicating the double monthly salaries.

On the other hand, a weight in **twelfths** could be useful for dividing a certain amount into twelfths.

Essentially, regardless of the specific weight indicated, the event that is generated by means of a weight incurs a "break down" equal to the following algorithm:

Total Amount / Algebraic sum of Weights * Value of the weight in the month

The management of weights requires a **weight type** definition. The weight type is a sort of version of the weights, e.g. 001 - Twelfths to split an amount monthly.

The weight is generally created to manage **the calculation of double monthly salaries** ('thirteenth' and 'fourteenth' months) , for example.

The management of weight types can be accessed from the administrator-user's web interface, following the path *Setup & Admin > Data processing > Cash Flow Planning > Advanced financial rules > Weights*.

Navbar > Data Processing > Cash Flow Planning > Advanced Financial Rules > Holiday.

Every weight is identified by:

- a **code**;
- a **description**.

Once a weight type has been defined, it is necessary to tell the system:

- the **process / entity** to which it must be related;
- the **date** to which the value of the weight refers
- the **value** of the weight at the specified date, which may be expressed on a percentage basis or using an absolute value since the value of the weight is always compared to the total of the values of the month or year, based on the processing type of the "event (creation) rule"
- any specific **credit terms rule** of "Purchases" or "Sales" type that is assigned to the date when the events are created

This relationship can be managed from the **end user's web interface via the processes cockpit**. To open the processes cockpit it is necessary to click on the "Processes" button (available on the end user's home page and the left-hand panel) and then click on the desired cockpit.

Once the system has opened the selected cockpit, it is necessary to:

- select one of the phases of the process at the top of the screen
- select one of the entities over which the user has editability rights
- to click on the **Financial Planning** button and select the **Weights** option. The system opens the "Weights" view.

Payment Calendar

In the context of financial planning, Tagetik allows the user to define a calendar or define the precise day on which a payment or collection must be recognised regardless of that which is calculated automatically by the system.

The management of one or several calendars requires the definition of the **payment calendar**. This function allows different versions of calendars to be created; for example, we can have the 2013 calendar and the 2014 calendar, and different collection/payment dates within each calendar.

The management of payment calendars can be accessed from the administrator-user's web interface, following the path *Setup & Admin > Data processing > Cash Flow Planning > Advanced financial rules > Payment calendar*.

Navigation panel> Data processing > Cash Flow Planning > Advanced financial rules > Payment calendar.

Every calendar is identified by:

- a **code**;
- a **description**.

Once a payment calendar has been defined, it is necessary to tell the system:

- the **process / entity** to which it must be related;
- a time period (**Date from - Date to**). This time period makes it possible to identify collections / payments that must be shifted to the "Payment date"
- a **payment date**, or the day on which the collection or the payment of everything that, based on the data processing, should have been collected /paid in the specified period, must be recognised

This relationship can be managed from the end user's web interface via the processes cockpit. To open the processes cockpit it is necessary to click on the "Processes" button (available on the end user's home page and the left-hand panel) and then click on the desired cockpit.

Once the system has opened the selected cockpit, it is necessary to:

- select one of the phases of the process at the top of the screen
- select one of the entities over which the user has editability rights
- to click on the **Financial Planning** button and select the **Calendar** option. The system opens the "Calendar" view.

Holidays table for Tax payments

The “Holidays table for tax payments” defines the precise day on which the entry deriving from the payment or reimbursement of taxes (direct and indirect) must be recognised if that which is calculated automatically by the system takes place on a date defined as a “holiday”.

The management of holidays for tax payments can be accessed from the administrator-user’s web interface, by following the path *Setup & Admin > Data Processing > Cash Flow Planning > Advanced Financial Rules > Holiday*.

Navigation panel> Data Processing > Cash Flow Planning > Advanced Financial Rules > Holiday.

Each holiday is identified by:

- a **code**
- a **description**

Once a holiday has been defined, it is necessary to enter its details, or the calendar of holidays which, for each date declared to be a holiday, must specify the date on which the entry must be recognised. To do this, specify the following from the actions > details menu:

- a **holiday date**, or the date that must be considered to be a holiday
- an **operation date**, or the date on which the entry generated in the corresponding “holiday date” must be recognised.


The definition of holidays for tax payments differs from that used for the payment calendar because the latter defines the date to which all payments that, according to the credit terms rules, should fall within a given time period are in reality moved at a certain date.

Input origins configuration

The data necessary for the planning process and various activities/operations that can be carried out on them in order to obtain the balance sheet and P&L variation forecasts are:

- an **Initial Balance Sheet**. The Initial Balance Sheet represents the most recent actual balanced account on which basis the user wants to run the financial simulation; all of the balance sheet entries arising from P&L entries, the collection/payment of receivables and payables, any balance sheet accounting entries, L/T financing, fixed assets etc. are applied to it.
- a **Projected P&L**. The Projected P&L represents a P&L budget compiled up to the EBITDA and is the starting basis for making the system calculate the accounting, payment and generation of VAT. The calculation of direct taxes and financial interest is also based on these calculations;
- and potentially **Projected variations**.

Tagetik allows the user to configure the origin of a data item, which must be considered as input origins for the projected P&L, the projected variations and the initial balance sheet.

In the data entry phase, the system only displays data that is labelled with an origin included in that list.

The management of those origins is accessible from the administrator-user's web interface by following the path *Setup & Admin > Data Processing > Cash Flow Planning > General rules > Input origins configuration*.

Navigation panel> Data Processing > Cash Flow Planning > General rules > Input origins configuration.

Execution plan

Once the setup has been completed at the group level, it is necessary to define, in the Execution plan, the group entities to be processed in the Financial Planning process in question and the type of data processing to be performed for each of them.

The execution plan is defined by process; therefore, different processes can have different execution plans.

Management of the execution plan can be accessed from *Setup & Admin > Processes > Process definition > Data processing > Cash Flow Planning > Requirements () > Execution plan*.
Navigation panel> Processes & Workflow > Process > Process definition > Data processing > Cash Flow Planning > Requirements () > Execution plan.

For every entity/data process (Indirect tax policies-Cash Management and Direct taxes) it is necessary to specify whether the calculation is:

Notional: The notional calculation is performed when the user wants to manage VAT, cash management and direct taxes at the sub-entity level, or a more detailed level for the entity, such as by work order or initiative. In this case, the work order/initiative must be managed in the list of entities using the **"Run as sub-entity"** attribute. The notional calculation is performed on an ad hoc category which must be defined by accessing *Setup & Admin > Data processing > Cash Flow Planning > general rules > Generic Rules > Notional data generation category. Navigation panel> Data processing > Cash Flow Planning > general rules > Generic Rules > Notional data generation category*.The following methods are possible:

- No. The system does not run the notional calculation on the selected entity
- Yes. The system runs the notional calculation on the selected entity
- On other Entity. The system uses the selected entity's data to contribute to the calculation being performed on another entity. In this case, it is necessary to specify the target entity

The notional calculation option is only visible if the user wants to manage that calculation in the application, i.e. if the category on which to generate the notional data is defined in the general cash flow planning rules.

On entities. The entity calculation or company calculation is performed in the majority of cases, when the data processes are managed at the entity level.

The following methods are possible:

- No. The system does not run the entity calculation on the selected entity
- Yes. The system runs the entity calculation on the selected entity
- On other Entity. The system uses the selected entity's data to contribute to the calculation being performed on another entity. In this case, it is necessary to specify the target entity.

If the value is set to "On other Entity" and the data of the selected entity contribute to the group calculation, it is not necessary to define the group section. When saving the window, the system automatically defines that selection, specifying the parent entity of the relative group.

On group (only for indirect taxes and cash management). The group calculation is managed in cases of group VAT and cash pooling.

The following methods are possible:

- No. The system does not run the group calculation on the selected entity
- Yes. The system runs the group calculation on the selected entity

- On other Entity. The system uses the selected entity's data to contribute to the calculation being performed on another entity. In this case it is necessary to specify the reference holding entity.

It is possible to have cash pooling:

- at the sub-holding entity level: In this case every entity belonging to the sub-holding entity has the "Group calculation" mode defined as "On other Entity" and the definition of the target "sub-holding" entity".
- at the total group level: every sub-holding entity has the "Group calculation" method defined as "On other Entity" and the definition of the target "holding" entity.
- The holding entity has "Group calculation" equal to YES

The group calculation option is only visible if "Cash Flow Planning- Indirect Taxes- Cash pooling" data processing is enabled within the process in question.

Let us explain using two examples.

CASE 1. The Financial Policy calculation is performed both for sub-entities (e.g. work order/initiative:A00) in which case the selected work order has the attribute "sub-entity" in the entity list, and at the company level (A01).

Work order A00:

- It is necessary to define the "Notional calculation" field as "Yes
- It is necessary to define the "Entity Calculation" field as "On other entity" and enter the entity on which the entity calculation (A01) is performed in the reference entity field

Entity A01:

- It is necessary to define the "Entity Calculation" field as "Yes"

CASE 2. The Cash Management and VAT Calculation is performed by entity and by group (Group VAT and cash pooling). It is necessary to differentiate between two cases:

- the **selected entity is the group's parent entity** (e.g. C00). In this case, it is necessary to define the "Entity calculation" field as "Yes" and the "Group calculation" field as "Yes".
- **the selected entity is a subsidiary** (e.g. C00_C). In this case, it is necessary to define the "Entity calculation" field as "Yes", the "Group calculation" field as "On other entity", and the group's parent company as the reference holding entity (C00)

CASE 3. The Cash Management and VAT calculation is performed by entity, by sub-holding entity and for the group. it is necessary to differentiate between three cases:

- **the selected entity is the holding entity (X00)**. In this case, it is necessary to define the "Entity calculation" field as "Yes" and the "Group calculation" field as "Yes".
- the **selected entity is the sub-holding entity (D01)**. In this case, it is necessary to define the "Entity calculation" field as "Yes", the "Group calculation" field as "On other entity", and the holding entity as the reference holding entity (X00)
- **the selected entity is a subsidiary (belonging to the sub-holding entity) (D01_A)**. In this case, it is necessary to define the "Entity calculation" field as "Yes", the "Group calculation" field as "On other entity", and the sub-holding entity as the reference holding entity (D01)

It is possible to customise the target entity

- by policy in cases of indirect taxes. The target entity can be customised from the *Reference Holdings by Indirect Taxes Policy* link:

  - the indirect tax policy (**Tax policy**)
  - the parent entity to which the indicated tax policy refers (**Reference holding**)

- by line of credit and deposit in cases of cash management. Customisation is defined from the *Reference holdings for cash pooling* link:
  - the line
  - the parent entity to which the specified line refers

Additional information is included below. This information can be modified in respect of the default value entered automatically when entering the entities.

- if any non-deductible VAT should not increase costs and revenues, but rather be booked on the non-deductible tax account (**Non-deductible account** option). That account is the account defined in the fiscal policy of the indirect tax rule attributed to the entity.
- the methods with which the entity must proceed with the payment of direct taxes (**Direct taxes payment type**). The following methods are possible:
  - **No automatism**. The system does not perform any balance payment or down payment calculation
  - **Calculate amount only**. The system only calculates the amount of the payment but does not perform the booking or settlement of the down payment
  - **Calculate down payment on actual and balance**. The system performs the settlement of the taxes and down payments balance, the latter being calculated on the basis of the previous year's tax balance

  It should be noted that this calculation type refers exclusively to tax balance settlements and down payments, but not to the recognition of taxes on an accrual basis, which are calculated on the basis of the fiscal policy associated with the entity on the list.
- the **dividend rule**, or the rule to be used for the dividend distribution calculation. This rule is assigned to the subsidiary entity.
- the **depreciation type** (in the assets calculation). The following types are possible:
  - **Statutory**. The system uses "statutory" rates for the depreciation calculation.
  - **Fiscal**. The system uses "standard" rates for the depreciation calculation.
- the **leasing calculation type**. The following types are possible:
  - **Financial (IAS)**. In this case, the leasing agreement is treated like a sale
  - **Balance sheet (Civil Code)**. In this case, the leasing agreement is treated like a standard lease

Utilities

Update Entities

Tagetik has a function for automatically opening entities to be included in the execution plan. This function can be accessed from the Utilities menu () in the execution plan management window.

The user must indicate whether only new entities must be included in the execution plan, leaving the existing records unchanged (**Only missing** option active)

The system includes the entities selected in the execution plan and, for each of them attributes the default values to the various options. For each data processing type (indirect taxes, cash management, direct taxes), it also sets the following options:

- **Notional calculation and target entity**
- **Entity calculation and target entity**

- **Group calculation and reference holding entity**

based on what is defined in the organisational hierarchy of the process. In particular, if for a given node the "**CFP: Run Data processing as**" option is set as

- *Sub-entity*, then:
    - for the reference entity associated with that node, the system sets, in the execution plan, the "notional calculation" option to "Yes" for all data processing types, i.e. the data processing is done for a sub-aggregate of the entity.
    - for the node's child entities, the system, in the execution plan, sets the "notional calculation" to "On other entity" for all data processing types and sets the "Target entity" field as the reference entity associated with the same node
- *Entity*, then
    - for the reference entity associated with that node, the system sets, in the execution plan, the "entity calculation" option to "Yes" for all data processing types, i.e. the data processing is done at the company level
    - for the node's child entities, the system, in the execution plan, sets the "entity calculation" to "On other entity" for all data processing types and sets the "Target entity" field to the reference entity associated with the same node
- *Group*, then
    - for the reference entity associated with that node, the system sets, in the execution plan, the "Group calculation" option to "Yes" for indirect taxes and financial policy, or the group data processes are performed
    - for the node's child entities, the system sets, in the execution plan, the "group calculation" option to "On other entity" for indirect taxes and financial policy, and sets the "Reference holding" field as the reference entity associated with the same node

Report

The purpose of the system reporting functionalities for financial planning is to help the user when searching for specific information that makes it possible to analyse data after processing. For example, they make it possible to analyse data regarding the entries made on a certain account which, after the cash flow planning data processing has been performed and its value has been checked using forms, deviates from the planned value and is therefore worth analysing in more detail with regard to its creation.

Tagetik has the following system reports:

- **Entries details** is a guided query tool based on data after the Budget has been processed which, depending on the filters used, return all of the entries computed by the system for the combination of dimensions requested in the opening filter

This report can be accessed from the end user's web interface via the processes cockpit, by using the *Cash Flow Planning* button to select the *View Entries* menu item within the *Actions* panel.

Entries details report

The “Entries details” report represents a guided tool for querying post-processing planning data, which returns all entries computed by the system for the combination of dimensions indicated in the initial filter.

The report displays the accounts of each entry and reports a series of information for each of them, such as the data item that generated it (if P&L, balance sheet, accounting entry, etc.), the object number, the date of the entry and further additional information.

The “Entries details” report can be accessed from the end user’s web via through the processes cockpit, by using the *Cash Flow Planning* button to select the *View Entries* menu item within the *Actions* panel. The system pre-sets the information related to process / entity.

The following filters are proposed by the system:

- **entity** that generated the entry. It is also possible to define the entry’s counterparty entity (CTP entity).
- **data type**. This indicates the type of data by which the entry was generated. The possible values are:
  - by the P&L or from projected balance sheet variations (**P&L**)
  - by the balance sheet (**Balance Sheet**)
  - by objects (**Accounting entries, L/T Financing, Stocks, Assets, FX hedging**)
  - by the leasing calculation (**Leasing**)
  - by the cash flow planning data processing, such as credit terms, indirect taxes, direct taxes, the financial policy, interest, etc. (**Calculated**)
  - by work order data processing (**Work Order**)
- **account of the event** that generated the entry.

  If the event account is defined, then all the double entries generated by that account are displayed for the combination of that account with the other filters that have been set. If, for example, the filter is applied to the “Raw materials purchase” event account that is subject to VAT, the query also returns the amount of VAT deriving from that account to date. If the same account had been indicated in correspondence with the “Account” field, the system would have displayed only the amounts on an accrual basis related to the account in question (Raw materials purchase) and not all entries generated by the same account.

- **entry account**
- specific information related to the entry (entry currency, entry date and entry amount in original currency)
- specific information related to the event that generated the entry (event, event date and event amount)
- **origin**, This indicates the “data processing” by which the entry was generated. Each “data process” performed is always automatically labelled with a precise “name”, which is in fact the origin. Therefore, if for example the user wants to view all entries generated by the data process for the financing calculation, it will be sufficient to indicate the origin “L/T Financing” in the appropriate field. This is quite useful for quickly and easily tracking all the entries made to date by the procedure in relation to a certain case

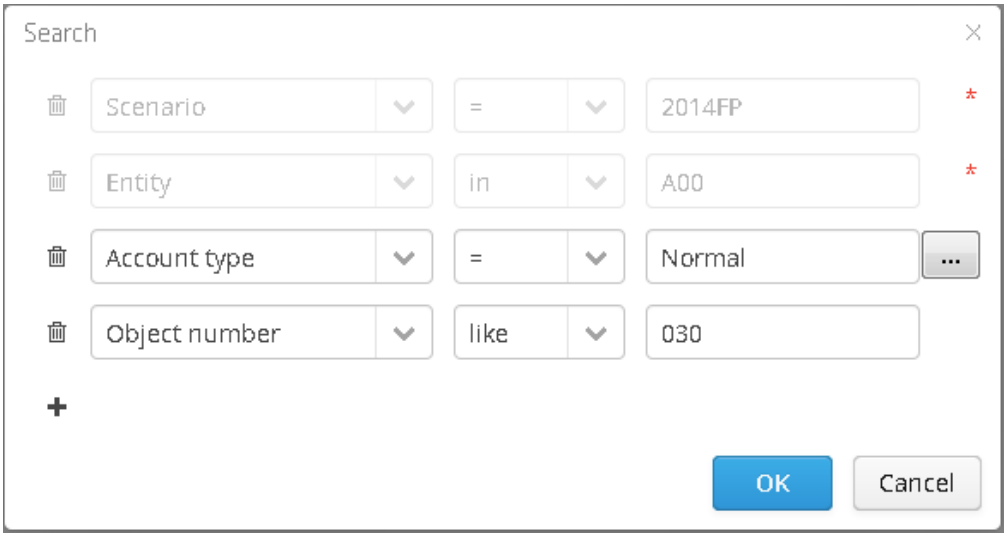
The system also provides for specific **additional filters**:

- for entries generated by the direct taxes calculation, or:
  - the **fiscal policy** for direct taxes that generated the event in cases of balance, down payment and direct taxes calculation
  - the direct **tax** that generated the entry in cases of balance, down payment and direct taxes calculation
- for entries generated by the indirect taxes calculation, or:
  - the **tax policy** and the **other tax policy**
  - the **tax rate** and the **other tax rate**
  - the **non-deductible percentage**
- for entries generated by the financial policy, or:
  - the **section** that generated the entry
  - the **sequence** of the financial policy rule that generated the entry

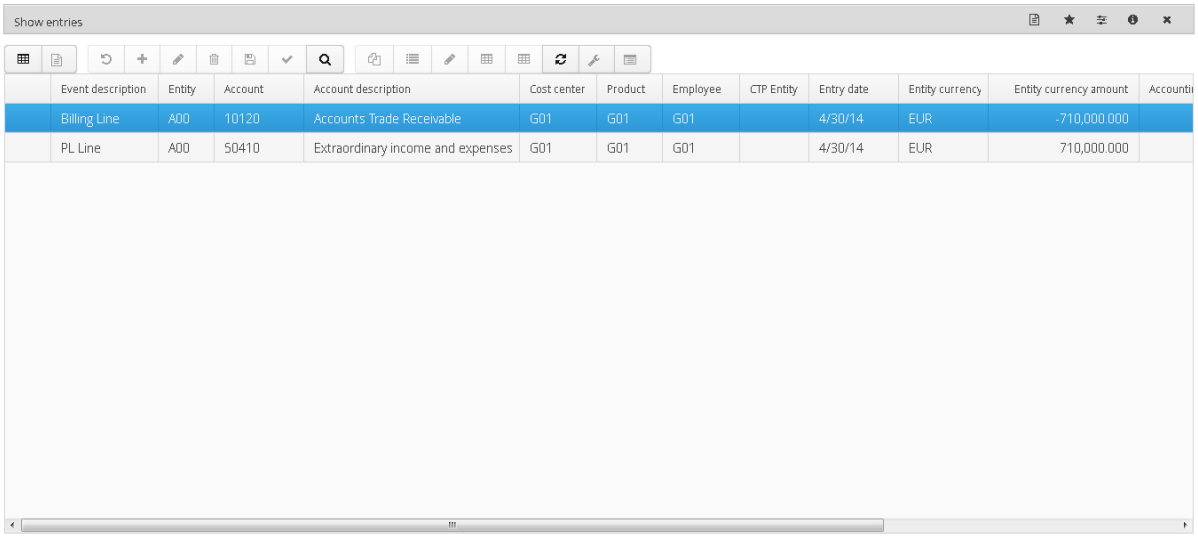
It is also possible to further filter the data by defining one or more options from among the following:

- the **category**. This represents the balance-type category with which the entry is labelled
- the **custom dimension 1...5.** If enabled, the management of custom dimensions indicates the destination of the entry.
- the **counterparty custom dimension 2**. If the relationship type associated with the process for which the record is being managed is “Entity/Custom dimension 2” or “Entity/Synthetic custom dimension 2” and is active, the management of the custom dimension 2 represents the element of the counterparty custom dimension 2 on which the entry is inserted.
- the entity **currency**
- the **currency origin** in cases of interest capitalisation on the preferred currency
- the **amount** of the entry expressed in the entity currency
- the **reference account** for cash flows or the account used by the system to generate cash flows
- the **number**. In cases of objects, this is the “object number”, while in other cases it is the “data type”
- the **credit terms**, the **payment calendar** and the **weight** associated with the account that generated the entry.

Below, by way of example, the setup of a “query” defined to check the records generated by an accounting entry previously inserted on a specific entity, related to a capital increase (accounting entry number 030).



In reference to the specified accounting entry, the system displays all of the accounts on which entries have been made and all of the information described above for each entry.



User Tools

The company manager's activities

In Tagetik, financial planning works on a group basis; in fact, it provides for specific planning models defined by the system administrator, which can be valid for all companies in the group or specific to a certain company.

The company manager's activities consist of the customisation of the setup, the entry of data, the running of data processing and the checking of the data created via the reports.

Setup

Strictly in terms of financial planning, the group administrator manages:

- the setup of accounts and processes
- financial rules, relationships between accounting models (e.g. accrual/accounting curves and VAT) and the dimensions useful in financial planning (account/custom dimension 1...n) for all group companies
- asset classes
- cash management.

An individual company manager may, for that individual entity, perform the following customisations:

- enter new credit terms rules (using the User > Cash Flow Planning > Credit Terms menu)
- enter new asset classes (using the User > Cash Flow Planning > Asset classes menu)
- override credit terms, calendars, weights, the event creation rule and indirect tax percentages on the data (by accessing the process's HTML5 interface).

Data entry and running data processing

From the end user's web interface, via the processes cockpit, the company manager can:

- enter the input data (initial balance sheet, projected P&L, forecast of investments/L/T financing and other accounting entries related to management)
- perform entry creation, which defines the balance sheet and relative cash flows
- perform cash management and the direct taxes calculation which are entered in the P&L with the financial expenses, depreciation and tax expenses
- display the entries generated via the system reports and ad-hoc forms.

Data operation

Tagetik offers the user several utilities which make it possible to perform various inter-entity copy operations between processes or scenarios.

These utilities can be accessed from the administrator-user's web interface, following the path *User > Home page > Processes > Utilities > Copy CFP data and overrides.* Navbar > Processes & Workflows > Process > > Utilities > Copy CFP data and overrides

Main data

The "Main data" utility allows the user to copy the definitions of weights, calendars and objects from one process/entity to another process/entity.

The user must indicate:

- the **data** that must be copied, selecting one or several of the following options:
  - weight
  - payment calendar
  - accounting entry
  - L/T financing
  - assets
  - FX hedging
- the **source process** and the **target process**
- the **source entity** and the **target entity**, i.e. the entity from which to copy and the entity to which to copy, respectively. If the data must be copied to the same entity or if there is more than one entity from which to copy, the target entity filter must not be defined. Doing this tells the system to perform the copy from a company to itself.

The first copy deletes the data from the process to which to copy, and then enters the data on the process to which to copy, reading it from the process from which to copy.

The origin of the copied data is "INPUT_WEB".

Copy overrides and events

The "Copy overrides and events" allows the user to copy attribute overrides and the balance sheet cash schedule from one process/entity to another process/entity, and the overriding of attributes, accounts, event creation rules and P&L account events and projected variations from one scenario/entity to another scenario/entity.

The user must indicate:

- the **source process** and the **target process**. For the P&L and projected variations, the **source scenario** and the **target scenario**; in both cases this is an active original scenario, visible to the user.
- the **source entity** and the **target entity**, i.e. the entity from which to copy and the entity to which to copy, respectively. If the data must be copied to the same entity or if there is more than one entity from which to copy, the target entity filter must not be defined. Doing this tells the system to perform the copy from a company to itself.

  It is possible to filter the copying of each data type based on the dimensions managed (cost centre, product, etc.).

The origin of the copied data is "INPUT_WEB".

Purge data tables

Tagetik offers the user a delete utility which allows them to delete the content of the tables used by the Cash Flow Planning module

This utility can be accessed from the administrator-user's web interface, following the path *Setup & Admin > Data processing > Data cleanup > Data tables.*

Navigation panel> Data processing > Data cleanup > Data tables.

Firstly, the user must select the type of data to be deleted (by choosing the data item to be processed from those present under the "Cash Flow Planning" check box).

Once the data type to be deleted has been identified, the user can filter the data to be deleted by clicking on the **Next** button

The user must indicate:

- the **process** to be examined (required)
- any **scenario/original period** pairs there may be in order to filer the data to be deleted in relation to P&L and balance sheet events and attributes
- any **entities / entity nodes** in order to delete only data attributed to them
- any **accounts** to which the data to be deleted are attributed. This filter is not available if "Weights", "Payment calendar", "Accounting entries" or "Assets" has been selected as the type of data to be deleted
- any **custom dimension elements** in order to delete only data attributed to them. This filter is not available if "Weights", "Payment calendar", "Accounting entries" or "Work Orders" has been selected as the type of data to be deleted
- any **events** in order to delete only data generated by them. This filter is available if "P&L events" or "Balance sheet events" has been selected as the type of data to be deleted
- any filter on **user** (UserUpd) and **date** (DateUpd) in order to limit the deletion to only data entered or generated by a user on a certain date. This filter is always available, unless the type of data to be deleted is "Calculation detail"
- any filter on the **origin** of the data to be deleted. This option is particularly useful when the user wants to delete all data labelled with a specific origin en masse for the indicated process
- whether **only 0 amount rows** must be deleted. This filter is available if "Weights", "P&L events" or "Balance sheet events" has been selected as the type of data to be deleted

Once the process and any other filters have been specified in order to identify the data to be deleted, it is possible to continue with the purge operation by clicking on the **Next** button.

At this point, the system displays the number of records that will be deleted for every selected data type.

By double clicking on a specific line it is possible to view the details of all the data that will be removed.

If the data to be deleted is correct, it is possible to proceed with the actual deletion by clicking on the **"Run"** button.

 The deletion operation is irreversible; therefore, when the "Run" button is clicked, before actually starting the purge, the user is asked for confirmation via a message

Setup

Every company financial manager can, limited to the entity they manage, set new credit terms rules and asset classes specific to their own entity.

In *User* mode, each manager can view, but not change, the credit terms rules and asset classes that the administrator has created for the entire group, even before starting the data loading process, from their own *Home page > Cash Flow Planning Navbar > Data Processing > Cash Flow Planning*.

As a general rule, rules (managed by the administrator at the group level) which cannot be changed by the entity manager are identified by a code starting with the prefix “$” and are associated with entity $ (default entity, which means applicable to all entities in the group).

For example, if the user wants to enter new credit terms, it is necessary to enter the company for which they want to create the new credit terms code and a code that does NOT start with the prefix “$”, and then proceed via the *User > Home page > Cash Flow Planning > Credit Terms Rules Navbar > Data Processing > Cash Flow Planning*. menu, as illustrated in the paragraph on **credit terms**.